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December 1, 2004

To: Members of the Executive Board

From: The Secretary

Subject: **Zambia—First Review Under the Three-Year Arrangement Under the Poverty Reduction and Growth Facility and Request for Waiver of Performance Criteria**

Attached for consideration by the Executive Directors is a paper on the first review under the three-year arrangement under the Poverty Reduction and Growth Facility for Zambia and Zambia's request for a waiver of performance criteria, which is tentatively scheduled for discussion on **Wednesday, December 15, 2004**. A proposed decision will be circulated shortly. At the time of circulation of this paper to the Board, the Secretary's Department has received a communication from the authorities of Zambia indicating that they consent to the Fund's publication of only the letter of intent, the memorandum of economic policies, and the technical memorandum of understanding.

Questions may be referred to Mr. Andrews (ext. 38318), Mr. D. Dunn (ext. 38609), and Mr. Fassina (ext. 37109) in AFR.

Unless the Documents Section (ext. 36760) is otherwise notified, the document will be transmitted, in accordance with the procedures approved by the Executive Board and with the appropriate deletions, to the WTO Secretariat on Thursday, December 9, 2004; and to the African Development Bank, the Common Market for Eastern and Southern Africa, and the European Commission, following its consideration by the Executive Board.

This document will shortly be posted on the extranet, a secure website for Executive Directors and member country authorities.

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INTERNATIONAL MONETARY FUND

ZAMBIA

**First Review Under the Three-Year Arrangement  
Under the Poverty Reduction and Growth Facility and  
Request for Waiver of Performance Criteria**

Prepared by the African Department  
(In consultation with other departments)

Approved by Michael Nowak and G. Russell Kincaid

December 1, 2004

- Discussions on the first review of the three-year Poverty Reduction and Growth Facility (PRGF) arrangement were held in Zambia from October 7 to 21, 2004. The staff team met with Mr. Magande, Minister of Finance and National Planning, Mr. Fundanga, Governor of the Bank of Zambia (BoZ), other senior officials, representatives of the private sector, nongovernmental organizations and trade unions, and members of the diplomatic and donor community. The mission also attended the third meeting of the Zambia International Business Advisory Council.
- The staff team comprised Mr. Andrews (head), Mr. Dunn, Mr. Fassina, (all AFR), Mr. Arnason (PDR), Mr. Baldini (FAD), and Mr. Kakoza (Resident Representative). The mission worked closely with World Bank staff.
- The Board approved the current three-year PRGF on June 16, 2004. On that occasion, Directors saw prudent macroeconomic policies, led by a fiscal adjustment and a reduction in government's domestic borrowing, and structural reforms as critical for sustaining growth and reducing inflation. Directors noted that savings from lowering domestic interest payments would allow for greater spending on poverty-reducing priorities. Directors agreed that completing a six-month track record under the PRGF would help pave the way for Zambia's reaching the completion point under the Heavily Indebted Poor Countries (HIPC) Initiative in early 2005.
- Zambia is requesting the second disbursement under the current PRGF arrangement in the amount of SDR 82.5 million (16.9 percent of quota) to support the program outlined in the attached letter of intent and memorandum of economic and financial policies (MEFP). The disbursement would be available upon the completion of the first review under the arrangement. The authorities have also requested waivers for one quantitative and two structural performance criteria.
- Since his election in 2001, President Mwanawasa has increased his slim majority in parliament by appointing opposition members to cabinet and winning by-elections. Presidential elections are to be held in 2006.

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## **Executive Summary**

### **Recent Economic Developments**

- Zambia's economic performance has continued to strengthen. Growth is expected to reach 4.6 percent in 2004, marking the fifth consecutive year of solid expansion. Inflation, although still too high, is expected to be held below 20 percent in 2004 despite the pass-through of higher oil prices.
- In line with the program, the government has sharply reduced its domestic borrowing. All but one of the quantitative performance criteria and all of the benchmarks for end-September 2004 were observed. Progress has been also made in implementing structural reforms monitored under the program, albeit with some delays. The staff recommends that waivers be granted for the nonobservance of one quantitative and two structural performance criteria.
- The authorities have made further progress toward meeting the triggers for the completion point under the HIPC Initiative and are finalizing the second progress report on PRSP implementation.

### **Medium-Term Outlook and Program**

- Despite recent gains, Zambia's economy remains fragile and poverty is pervasive. In line with the PRSP and the PRSP progress report, the medium-term strategy focuses on reducing poverty through faster economic growth and diversification driven by the private sector. The strategy targets real GDP growth of at least 5 percent per year, single-digit inflation, and a strengthened international reserves position. Poverty-reducing spending is expected to rise substantially.
- To sustain this strategy, critical structural reforms include: (i) the public expenditure management and financial accountability (PEMFA) program; (ii) the rightsizing and pay reform strategy; (iii) the financial sector development plan; and (iv) the private sector development initiative.

### **Macroeconomic Program for 2005**

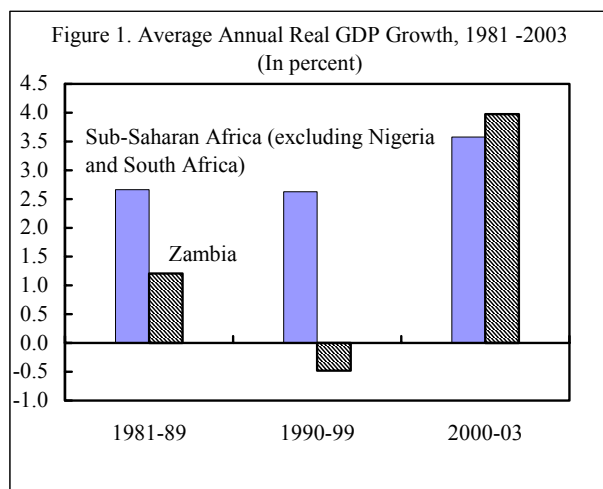
- The program for 2005, supported under the PRGF, envisages real GDP growth of 5 percent; an end-of-period inflation rate of no more than 15 percent; and a buildup of gross international reserves to 1.3 months of import cover by end-year.
- The program is based on the consolidation of the large fiscal adjustment achieved in 2004 to lower government's domestic borrowing. This is expected to support continued monetary restraint, lowering pressures on prices and interest rates. Structural reforms focus on the advancement of the PEMFA program, completion of a computerized system for payroll control, resolution of three state-owned nonbank financial institutions, and initial implementation of the private sector development initiative.
- Zambia remains vulnerable to climatic and terms of trade shocks. Other risks include significant financing gaps in 2006-07, which will need to be closed with either additional donor grants or measures. Budget discipline will be important to resisting spending pressures in the run-up to elections in 2006.

## I. INTRODUCTION

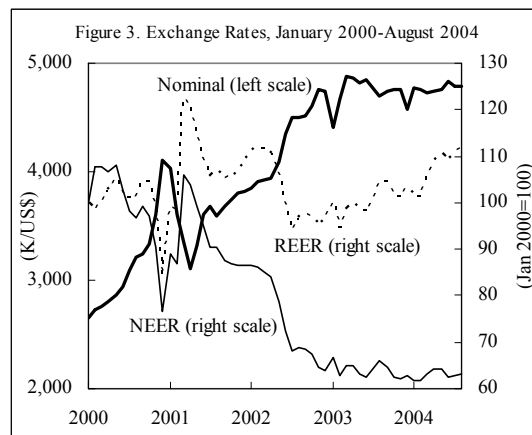
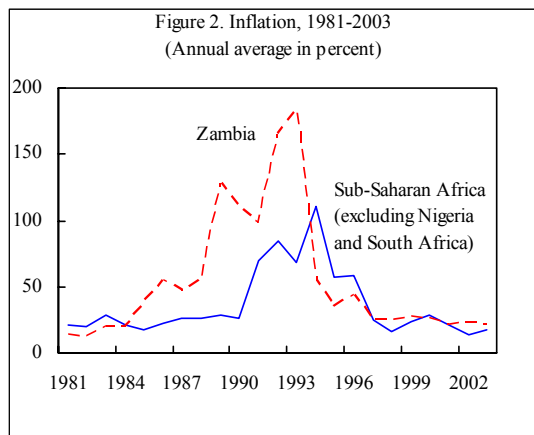
1. **In the attached letter of intent, Zambia's Minister of Finance and National Planning requests the second disbursement in the amount of SDR 82.5 million (16.9 percent of quota) under the PRGF arrangement approved on June 16, 2004.** The disbursement would be available on completion of the first review of the PRGF-supported program and would help Zambia pursue sound macroeconomic management while meeting substantial external obligations. In the attached memorandum of economic and financial policies (MEFP), the authorities describe recent performance under the program, propose quantitative targets and structural measures for the program in 2005, and reiterate their commitment to the medium-term objectives of the program. The authorities also request waivers for nonobservance of one quantitative and two structural performance criteria.
2. **In approving the PRGF arrangement, Directors welcomed Zambia's improved performance in recent years, but noted that the economy remains fragile.** Directors saw prudent macroeconomic management and a deepening of structural reforms as critical for sustaining growth. In particular, fiscal consolidation was needed to support monetary policy to reduce inflation, curb government's domestic debt, and bring about a sustainable decline in domestic interest rates while redirecting government spending to priority areas. Directors noted that reforms were needed to strengthen public expenditure management and financial accountability, rightsize the civil service, and resolve state-owned financial institutions. Efforts to remove obstacles to business investment also needed to be intensified. Directors agreed that completing a six-month track record under the PRGF would help pave the way for Zambia's reaching the completion point under the Heavily Indebted Poor Countries (HIPC) Initiative in early 2005.

## II. RECENT ECONOMIC DEVELOPMENTS AND PERFORMANCE UNDER THE PRGF-SUPPORTED PROGRAM

3. **Zambia's economic performance continued to strengthen in 2004.** Real GDP growth is now projected at 4.6 percent, compared with 3.5 percent in the program, as a result of stronger agricultural and mining output, as well as higher private investment, especially in the mining sector. This further progress in Zambia's economic turnaround has brought a sharp improvement in performance relative to other countries in the region (Figures 1 and 2).



Inflation has moderated and is expected to be within the end-year target of 20 percent, despite the pass-through of higher world oil prices to consumers. The relative stability of the Zambian kwacha (Table 1, and Figure 3) and favorable food price developments have helped to contain inflation.



4. **The improved macroeconomic performance has been underpinned by successful implementation of the sharp fiscal adjustment included in the 2004 budget.** Through September, the government's recourse to domestic borrowing was limited to 1.2 percent of annual GDP, compared with over 5 percent of GDP in 2003 (Tables 2 and 3). Revenues increased by less than budgeted as a result of a temporary decline in corporate tax collections, the more timely reimbursement of value-added tax (VAT) refunds, and lower receipts from the road tax and other fines and fees (see paragraph 5 of the MEFP). This shortfall was offset by lower overall spending, including lower domestic interest payments. In sharp contrast to developments in 2003, most expenditures have been at or significantly below budgeted levels. The wage bill has been held within the annual budget target of 7.9 percent of GDP, down from 8.4 percent of GDP in 2003. Execution of the government's priority poverty-reduction programs (PRPs) has also been in line with the budget—a marked improvement from the shortfalls in such spending in recent years. However, the implementation of other domestically financed capital projects has been slower than expected, as a result of the delayed approval of the budget and the large existing stock of arrears to contractors. Recurrent departmental charges have exceeded budgeted levels, reflecting a cabinet decision to allocate an additional 0.4 percent of GDP, mainly for the Ministry of Defense, making use of a similar level of projected savings resulting from a steep decline in interest payments on domestic debt.

5. **The Bank of Zambia (BoZ) has been mopping up excess liquidity that arose from the reduction in reserve requirements on bank deposits in late 2003** (Tables 4 and 5). Monetary policy implementation in the first half of the year did not adequately account for the lower reserve requirement and was also complicated by a higher-than-programmed buildup of international reserves. The BoZ tightened liquidity conditions in the third quarter, but in the first 9 months of 2004 the expansion in reserve money of 7.1 percent still exceeded the program target of 3.4 percent. The yields on government paper, which declined in the first half of 2004 and overshot sustainable levels, rose sharply; the average interest rate on treasury bills increased from less than 7 percent in June to almost 17 percent in November 2004 (paragraph 6 of the MEFP). The expansion of broad money, however, has been higher than programmed and is now expected to end the year at 26 percent, compared with the programmed expansion of 18 percent. Credit to the private sector increased by almost 40 percent during the year through September 2004. Productive sectors (including agriculture and manufacturing) accounted for the bulk of this rise, but the expansion also reflects the strong incentive to switch to lower-cost domestic financing.

6. **Despite higher oil prices, external developments in 2004 have been favorable, and the tighter fiscal stance has been reflected in a narrowing of the external current account deficit** (Tables 6 and 7). Merchandise export receipts are projected to increase by over 50 percent, as a result of higher copper prices and strong growth in copper and nontraditional export volumes. Imports have also risen substantially, driven by large-scale investment in the expansion and rehabilitation of the mining sector, as well as by higher oil prices. The external current account deficit, including grants, is projected to narrow by about 1 percent of GDP to 6.4 percent of GDP. Higher private capital inflows, largely to the mining sector, along with official external support and debt relief, have financed the current account deficit and a buildup in international reserves above the program level in September. However, in terms of import coverage, gross international reserves are expected to amount to only 1.1 months of imports at end-2004, reflecting the sharp increase in imports.

7. **All but one of the quantitative performance criteria and all of the benchmarks for end-September 2004 were observed.** Key targets (for gross international reserves, net domestic assets of the Bank of Zambia, and net domestic financing of the government) were met by wide margins (Appendix I, Table 1). Performance criteria on external payments arrears, government backing of concessional loans to the electric utility, ZESCO, and nonconcessional external debt were also observed. Reflecting improvements in budget execution, benchmarks on the wage bill and monthly transfers into the HIPC account at the BoZ for priority poverty-reducing expenditures were met. Moreover, no new wage arrears were incurred. As of end-September, the reduction in domestic arrears (a performance criterion) fell slightly short of the target, but the shortfall was subsequently reversed. All quantitative targets for end-December are expected to be met.



**8. Progress has been made in the implementation of structural measures monitored under the program, albeit with some delays (Appendix I, Table 2).**

- Progress has been made towards the resolution of three insolvent state-owned nonbank financial institutions (NBFIs) (Box 1). However, the performance criterion relating to the adoption of action plans for the Zambia National Building Society (ZNBS), the National Savings and Credit Bank (NSCB), and the Development Bank of Zambia (DBZ) was not observed by end-October 2004. Action plans were adopted for the NSCB and the DBZ in November, and the staff agrees with the authorities that further work is needed before plans for the ZNBS can be finalized. Cabinet approval of a proposal for the repeal of sections in the acts of the ZNBS, the NSCB, and the DBZ that are in conflict with the Banking and Financial Services Act (a benchmark) has also been delayed to early 2005 due to availability of technical assistance. The authorities are now receiving technical assistance from the Fund's Legal Department in this area, and the proposal will be submitted to the cabinet for approval following a required period for public comment.
- An end-September benchmark on the definition of a policy covering tax concessions was not met, because the cabinet is still analyzing alternative policy frameworks on the basis of their effects on foreign direct investment and the revenue base. In this context, the government has also decided to monitor the progress of a single export processing zone before considering further applications under the Export Processing Zone Act.
- The June benchmark on the signing of a contract for the supply and installation of the hardware and software to implement the integrated financial management information system (IFMIS) was not met due to donors objections to procurement choices. The contract is expected to be signed in December. As a result of this delay, it was not possible to meet the performance criterion that called for the initiation of the pilot IFMIS project in September. However, important progress has been achieved on public expenditure management, namely through the extension of a computerized financial management system to all ministries and provinces; the effective implementation of a strengthened commitment control system (resulting in no accumulation of additional arrears through June 2004); the improvement of monthly expenditure execution reporting (in terms of timing and follow up by the accountant general office); and the introduction of an activity-based budget classification.
- Other structural benchmarks in the areas of public expenditure management, governance, and transparency were met in a timely manner (paragraph 2).

### **Box 1. Resolution of State-Owned Nonbank Financial Institutions**

In 2002, the FSAP for Zambia found the banking system generally well capitalized, profitable, and liquid, but underlined the weaknesses of the state-owned nonbank financial institutions, namely the National Saving and Credit Bank (NSCB), the Development Bank of Zambia (DBZ), and the Zambia National Building Society (ZNBS).<sup>1/</sup> The Financial Sector Development Plan (FSDP), approved by the cabinet in June 2004 (a prior action for the approval of the new PRGF arrangement), recommended that action plans be adopted to address the weakness of these financial institutions and that legislation regulating the operations of the three institutions be harmonized to provide for their full compliance with the Banking and Financial Services Act (BFSA).

In November the government and the BoZ, in consultation with the World Bank and IMF staff, signed Memoranda of Understanding (MoUs) with the DBZ and the NSCB setting out action plans that included performance targets and restrictions to their operations and defined stronger supervisory powers for the BoZ (until approval of amendments to the Bank and Financial Services Act). The NSCB will pursue a rural finance strategy with the support of the International Fund for Agricultural Development (IFAD), which is also providing about US\$2.2 million in capital. The government's financial contribution to the recapitalization of NSCB will be limited to a debt assumption of K 5.3 billion and K 5.8 billion in the form of a cash injection, which will be made only when IFAD has approved its own contribution to NSCB. The DBZ will be recapitalized with private resources accounting for at least 75 percent of its shares. As a first step in this direction, the Export-Import Bank of India has injected US\$1.4 million (35 percent of paid capital) and new directors have been appointed to the board of the DBZ. The DBZ will not accept deposits, will not receive government guarantees for loans made or obtained, will not use government funds for lending, and will not exceed the equivalent of US\$10 million in total lending, pending full compliance with the Bank and Financial Services Act.

The ZNBS has not been able to provide a viable business plan. Consequently, the BoZ has put in place supervisory actions to protect depositors' funds and to limit ZNBS's operations. As indicated in the MEFP, the MoFNP and the BoZ are continuing to explore options to resolve the ZNBS without using public resources for recapitalization.

On the basis of the recommendations listed in the FSDP and with assistance from the IMF and other cooperating partners, the BoZ is drafting amendments to the Building Society Act, the NSCB Act, and the DBZ Amendment Act to strengthen its supervisory and regulatory power over these three nonbank institutions. The MoFNP will submit these amendments to the cabinet for approval by end-February 2005.

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<sup>1/</sup> SM/02/339.

9. **There has also been substantive progress in structural reforms not monitored under the program.** In early November, the sale of a 51 percent stake in Konkola Copper Mines (KCM) to Vedanta Resources was finalized, bringing to an end the uncertainty over the future of Zambia's largest single copper mine that had persisted since the withdrawal of Anglo-American in 2002.<sup>1</sup> Progress has also been made in implementing the strategy to commercialize ZESCO. Negotiations for the sale of equity in the Zambia National Commercial Bank (ZNCB) to the preferred bidder have reached an advanced stage, but with the conclusion of the sale still uncertain, the Zambia Privatization Agency has also continued discussions with the second preferred bidder.

### III. MEDIUM-TERM ECONOMIC AND POLICY OUTLOOK

10. **The medium-term strategy, as elaborated in the government's PRSP and PRSP progress report, focuses on reducing poverty by increasing economic growth through diversification and creation of an enabling environment for the private sector.**<sup>2</sup> The government views sustained macroeconomic stability as essential to attaining high growth rates. In this context, structural reforms are critical, in particular (i) the public expenditure management and financial accountability (PEMFA) program, (ii) the rightsizing and pay reform strategy, (iii) the financial sector development plan, and (iv) the private sector development initiative.<sup>3</sup>

11. **The central macroeconomic objectives over the medium term are to achieve real GDP growth of 5 percent a year, reduce inflation to single digits by 2007, and increase gross international reserves to 1½–2 months of imports.** The centerpiece of the macroeconomic framework is the reduction of the government's net domestic financing needs to about ½ of 1 percent of GDP in 2007 and a sustainable reorientation of spending toward poverty-reducing programs. Such a framework would make lower inflation targets more credible, substantially ease the crowding out of private investment, and consolidate savings on servicing domestic debt.

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<sup>1</sup> Vedanta will pay a total of US\$48.2 million over four years for its majority stake in KCM, with US\$25 million payable up front. Payments to ZCCM holdings, in which the government is a shareholder, do not accrue to the budget and are expected to be used to defray past losses.

<sup>2</sup> For a more complete discussion of the medium-term policy agenda, see the staff reports for Zambia's request for a three-year arrangement under the PRGF (EBS/04/70; 5/28/04) and the 2003 Article IV consultation (EBS/04/44; 3/23/04).

<sup>3</sup> See Boxes 4–6 in EBS/04/70.

12. **While the medium-term economic and policy framework remains largely in line with the outlook presented in the staff report for the current PRGF arrangement (EBS/04/70, 5/28/04), it does call for considerably higher spending related to elections and the ongoing constitutional review** (on average, about 1 percent of GDP a year during 2005–07). For 2005, these expenditures would be financed largely by trimming other non-poverty-related current and capital spending, in addition to increased donor support. In 2006 and 2007, it is expected that donors will finance much of these expenditures with grants; however, at this time no firm commitments have been made, resulting in a financing gap. The authorities are working closely with the donor community and other stakeholders on a road map for elections and the constitutional reform. As indicated in paragraph 13 of the MEFP, the government recognizes that the financing gaps in 2006 and 2007 will need to be filled through a combination of additional grants and offsetting measures, possibly including some paring down of these initial cost estimates.

#### IV. DISCUSSIONS ON THE PROGRAM FOR 2005

13. **The mission agreed with the authorities on some modest revisions to the macroeconomic objectives for 2005.** These now include (i) real GDP growth of 5 percent, (ii) an end-of-period inflation rate of no more than 15 percent, and (iii) a buildup of gross international reserves to 1.3 months of import cover by end-year. Based on the sizable private sector investments undertaken in 2003 and 2004 (particularly in agriculture and mining) and the stronger-than-expected growth in 2004, projected real GDP growth in 2005 was increased by 0.5 percent. In addition, the revised medium-term expenditure framework (MTEF) for 2005-07, which the cabinet has approved, limits the government's domestic borrowing to 1.6 percent of GDP in 2005. This limit, which is 0.4 percent of GDP higher than originally envisaged under the three-year PRGF arrangement, accommodates higher payments of domestic arrears, including pension arrears, and the settlement of overdue retrenchment payments (both of which increase the fiscal deficit and, hence, domestic financing in Zambia's cash-based presentation). In addition, expenditures related to the constitutional review and forthcoming elections are higher than earlier estimated, while external financing is projected to be lower than envisaged when the PRGF arrangement was approved.

14. **The staff and the authorities agreed that, despite some risks, the program projections for growth, inflation, and external financing are realistic.** The economy remains vulnerable to climatic and terms of trade shocks. Mining sector production, however, may also exceed projections as new projects come on stream. The program also assumes a significant decline in copper prices from current levels, and this margin helps to balance the risk that world oil prices may not decline as projected. Oil price movements are also not considered a major risk to the inflation objective; indeed, the projected average price in world markets of US\$43 per barrel in 2005 could imply some easing in current domestic prices, which already reflect a substantial pass-through from the world market. In addition, as explained below, the assumptions of donor budget support are prudent, with projected disbursements significantly below total commitments.

15. **There was broad agreement on the budget priorities for 2005, particularly on the desirability of further reducing the government's domestic borrowing.** Given Zambia's relatively strong revenue effort, the budget for 2005 does not call for significant tax increases. Revenue collection is expected to be supported by the expiration, at the end of 2004, of the temporary suspension of a 5 percent import duty on petroleum products; the impact of higher interest rates on profits of the financial sector; and some nominal increases in fines and fees. On the spending side, it was agreed to limit the wage bill to 8 percent of GDP. Within this total, the government intends to give priority to hiring needs in health and education while recognizing that, in the short run, such hiring cannot exceed the supply of qualified staff. In addition, with the support of the government of the Netherlands, the outstanding terminal benefits of about 7,000 teachers—who are no longer in service, but have remained on the payroll—will be paid, allowing a similar number of new teachers to be hired. The budget framework for 2005 also provides for the payment of terminal benefits to those leaving government employment, to avoid a repeat of the problem that arose in the education sector. At the same time, a wage bill of 8 percent of GDP would allow for promotion increments and accommodate a significant increase in average wage rates following the nominal wage freeze applied in 2004. Expenditures on poverty reducing priorities will rise to 2.2 percent of GDP. This increase is lower than envisaged when the PRGF arrangement was approved. However, the authorities have committed to increase poverty-reducing spending, under a new wider definition to be introduced in the 2005 budget, in line with the increases included in the PRGF arrangement using the old definition. In 2005, poverty reducing expenditures more broadly defined would rise as a result of hiring in the health and education sectors. In addition the government's decision to accelerate the clearance of pension arrears is intended to alleviate the hardship caused by prolonged delays in pension payments.

16. **As noted above, the 2005 budget framework calls for increased outlays to settle domestic arrears, including pension arrears.** Arrears to contractors are subject to costly penalties—typically in excess of domestic interest rates—and are hindering the government's ability to execute capital projects, including road construction and other priorities. Clearance of this stock of arrears of about 3 percent of GDP will require conclusion of the negotiations with creditors in which the government commits to making affordable payments over the horizon of the MTEF.<sup>4</sup>

17. **The monetary program aims to support the targeted reduction in inflation by restraining broad money growth to eliminate a small overhang of excess liquidity projected at end-2004.** The authorities agreed that broad money and reserve money should grow by 19.0 percent, 2 percentage points below the projected growth of nominal GDP (of 21.2 percent). Given the lower borrowing needs of the government, this would allow bank

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<sup>4</sup> External commercial arrears have been the subject of extensive good faith negotiations between the authorities and the creditors concerned.

credit to the private sector to expand in line with GDP growth. It is important that government's reduced borrowing give greater credibility to the effort to reduce inflation, and it is expected to assist in keeping interest rates low, thereby helping avoid a spike in real interest rates during the stabilization.

18. **The external position is expected to strengthen further in 2005.** Notwithstanding some easing of metals prices, export earnings are projected to grow strongly, led by large increases in export volumes of copper and cobalt, as well as some cash crops. Imports are, however, projected to decline marginally in nominal terms as investment in the mining sector is expected to slow. Overall, the external current account deficit, including grants, is projected to narrow by more than 2 percent of GDP, to 4 percent. This projection assumes that Zambia will reach the HIPC Initiative completion point in early 2005.

19. **External program assistance, mostly in the form of grants, is expected to increase substantially in 2005.** On conservative assumptions, external budgetary support is projected to increase from 1.3 percent of GDP in 2004 to 2.2 percent of GDP in 2005, with grants accounting for more than two-thirds of the total. Grants are expected from bilateral donors under the Harmonization in Practice program, as well as from the EU under its Poverty Reduction Budget Support (PRBS) for 2004-06. Disbursements under the latter are assumed to be only a fraction of the maximum amounts available under the incentive-based variable tranches. Program loan disbursements are expected from the World Bank under a new program and from the African Development Bank under its existing country program. With the additional debt-service relief expected after the achievement of the HIPC Initiative completion point, the program will be fully financed in 2005.

20. **The exchange rate will continue to be market-determined.** BoZ intervention in the market will be aimed at smoothing short-term fluctuations and meeting the program's gross international reserve targets.

21. **Structural reforms will continue in the four key areas of public expenditure management and financial accountability, private sector development, financial sector development, and public service rightsizing and pay reforms.** Significant progress has been made in elaboration of the reform agenda for private sector development. However, taking account of the degree of ownership and more advanced state of preparations of key reforms, program conditionality in 2005 will continue to focus on public expenditure management and financial sector development.

22. **The cabinet's approval of the PEMFA reform program underlines the government's commitment to, and ownership of, this program.** Progress on these reforms, which are being supported by donors, also underpins the decision to begin shifting financial assistance from project to budget support in 2005. A work program of PEMFA reforms, with monitorable milestones and performance targets, is being developed by the government and cooperating partners and is expected to be finalized shortly. It is likely to

focus initially on further strengthening the commitment control system, the audit process, and the MTEF process.<sup>5</sup> The program for 2005 includes—as performance criteria—the initiation of the pilot of an IFMIS in at least three ministries (by June 2005) and a preliminary assessment of the pilot (by December 2005).

**23. Despite delays, the government has reiterated its commitment to press ahead with the IFMIS pilot.** The authorities stressed that extensive preparatory work has been undertaken for the IFMIS, which itself is a key component of the PEMFA reform program. The staff concurred with the authorities' assessment that the extension and computerization of the (interim) Financial Management System and Commitment Control System throughout the central government and the provinces have laid the groundwork for the improvements expected to flow from the IFMIS, including improved control over budget execution and more timely reporting. The activity-based classification will allow the adoption of a wider definition of poverty-reducing spending, consistent with the PRSP, in the 2005 budget. This will improve the transparency and relevance of budget execution reports and, along with other reforms in public expenditure management, help support increased budget support from donors. By June 2005, the MoFNP will report on spending executed in 2004 on this wider definition of poverty-reducing programs.

**24. Mirroring the progress in PEMFA, work is continuing to define a strategy for public sector rightsizing and pay reform to be implemented with the support of cooperating partners.** At the same time, the government is continuing to strengthen its management of the payroll; a key step will be the completion during 2005 of a computerized payroll management and establishment control (PMEC) system. While keeping the wage bill to 8 percent of GDP, priority will be given to hiring key workers in health and education. Pay reforms will continue to seek to integrate allowances into basic salaries; however, the government employee unions have rejected the government's plan to consolidate housing allowances into basic wages in 2005.

**25. In the financial sector, resolution of state-owned insolvent NBFIs is a priority in 2005.** The MoFNP and the BoZ, in consultation with IMF and World Bank staff, have signed Memoranda of Understanding (MoUs) with the management of the ZSCB and the DBZ (Box 1). These MoUs, which constitute action plans for the resolution of the two institutions, also strengthen the supervision over these institutions pending approval of amendments to the acts regulating the operations of NBFIs so as to remove inconsistencies with the Banking and Financial Services Act (BFSA). On the ZNBS, a viable business plan has not been identified. Government and the BoZ have considered different options to resolve the ZNBS and the budget framework also provides funds for the resolution of the ZNBS under these options. The Government intends to take a final decision and adopt an action plan by April 2004, after the passage of the budget for 2005.

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<sup>5</sup> The work program will be a source of future structural conditionality under the PRGF-supported program.

26. **The Bank of Zambia (BoZ) was subject to a safeguards assessment which was completed on October 20, 2004.** The assessment found that the BoZ has adequate safeguards in several areas, but also identified a number of vulnerabilities. The assessment recommended that the BoZ should: (i) adopt International Financial Reporting Standards (IFRS) as the basis for financial reporting; (ii) adopt a formal rotation policy for the appointment of the external auditor; (iii) amend its accounting policies to ensure that unrealized gains are excluded from profits available for distribution to government; (iv) as part of a current review of the central bank act, revise provisions to strengthen the BoZ's operational independence and accounting practices; and (v) conduct quarterly reconciliations of gross international reserves and net domestic assets data reported to the Fund with the underlying source accounting data. The BoZ is implementing these recommendations.

27. **The quality and intensity of the government's dialogue with the private sector has improved dramatically over the last year.** Through these contacts, and building on analytical work conducted by the World Bank, the government has elaborated an action plan for the implementation of the Private Sector Development Initiative. In October 2004, the Zambia International Business Advisory Council also endorsed this plan while stressing the need to elaborate a monitorable timetable of actions.

#### **V. PROGRESS TOWARD THE COMPLETION POINT TRIGGERS AND NEW DSA**

28. **In recent months, the authorities have made further progress toward meeting the triggers for the completion point under the HIPC Initiative** (Table 8). Based on a review conducted jointly with World Bank staff, all triggers regarding poverty reduction and the social sectors have been met. With regard to structural reforms, the staff discussed measures to ensure sound management of ZESCO under the authorities' commercialization process, which is intended as an alternative to privatization. The interim point of the commercialization process is expected to be reached shortly.<sup>6</sup> While progress has been made in improving public expenditure management, it is now clear that the trigger requiring a satisfactory midterm review of the pilot will not be met in the first quarter of 2005. The trigger for soliciting bids for the privatization of ZNCB has been met, but negotiations with the preferred bidders have advanced at a slow pace. Finally, as indicated above, much progress has been made in achieving greater macroeconomic stability, led by the substantial fiscal adjustment in 2004. The government is preparing a second annual PRSP progress report covering the period July 2003 to June 2004. In addition, to provide further evidence of satisfactory implementation of the PRSP for a full year, the authorities intend to include an update on PRSP implementation in the second half of 2004 in the 2005 budget speech or the Annual Economic Report. The Fund and Bank staff will prepare a Joint Staff Advisory Note covering the 18-month period through December 2004.

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<sup>6</sup> See Box 1 (p. 9) of the staff report for the PRGF arrangement (EBS/04/70, 5/28/30).



29. **Preparations for a new debt sustainability analysis (DSA) have already commenced.** The authorities are in the process of reconciling end-2003 external debt data that would serve as basis for the new DSA to be included in the completion point document. Consideration of the possible need for topping up will be based on the outcome of the new DSA.

## VI. TECHNICAL ASSISTANCE

30. **In the MEFP, the authorities indicate that they intend to request technical assistance from the Fund to strengthen capacity and support program implementation.** The Bank of Zambia has requested assistance from the Legal Department for the preparation of proposals to amend the acts governing the state-owned NBFIs to achieve consistency with the Banking and Financial Services Act—a necessary step in the resolution of the NBFIs. The BoZ also receives ongoing advice from an MFD expert on the action plans for resolving the NBFIs. The Statistics Department, in conjunction with the UK's DfID, is providing assistance on building up the database for the national accounts and government finance statistics.

## VII. STAFF APPRAISAL

31. **Zambia's economic performance has continued to strengthen.** For the fifth consecutive year, the economy is achieving solid growth (averaging 4 percent a year), which has generated a steady increase in per capita incomes. While growth has not been strong enough to make large inroads into Zambia's widespread poverty, this performance is particularly encouraging against the backdrop of economic decline in the preceding two decades. Similarly, although inflation remains too high, steady progress is being made in reducing inflationary pressures, adding to the credibility of the government's commitment to bring inflation down to single digits over the medium term.

32. **The improvement in Zambia's economic performance in 2004 owes much to the successful implementation of a sharp fiscal adjustment.** The authorities deserve credit for having taken, and stuck to, some very difficult budgetary decisions to halt an unsustainable rise in domestic debt. Servicing the domestic debt had become more costly than external debt service, while large domestic borrowing needs had created upward pressure on interest rates and inflation. The decision to limit the government wage bill to 8 percent of GDP—which entailed a politically difficult scaling back of agreed housing allowances and a wage freeze—was instrumental in achieving the fiscal adjustment and reducing domestic borrowing. As a result, the authorities were also able to take advantage of a favorable external environment, including strong copper prices that supported the kwacha, to contain inflation.

33. **The authorities also deserve credit for exercising tight control over spending.** In contrast to recent years, total spending has been held within budgeted levels. This has allowed the composition of spending to be much closer to the budget. In particular, so far in 2004, priority expenditures have been executed in line with the budget, rather than being crowded out by spending overruns as has typically occurred in recent years. While most

categories of spending have been at or below budgeted levels, a notable exception was the overrun in recurrent departmental charges, particularly for defense. The staff recognizes that, in line with procedures supported under the program, the decision to allocate additional spending to this area was approved by the cabinet, taking into account identified savings of domestic interest. However, since this decision was taken before a shortfall in revenue collections became apparent, commitments must be strictly controlled to ensure that end-year targets can be met. These developments highlight the risks inherent in decisions to increase spending.

34. **The staff considers the budget framework for 2005 to be an appropriate response to the continued need to bring domestic borrowing under control and to be in line with PRSP priorities.** With the benefit of higher external budget support and additional debt relief upon attainment of the HIPC completion point, the budget allows for a significant increase in real spending. The staff urges the authorities to ensure that additional resources are dedicated to priority sectors, including the hiring of frontline staff in health and education. Budget discipline will be important to resisting spending pressures in the run-up to elections in 2006.

35. **The staff welcomes the authorities' commitment to strengthen public expenditure management.** Despite delays, the authorities are pressing ahead with the implementation of the IFMIS and substantive progress that has been achieved in other areas of public expenditure reform. The staff also welcomes the audits of military spending that are now under way; these should provide a stronger basis for future spending decisions in this area, but we would urge the authorities to bring the defense payroll under the new PMEC system.

36. **Interest rates were allowed to fall too much during the first half of 2004, but the Bank of Zambia has mopped up excess liquidity.** However, since there may still be a liquidity overhang from the rapid expansion in broad money during the year, the staff urges the authorities to act in a timely manner if additional inflationary pressures arise. The staff also applauds the authorities for having allowed the increases in world petroleum prices to have largely passed through to domestic fuel prices, thus avoiding potentially costly subsidies.

37. **The staff welcomes progress that has been made in structural reforms, but urges an acceleration of these reforms.** The sale of a majority stake in KCM is an important milestone that both removes a potential threat to macroeconomic stability and supports further development of the mining sector. Adoption of action plans to resolve two NBFIs is an important step to protect the budget and support further development of the financial sector; the staff urges the authorities to take timely decisions on the future of the ZNBS and to bring the NBFIs acts into line with the BFSa. Similarly the staff looks forward to a successful conclusion of discussions for the sale of equity in the Zambia National Commercial Bank. Finally, the staff urges the authorities to initiate the IFMIS pilot without delay.

38. **The Zambian economy remains vulnerable to number of risks.** Sharply higher costs are now projected for elections, a national census, and a constitutional review in 2006-07. It will be important that these items are accommodated in a way—either through donor grants or measures taken by the government—that minimizes any negative impact on macroeconomic stability. Staff welcomes the authorities' commitment to transparency and good coordination with the donor community to ensure that these important democratic steps are executed and financed appropriately. Zambia's flexible exchange rate policy should help to mitigate risks rising from climatic and terms of trade shocks.

39. **The staff recommends that Zambia be granted waivers for the nonobservance of three performance criteria noted above.** The authorities have now settled the arrears covered by the only quantitative performance criterion not observed. The government has reiterated its commitment to implement the IFMIS pilot without delay and is making progress in implementing other PEMFA reforms. Finally, the government has adopted actions plans for two of the NBFIs covered by the corresponding structural performance criterion, and has taken important steps towards determining the course of action for the ZNBS.

40. **Good progress has been made toward meeting the triggers for the HIPC completion point.** However, it is now clear that the trigger relating to the piloting of the IFMIS will not be met until the second half of 2005. Consequently attainment of the completion point early in 2005 would require a waiver of this trigger. In this regard the staff stresses the importance of moving ahead with the IFMIS pilot and, more generally, continuing to strengthen public expenditure management. The staff also urges the authorities to provide additional evidence of satisfactory implementation of the PRSP in the latter part of 2004 to supplement the progress report covering the period through end-June 2004. While debt relief under the HIPC Initiative would greatly help the funding of poverty-reducing projects, the staff points out that potentially greater benefits would be derived from the reform agenda itself, as well as a possible stepping-up of donor support beyond HIPC. In this regard, good implementation of sound macroeconomic and financial policies and a far-reaching reform agenda would continue to be a high priority. Moreover, given large amounts of private investment in productive sectors of the economy in recent years, there are good prospects for continued strong growth in the years ahead, provided the government stays the course of macroeconomic stabilization and supporting reforms.

Table 1. Zambia: Selected Economic and Financial Indicators, 2002-05

|                                                              | 2002  | 2003  | 2004  |       | 2005  | 2006  | 2007  |
|--------------------------------------------------------------|-------|-------|-------|-------|-------|-------|-------|
|                                                              |       |       | Prog. | Proj. | Proj. | Proj. | Proj. |
| (Annual percentage change, unless otherwise indicated)       |       |       |       |       |       |       |       |
| National income and prices                                   |       |       |       |       |       |       |       |
| Real GDP                                                     | 3.3   | 5.1   | 3.5   | 4.6   | 5.0   | 5.0   | 5.0   |
| GDP deflator                                                 | 19.9  | 19.8  | 19.6  | 19.9  | 15.5  | 7.5   | 7.1   |
| Consumer prices (annual average)                             | 22.2  | 21.5  | 18.5  | 18.4  | 19.4  | 11.0  | 7.3   |
| Consumer prices (end of period)                              | 26.7  | 17.2  | 20.0  | 20.0  | 15.0  | 10.0  | 5.0   |
| External sector                                              |       |       |       |       |       |       |       |
| U.S. dollar value of exports of goods and services           | 2.4   | 15.4  | 21.5  | 43.9  | 7.3   | 5.3   | 2.8   |
| U.S. dollar value of imports of goods and services           | -2.5  | 13.3  | 13.7  | 28.2  | -1.1  | 6.9   | 0.9   |
| Export volume (goods)                                        | 11.0  | 1.8   | 4.9   | 5.7   | 21.7  | 12.5  | 1.0   |
| Import volume (goods)                                        | -4.3  | 7.3   | 7.7   | 13.3  | 0.1   | 11.9  | 4.0   |
| Copper export volume                                         | 11.3  | 7.1   | 8.0   | 8.7   | 22.0  | 14.8  | 4.5   |
| Nonmetal export volume                                       | 19.7  | -3.8  | 3.6   | 18.2  | 9.7   | 7.6   | 8.0   |
| Copper export prices (average, U.S. dollars per pound)       | 0.70  | 0.78  | 0.96  | 1.16  | 0.99  | 0.86  | 0.81  |
| Nominal effective exchange rate (annual average) 1/          | -19.4 | -14.1 | -13.5 | -1.4  | ...   | ...   | ...   |
| Real effective exchange rate (annual average) 1/             | -5.2  | -1.7  | -0.2  | 6.6   | ...   | ...   | ...   |
| Terms of trade                                               | -7.0  | 4.6   | 10.7  | 22.1  | -11.7 | -5.9  | 1.0   |
| Money and credit (change in percent of beginning-of-year M2) |       |       |       |       |       |       |       |
| Net foreign assets                                           | 68.5  | -9.0  | 0.0   | 3.0   | 24.7  | ...   | ...   |
| Net domestic assets                                          | -37.0 | 32.5  | 18.1  | 22.6  | -5.7  | ...   | ...   |
| Net domestic credit                                          | -29.4 | 36.6  | 18.8  | 21.8  | -5.7  | ...   | ...   |
| Net claims on government                                     | 3.1   | 27.0  | 9.7   | 8.0   | 6.1   | ...   | ...   |
| Claims on nongovernment                                      | 6.1   | 9.6   | 9.1   | 13.9  | 8.8   | ...   | ...   |
| Broad money                                                  | 31.5  | 23.4  | 18.1  | 25.6  | 19.0  | ...   | ...   |
| Velocity                                                     | 4.5   | 4.6   | 4.8   | 4.6   | 4.7   | ...   | ...   |
| Central government budget                                    |       |       |       |       |       |       |       |
| Revenue (excluding grants)                                   | 16.0  | 26.5  | 30.0  | 27.0  | 21.9  | 13.1  | 13.6  |
| Grants                                                       | 79.0  | 5.5   | -2.5  | -4.0  | 47.6  | 5.6   | 13.8  |
| Expenditures 2/                                              | 20.7  | 24.6  | 10.2  | 7.4   | 25.8  | 12.8  | 10.2  |
| Domestic expenditures 2/ 3/                                  | 11.3  | 27.1  | 17.5  | 14.2  | 28.2  | 11.9  | 9.4   |
| (In percent of GDP)                                          |       |       |       |       |       |       |       |
| Investment and savings                                       |       |       |       |       |       |       |       |
| Gross national savings 4/                                    | 16.5  | 18.5  | 18.6  | 19.1  | 19.6  | 20.5  | 21.0  |
| Gross foreign savings 5/                                     | 6.5   | 7.5   | 4.6   | 6.4   | 4.1   | 3.8   | 4.0   |
| Gross domestic investment                                    | 23.0  | 26.0  | 23.3  | 25.5  | 23.7  | 24.3  | 25.0  |
| Of which: public investment                                  | 11.8  | 11.4  | 9.2   | 9.0   | 8.3   | 9.6   | 10.1  |
| Central government budget                                    |       |       |       |       |       |       |       |
| Revenue and grants                                           | 26.2  | 24.9  | 24.1  | 23.5  | 24.8  | 25.3  | 25.0  |
| Revenue (excluding grants)                                   | 17.9  | 17.9  | 18.7  | 18.2  | 18.3  | 18.3  | 18.3  |
| Expenditures (excluding interest) 2/                         | 27.2  | 27.0  | 23.1  | 22.8  | 23.6  | 26.9  | 26.1  |
| Interest due 4/                                              | 4.1   | 3.9   | 4.2   | 3.7   | 3.3   | 2.9   | 2.4   |
| Domestic expenditures 2/ 3/                                  | 20.7  | 20.9  | 19.7  | 19.0  | 20.2  | 21.9  | 20.7  |
| Overall balance, cash basis                                  | -6.3  | -6.6  | -3.4  | -3.3  | -2.2  | -2.6  | -2.0  |
| Domestic financing                                           | 2.1   | 5.1   | 2.2   | 2.1   | 1.6   | 1.2   | 0.6   |
| External sector                                              |       |       |       |       |       |       |       |
| Current account balance, excluding grants                    | -17.3 | -16.2 | -11.4 | -13.1 | -11.6 | -13.2 | -12.7 |
| Current account balance, including grants and debt relief 5/ | -6.5  | -7.5  | -4.6  | -6.4  | -4.0  | -4.0  | -4.1  |
| (In percent of exports of goods and services)                |       |       |       |       |       |       |       |
| External debt                                                |       |       |       |       |       |       |       |
| External official debt service                               | 11.4  | 15.0  | 23.4  | 20.8  | 6.8   | 4.3   | 5.4   |
| External program assistance 6/                               | 12.8  | 4.4   | 4.3   | 3.7   | 6.1   | 4.7   | 3.2   |
| (In millions of U.S. dollars, unless otherwise indicated)    |       |       |       |       |       |       |       |
| Current account balance, including grants and debt relief 5/ | -246  | -323  | -238  | -343  | -226  | -238  | -261  |
| Overall balance of payments                                  | -383  | -321  | -283  | -246  | -283  | -336  | -278  |
| Gross official reserves (end of period)                      | 283   | 197   | 173   | 201   | 246   | 304   | 348   |
| In months of imports of goods and services                   | 2.2   | 1.3   | 1.0   | 1.1   | 1.3   | 1.5   | 1.7   |

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ Figure for 2004 represents the percentage change from the average for 2003 to the average for January-July 2004.

2/ Includes contingency reserve and payments of domestic arrears.

3/ Excludes external interest payments and foreign-financed capital expenditure.

4/ After enhanced HIPC Initiative debt relief.

5/ Includes program and budget grants and debt relief on interest payments.

6/ For 2005-07, figures are preliminary projections and includes only identified commitments.

Table 2. Zambia: Central Government Overall Operations, 2003-07  
(In billions of kwacha)

|                                                                     | 2003<br>Prel. | 2004<br>Prog.<br>Q1-Q3 | 2004<br>Prel.<br>Q1-Q3 | 2004<br>Prog. | 2004<br>Proj. | 2005<br>Proj. | 2006<br>Proj. | 2007<br>Proj. |
|---------------------------------------------------------------------|---------------|------------------------|------------------------|---------------|---------------|---------------|---------------|---------------|
| Revenue and grants                                                  | 5,104         | 4,511                  | 4,420                  | 6,172         | 6,041         | 7,730         | 8,916         | 9,903         |
| Revenue                                                             | 3,680         | 3,449                  | 3,402                  | 4,784         | 4,674         | 5,696         | 6,443         | 7,238         |
| Tax revenue                                                         | 3,548         | 3,330                  | 3,305                  | 4,547         | 4,498         | 5,479         | 6,195         | 6,963         |
| Income taxes                                                        | 1,622         | 1,511                  | 1,490                  | 2,049         | 2,022         | 2,457         | 2,773         | 3,117         |
| Excise taxes                                                        | 482           | 448                    | 435                    | 615           | 604           | 717           | 820           | 921           |
| Value-added tax (VAT)                                               | 1,034         | 993                    | 982                    | 1,373         | 1,337         | 1,620         | 1,828         | 2,055         |
| Domestic VAT                                                        | 393           | 421                    | 334                    | 608           | 472           | 641           | 723           | 813           |
| Import VAT                                                          | 642           | 571                    | 647                    | 766           | 865           | 979           | 1,105         | 1,242         |
| Customs duty                                                        | 409           | 379                    | 399                    | 509           | 536           | 685           | 774           | 870           |
| Nontax revenue                                                      | 132           | 120                    | 97                     | 239           | 176           | 217           | 249           | 275           |
| Grants                                                              | 1,424         | 1,063                  | 1,017                  | 1,388         | 1,367         | 2,035         | 2,473         | 2,665         |
| Program                                                             | 229           | 163                    | 125                    | 163           | 178           | 481           | 391           | 273           |
| Project                                                             | 1,195         | 899                    | 892                    | 1,225         | 1,189         | 1,553         | 2,082         | 2,392         |
| Expenditures                                                        | 6,337         | 5,115                  | 5,003                  | 6,981         | 6,809         | 8,414         | 10,469        | 11,287        |
| Current expenditures                                                | 4,002         | 3,425                  | 3,372                  | 4,640         | 4,495         | 5,823         | 7,090         | 7,296         |
| Wages and salaries                                                  | 1,728         | 1,492                  | 1,488                  | 2,018         | 1,993         | 2,457         | 2,850         | 3,125         |
| Public service retrenchment                                         | 10            | 17                     | 0                      | 33            | 0             | 66            | 75            | 80            |
| Recurrent departmental charges (RDCs) 1/                            | 648           | 512                    | 566                    | 686           | 778           | 1,126         | 1,822         | 1,580         |
| Arrears clearance                                                   | 52            | 65                     | 52                     | 77            | 77            | 141           | 188           | 188           |
| Awards and compensations (court decisions)                          | 15            | 20                     | 28                     | 20            | 28            | 54            | 60            | 60            |
| Presidential affairs                                                | 0             | 13                     | 19                     | 18            | 21            | 25            | 28            | 30            |
| Elections and constitutional review                                 | 0             | 17                     | 13                     | 26            | 20            | 186           | 714           | 306           |
| Other RDCs                                                          | 564           | 397                    | 454                    | 545           | 632           | 720           | 833           | 996           |
| Transfers and pensions                                              | 361           | 316                    | 301                    | 419           | 419           | 599           | 669           | 720           |
| Of which: settlement of statutory pension arrears                   | 5             | 23                     | 16                     | 30            | 30            | 142           | 154           | 166           |
| Domestic interest                                                   | 563           | 616                    | 583                    | 855           | 755           | 850           | 794           | 738           |
| External interest 2/                                                | 229           | 159                    | 139                    | 213           | 196           | 193           | 215           | 209           |
| Other current expenditures                                          | 456           | 307                    | 282                    | 405           | 338           | 517           | 649           | 826           |
| Of which: financial restructuring                                   | 209           | 68                     | 34                     | 120           | 52            | 100           | 150           | 180           |
| Contingency                                                         | 6             | 7                      | 13                     | 11            | 15            | 15            | 15            | 18            |
| Capital expenditure                                                 | 2,335         | 1,690                  | 1,631                  | 2,341         | 2,314         | 2,591         | 3,379         | 3,991         |
| Domestically financed                                               | 507           | 405                    | 345                    | 601           | 591           | 661           | 824           | 1,084         |
| Foreign financed                                                    | 1,828         | 1,285                  | 1,286                  | 1,740         | 1,723         | 1,930         | 2,555         | 2,907         |
| Change in balances and statistical discrepancy (overfinancing -) 3/ | -116          | -70                    | 175                    | -70           | -70           | 0             | 0             | 0             |
| Additional grants/measures 4/                                       | ...           | ...                    | ...                    | ...           | ...           | 0             | 644           | 578           |
| Overall balance (cash basis)                                        | -1,349        | -673                   | -409                   | -879          | -838          | -685          | -908          | -806          |
| Overall balance excluding grants                                    | -2,657        | -1,736                 | -1,426                 | -2,267        | -2,205        | -2,719        | -4,025        | -4,049        |
| Domestic balance                                                    | -600          | -222                   | -176                   | -244          | -216          | -596          | -1,255        | -933          |
| Domestic primary balance                                            | -36           | 393                    | 407                    | 611           | 539           | 254           | -461          | -195          |
| Financing                                                           | 1,349         | 673                    | 409                    | 879           | 838           | 685           | 908           | 806           |
| Domestic 5/                                                         | 1,041         | 577                    | 310                    | 573           | 550           | 501           | 412           | 245           |
| Bank                                                                | 979           | 463                    | 197                    | 434           | 411           | 343           | ...           | ...           |
| Nonbank                                                             | 62            | 114                    | 113                    | 139           | 140           | 158           | ...           | ...           |
| External                                                            | 308           | 97                     | 99                     | 306           | 288           | 185           | 497           | 560           |
| Program loans                                                       | 46            | 77                     | 3                      | 181           | 152           | 192           | 210           | 236           |
| Project loans                                                       | 633           | 402                    | 394                    | 548           | 534           | 377           | 473           | 515           |
| Amortization 2/                                                     | -371          | -383                   | -298                   | -423          | -398          | -384          | -186          | -191          |
| Additional debt relief at the completion point                      | ...           | ...                    | ...                    | ...           | ...           | 110           | 178           | 186           |
| Financing gap                                                       | 0             | 0                      | 0                      | 0             | 0             | 0             | 0             | 0             |
| Memorandum items:                                                   |               |                        |                        |               |               |               |               |               |
| Priority poverty-reducing spending 6/                               | 213           | 403                    | 361                    | 534           | 534           | ...           | ...           | ...           |
| External budget support                                             | 275           | 241                    | 128                    | 344           | 329           | 673           | 601           | 509           |
| External debt service                                               | 600           | 542                    | 438                    | 636           | 594           | 576           | 401           | 400           |
| Stock of domestic arrears (end period) 7/                           | 747           | 682                    | 695                    | 670           | 670           | 529           | 341           | 224           |
| Stock of domestic debt (end period) 8/                              | 4,481         | 5,058                  | 4,791                  | 5,054         | 5,031         | 5,532         | 5,943         | 6,188         |
| GDP (annual)                                                        | 20,520        | 25,578                 | 25,704                 | 25,578        | 25,704        | 31,172        | 35,174        | 39,542        |

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ Include purchases of goods and service, some allowances, and training expenses.

2/ The last Paris Club rescheduling agreement providing debt relief on Cologne flow terms expired at end-March 2003. Zambia is expected to accumulate external arrears on rescheduable debt until a new Paris Club agreement on Cologne flow terms is in place, following the approval of the PRGF arrangement. Once the completion point under the HIPC Initiative is reached, the Paris Club is expected to provide debt relief on Cologne stock terms.

3/ Payments to RAMCOZ employees for retrenchment (K 70 billion) released in 2003:Q4 were cashed in 2004:Q1.

4/ Possible measures will not affect poverty-reducing programs.

5/ Until 2003 at face value. From 2004 at cost value. Excludes bonds issued in 2001 in favor of the Bank of Zambia (K 1,646 billion) and in 2002 in favor of the Zambia National Commercial Bank (K 248 billions).

6/ From 2005, fiscal accounts will identify poverty-reducing spending according to a wider definition consistent with the PRSP (MEFP, para. 31).

7/ Excludes the stock of statutory pension arrears which was K 335 billion at end-2003.

8/ At cost value. Include bonds issued in 2001 in favor of BoZ (K 1,646 billion) and in 2002 in favor of the Zambia National Commercial Bank (K 248 billion).

Table 3. Zambia: Central Government Overall Operations, 2003-07  
(In percent of annual GDP)

|                                                                     | 2003<br>Prel. | 2004<br>Prog.<br>Q1-Q3 | 2004<br>Prel.<br>Q1-Q3 | 2004<br>Prog. | 2004<br>Proj. | 2005<br>Proj. | 2006<br>Proj. | 2007<br>Proj. |
|---------------------------------------------------------------------|---------------|------------------------|------------------------|---------------|---------------|---------------|---------------|---------------|
| Revenue and grants                                                  | 24.9          | 17.6                   | 17.2                   | 24.1          | 23.5          | 24.8          | 25.3          | 25.0          |
| Revenue                                                             | 17.9          | 13.5                   | 13.2                   | 18.7          | 18.2          | 18.3          | 18.3          | 18.3          |
| Tax revenue                                                         | 17.3          | 13.0                   | 12.9                   | 17.8          | 17.5          | 17.6          | 17.6          | 17.6          |
| Income taxes                                                        | 7.9           | 5.9                    | 5.8                    | 8.0           | 7.9           | 7.9           | 7.9           | 7.9           |
| Excise taxes                                                        | 2.3           | 1.7                    | 1.7                    | 2.4           | 2.3           | 2.3           | 2.3           | 2.3           |
| Value-added tax (VAT)                                               | 5.0           | 3.9                    | 3.8                    | 5.4           | 5.2           | 5.2           | 5.2           | 5.2           |
| Domestic VAT                                                        | 1.9           | 1.6                    | 1.3                    | 2.4           | 1.8           | 2.1           | 2.1           | 2.1           |
| Import VAT                                                          | 3.1           | 2.2                    | 2.5                    | 3.0           | 3.4           | 3.1           | 3.1           | 3.1           |
| Customs duty                                                        | 2.0           | 1.5                    | 1.6                    | 2.0           | 2.1           | 2.2           | 2.2           | 2.2           |
| Nontax revenue                                                      | 0.6           | 0.5                    | 0.4                    | 0.9           | 0.7           | 0.7           | 0.7           | 0.7           |
| Grants                                                              | 6.9           | 4.2                    | 4.0                    | 5.4           | 5.3           | 6.5           | 7.0           | 6.7           |
| Program                                                             | 1.1           | 0.6                    | 0.5                    | 0.6           | 0.7           | 1.5           | 1.1           | 0.7           |
| Project                                                             | 5.8           | 3.5                    | 3.5                    | 4.8           | 4.6           | 5.0           | 5.9           | 6.0           |
| Expenditures                                                        | 30.9          | 20.0                   | 19.5                   | 27.3          | 26.5          | 27.0          | 29.8          | 28.5          |
| Current expenditures                                                | 19.5          | 13.4                   | 13.1                   | 18.1          | 17.5          | 18.7          | 20.2          | 18.5          |
| Wages and salaries                                                  | 8.4           | 5.8                    | 5.8                    | 7.9           | 7.8           | 7.9           | 8.1           | 7.9           |
| Public service retrenchment                                         | 0.0           | 0.1                    | 0.0                    | 0.1           | 0.0           | 0.2           | 0.2           | 0.2           |
| Recurrent departmental charges (RDCs) 1/                            | 3.2           | 2.0                    | 2.2                    | 2.7           | 3.0           | 3.6           | 5.2           | 4.0           |
| Arrears clearance                                                   | 0.3           | 0.3                    | 0.2                    | 0.3           | 0.3           | 0.5           | 0.5           | 0.5           |
| Awards and compensations (court decisions)                          | 0.1           | 0.1                    | 0.1                    | 0.1           | 0.1           | 0.2           | 0.2           | 0.2           |
| Presidential affairs                                                | 0.0           | 0.0                    | 0.1                    | 0.1           | 0.1           | 0.1           | 0.1           | 0.1           |
| Elections and constitutional review                                 | 0.0           | 0.1                    | 0.1                    | 0.1           | 0.1           | 0.6           | 2.0           | 0.8           |
| Other RDCs                                                          | 2.7           | 1.6                    | 1.8                    | 2.1           | 2.5           | 2.3           | 2.4           | 2.5           |
| Transfers and pensions                                              | 1.8           | 1.2                    | 1.2                    | 1.6           | 1.6           | 1.9           | 1.9           | 1.8           |
| Of which: settlement of statutory pension arrears                   | 0.0           | 0.1                    | 0.1                    | 0.1           | 0.1           | 0.5           | 0.4           | 0.4           |
| Domestic interest                                                   | 2.7           | 2.4                    | 2.3                    | 3.3           | 2.9           | 2.7           | 2.3           | 1.9           |
| External interest 2/                                                | 1.1           | 0.6                    | 0.5                    | 0.8           | 0.8           | 0.6           | 0.6           | 0.5           |
| Other current expenditures                                          | 2.2           | 1.2                    | 1.1                    | 1.6           | 1.3           | 1.7           | 1.8           | 2.1           |
| Of which: financial restructuring                                   | 1.0           | 0.3                    | 0.1                    | 0.5           | 0.2           | 0.3           | 0.4           | 0.5           |
| Contingency                                                         | 0.0           | 0.0                    | 0.1                    | 0.0           | 0.1           | 0.0           | 0.0           | 0.0           |
| Capital expenditure                                                 | 11.4          | 6.6                    | 6.3                    | 9.2           | 9.0           | 8.3           | 9.6           | 10.1          |
| Domestically financed                                               | 2.5           | 1.6                    | 1.3                    | 2.4           | 2.3           | 2.1           | 2.3           | 2.7           |
| Foreign financed                                                    | 8.9           | 5.0                    | 5.0                    | 6.8           | 6.7           | 6.2           | 7.3           | 7.4           |
| Change in balances and statistical discrepancy (overfinancing -) 3/ | -0.6          | -0.3                   | 0.7                    | -0.3          | -0.3          | 0.0           | 0.0           | 0.0           |
| Additional grants/measures 4/                                       | ...           | ...                    | ...                    | ...           | ...           | 0.0           | 1.8           | 1.5           |
| Overall balance (cash basis)                                        | -6.6          | -2.6                   | -1.6                   | -3.4          | -3.3          | -2.2          | -2.6          | -2.0          |
| Overall balance excluding grants                                    | -12.9         | -6.8                   | -5.5                   | -8.9          | -8.6          | -8.7          | -11.4         | -10.2         |
| Domestic balance                                                    | -2.9          | -0.9                   | -0.7                   | -1.0          | -0.8          | -1.9          | -3.6          | -2.4          |
| Domestic primary balance                                            | -0.2          | 1.5                    | 1.6                    | 2.4           | 2.1           | 0.8           | -1.3          | -0.5          |
| Financing                                                           | 6.6           | 2.6                    | 1.6                    | 3.4           | 3.3           | 2.2           | 2.6           | 2.0           |
| Domestic 5/                                                         | 5.1           | 2.3                    | 1.2                    | 2.2           | 2.1           | 1.6           | 1.2           | 0.6           |
| Bank                                                                | 4.8           | 1.8                    | 0.8                    | 1.7           | 1.6           | ...           | ...           | ...           |
| Nonbank                                                             | 0.3           | 0.4                    | 0.4                    | 0.5           | 0.5           | ...           | ...           | ...           |
| External                                                            | 1.5           | 0.4                    | 0.4                    | 1.2           | 1.1           | 0.6           | 1.4           | 1.4           |
| Program loans                                                       | 0.2           | 0.3                    | 0.0                    | 0.7           | 0.6           | 0.6           | 0.6           | 0.6           |
| Project loans                                                       | 3.1           | 1.6                    | 1.5                    | 2.1           | 2.1           | 1.2           | 1.3           | 1.3           |
| Amortization 2/                                                     | -1.8          | -1.5                   | -1.2                   | -1.7          | -1.5          | -1.2          | -0.5          | -0.5          |
| Additional debt relief at the completion point                      | ...           | ...                    | ...                    | ...           | ...           | 0.4           | 0.5           | 0.5           |
| Financing gap                                                       | 0.0           | 0.0                    | 0.0                    | 0.0           | 0.0           | 0.0           | 0.0           | 0.0           |
| Memorandum items:                                                   |               |                        |                        |               |               |               |               |               |
| Priority poverty-reducing spending 6/                               | 1.0           | 1.6                    | 1.4                    | 2.1           | 2.1           | ...           | ...           | ...           |
| External budget support                                             | 1.3           | 0.9                    | 0.5                    | 1.3           | 1.3           | 2.2           | 1.7           | 1.3           |
| External debt service                                               | 2.9           | 2.1                    | 1.7                    | 2.5           | 2.3           | 1.8           | 1.1           | 1.0           |
| Stock of domestic arrears (end period) 7/                           | 3.6           | 2.7                    | 2.7                    | 2.6           | 2.6           | 1.7           | 1.0           | 0.6           |
| Stock of domestic debt (end period) 8/                              | 21.8          | 19.8                   | 18.6                   | 19.8          | 19.6          | 17.7          | 16.9          | 15.7          |
| GDP (annual)                                                        | 20,520        | 25,578                 | 25,704                 | 25,578        | 25,704        | 31,172        | 35,174        | 39,542        |

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ Include purchases of goods and service, some allowances, and training expenses.

2/ The last Paris Club rescheduling agreement providing debt relief on Cologne flow terms expired at end-March 2003. Zambia is expected to accumulate external arrears on rescheduable debt until a new Paris Club agreement on Cologne flow terms is in place, following the approval of the PRGF arrangement. Once the completion point under the HIPC Initiative is reached, the Paris Club is expected to provide debt relief on Cologne stock terms.

3/ Payments to RAMCOZ employees for retrenchment (K 70 billion) released in 2003:Q4 were cashed in 2004:Q1.

4/ Possible measures will not affect poverty-reducing programs.

5/ Until 2003 at face value. From 2004 at cost value. Excludes bonds issued in 2001 in favor of the Bank of Zambia (K 1,646 billion) and in 2002 in favor of the Zambia National Commercial Bank (K 248 billions).

6/ From 2005, fiscal accounts will identify poverty-reducing spending according to a wider definition consistent with the PRSP (MEFP, para. 31).

7/ Excludes the stock of statutory pension arrears which was K 335 billion at end-2003.

8/ At cost value. Include bonds issued in 2001 in favor of BoZ (K 1,646 billion) and in 2002 in favor of the Zambia National Commercial Bank (K 248 billion).

Table 4. Zambia: Monetary Survey, 2002-05

|                                                      | 2002   | 2003   | 2004    |        |         |        |        | 2005    |        |
|------------------------------------------------------|--------|--------|---------|--------|---------|--------|--------|---------|--------|
|                                                      |        |        | QI-QIII |        |         |        |        | Base 1/ | PRGF   |
|                                                      |        |        | Base 1/ | PRGF   | Act. 2/ | PRGF   | Proj.  |         |        |
| Net foreign assets                                   | -957   | -1,454 | -1,733  | -1,859 | -1,542  | -1,798 | -1,601 | -2,014  | -625   |
| Bank of Zambia                                       | -1,954 | -2,377 | -2,722  | -2,881 | -2,557  | -2,833 | -2,625 | -3,153  | -1,826 |
| Assets                                               | 1,692  | 892    | 1,038   | 814    | 1,161   | 857    | 1,088  | 1,211   | 1,403  |
| Liabilities                                          | -3,646 | -3,269 | -3,760  | -3,695 | -3,718  | -3,690 | -3,713 | -4,364  | -3,229 |
| Commercial banks                                     | 997    | 922    | 988     | 1,022  | 1,015   | 1,035  | 1,024  | 1,139   | 1,201  |
| Assets                                               | 1,081  | 1,030  | 1,104   | ...    | ...     | ...    | ...    | ...     | ...    |
| Liabilities                                          | -84    | -108   | -116    | ...    | ...     | ...    | ...    | ...     | ...    |
| Net domestic assets                                  | 4,577  | 5,922  | 6,201   | 7,021  | 7,007   | 7,077  | 7,213  | 7,626   | 7,303  |
| Net domestic credit                                  | 1,784  | 2,323  | 1,952   | 2,734  | 2,721   | 2,791  | 2,926  | 2,694   | 2,372  |
| Net claims on government                             | 1,932  | 2,746  | 2,473   | 2,936  | 2,670   | 2,907  | 2,829  | 2,829   | 3,172  |
| Claims on government                                 | 2,781  | 3,830  | 3,558   | ...    | 141     | 434    | 300    | ...     | ...    |
| Government deposits                                  | -849   | -1,085 | -1,085  | ...    | 55      | 0      | 55     | ...     | ...    |
| HIPC account (IMF)                                   | -1,704 | -1,929 | -2,067  | -2,067 | -2,067  | -2,067 | -2,067 | -2,299  | -3,460 |
| Claims on nongovernment                              | 1,556  | 1,506  | 1,545   | 1,865  | 2,118   | 1,951  | 2,165  | 2,165   | 2,661  |
| Claims on private sector                             | 1,019  | 1,390  | 1,429   | 1,719  | 1,949   | 1,803  | 1,994  | 1,994   | 2,438  |
| Claims on public enterprises                         | 537    | 116    | 116     | 146    | 169     | 148    | 171    | 171     | 222    |
| Other items (net)                                    | 2,793  | 3,599  | 4,250   | 4,286  | 4,286   | 4,286  | 4,286  | 4,931   | 4,931  |
| Broad money                                          | 3,620  | 4,468  | 4,468   | 5,162  | 5,465   | 5,279  | 5,612  | 5,612   | 6,678  |
| Narrow money                                         | 1,323  | 1,696  | 1,696   | ...    | ...     | ...    | ...    | ...     | ...    |
| Quasi money                                          | 2,296  | 2,772  | 2,772   | ...    | ...     | ...    | ...    | ...     | ...    |
| Foreign exchange deposits                            | 1,429  | 1,619  | 1,619   | ...    | ...     | ...    | ...    | ...     | ...    |
| Other                                                | 867    | 1,153  | 1,153   | ...    | ...     | ...    | ...    | ...     | ...    |
| (Change in percent of beginning-of-year broad money) |        |        |         |        |         |        |        |         |        |
| Net foreign assets                                   | 68.5   | -9.0   | ...     | -1.3   | 4.3     | 0.0    | 3.0    | ...     | 24.7   |
| Net domestic assets                                  | -37.0  | 32.5   | ...     | 16.9   | 18.0    | 18.1   | 22.6   | ...     | -5.7   |
| Net domestic credit                                  | -29.4  | 36.6   | ...     | 17.5   | 17.2    | 18.8   | 21.8   | ...     | -5.7   |
| Net claims on government                             | 3.1    | 27.0   | ...     | 10.4   | 4.4     | 9.7    | 8.0    | ...     | 6.1    |
| Claims on nongovernment                              | 6.1    | 9.6    | ...     | 7.2    | 12.8    | 9.1    | 13.9   | ...     | 8.8    |
| Claims on private sector                             | 2.7    | 9.0    | ...     | 6.5    | 11.6    | 8.4    | 12.6   | ...     | 7.9    |
| Claims on public enterprises                         | 3.5    | 0.6    | ...     | 0.7    | 1.2     | 0.7    | 1.2    | ...     | 0.9    |
| Other items (net)                                    | -7.6   | -4.1   | ...     | -0.7   | 0.8     | -0.7   | 0.8    | ...     | 0.0    |
| Broad money                                          | 31.5   | 23.4   | ...     | 15.5   | 22.3    | 18.1   | 25.6   | ...     | 19.0   |
| Velocity (GDP/M2)                                    | 4.5    | 4.6    | ...     | ...    | ...     | 4.8    | 4.6    | ...     | 4.7    |
| Program exchange rates                               |        |        |         |        |         |        |        |         |        |
| Kwacha per dollar                                    | 3,830  | 4,334  | 4,645   | 4,645  | 4,645   | 4,645  | 4,645  | 5,167   | 5,167  |
| Kwacha per SDR                                       | 4,826  | 5,634  | 6,457   | 6,457  | 6,457   | 6,457  | 6,457  | 7,588   | 7,588  |

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ The base for the year t is obtained recalculating the figures for end year t-1 on the basis of the program exchange rates assumed for the year t. Beginning in 2004, government securities are recorded at cost rather than at face value. Base for 2004 revised in October 2004.

2/ September 2004 partially estimated.

Table 5. Zambia: Assets and Liabilities of the Bank of Zambia, 2002-05  
(In billions of kwacha, unless otherwise indicated)

|                                               | 2002   | 2003   | 2004    |        |        |        |        | 2005    |        |
|-----------------------------------------------|--------|--------|---------|--------|--------|--------|--------|---------|--------|
|                                               |        |        | QI-QIII |        |        |        |        | Base 1/ | PRGF   |
|                                               |        |        | Base 1/ | PRGF   | Act.   | PRGF   | Proj.  |         |        |
| Net foreign assets                            | -1,954 | -2,377 | -2,722  | -2,881 | -2,557 | -2,833 | -2,625 | -3,153  | -1,826 |
| Assets                                        | 1,692  | 892    | 1,038   | 814    | 1,161  | 857    | 1,088  | 1,211   | 1,403  |
| Liabilities                                   | -3,646 | -3,269 | -3,760  | -3,695 | -3,718 | -3,690 | -3,713 | -4,364  | -3,229 |
| Of which : IMF (net)                          | -3,603 | -3,242 | -3,731  | -3,683 | -3,707 | -3,684 | -3,707 | -4,357  | -3,229 |
| Net domestic assets                           | 3,158  | 3,796  | 4,141   | 4,194  | 4,285  | 4,334  | 4,220  | 4,748   | 3,724  |
| Net domestic credit                           | -189   | -476   | -615    | -535   | -478   | -518   | -376   | -776    | -1,799 |
| Net claims on government                      | 1,128  | 1,090  | 1,090   | 1,120  | 1,156  | 1,120  | 1,236  | 1,068   | 1,119  |
| Claims on government                          | 1,865  | 1,973  | ...     | ...    | ...    | ...    | ...    | ...     | ...    |
| Government deposits                           | -737   | -883   | ...     | ...    | ...    | ...    | ...    | ...     | ...    |
| HIPC account (IMF)                            | -1,704 | -1,929 | -2,067  | -2,067 | -2,067 | -2,067 | -2,067 | -2,299  | -3,460 |
| Claims on nongovernment                       | 387    | 363    | 363     | 412    | 432    | 429    | 456    | 456     | 542    |
| Of which : claims on banks                    | 112    | 262    | ...     | ...    | ...    | ...    | ...    | ...     | ...    |
| Other items (net)                             | 3,347  | 4,272  | 4,755   | 4,729  | 4,764  | 4,734  | 4,764  | 5,524   | 5,524  |
| Open market operations                        | ...    | 0      | 0       | 0      | 0      | 118    | -168   | 0       | 0      |
| Reserve money                                 | 1,205  | 1,419  | 1,419   | 1,467  | 1,520  | 1,501  | 1,595  | 1,595   | 1,898  |
| Currency in circulation                       | 479    | 670    | 670     | ...    | 816    | ...    | ...    | ...     | ...    |
| Required reserves (kwacha deposits)           | 264    | 286    | 286     | ...    | 340    | ...    | ...    | ...     | ...    |
| Required reserves (foreign exchange deposits) | 234    | 224    | 224     | ...    | 276    | ...    | ...    | ...     | ...    |
| Dollar denominated                            | 86     | 224    | 224     | ...    | 276    | ...    | ...    | ...     | ...    |
| Kwacha denominated                            | 148    | 0      | 0       | ...    | 0      | ...    | ...    | ...     | ...    |
| Current accounts                              | 222    | 233    | 233     | ...    | 83     | ...    | ...    | ...     | ...    |
| Nongovernment deposits                        | 6      | 6      | 6       | ...    | 4      | ...    | ...    | ...     | ...    |
| Memorandum items:                             |        |        |         |        |        |        |        |         |        |
| Multiplier (broad money/reserve money)        | 3.0    | 3.1    | ...     | 3.5    | 3.6    | 3.5    | 3.5    | ...     | 3.5    |
| Percent change from end of previous year      | ...    | 17.8   | ...     | 3.4    | 7.1    | 5.7    | 12.4   | ...     | 19.0   |

Sources: Zambian authorities; and Fund staff estimates and projections.

1/ The base for the year t is obtained recalculating the figures for end year t-1 on the basis of the program exchange rates assumed for the year t. Beginning in 2004, government securities are recorded at cost rather than at face value. Base for 2004 revised in October 2004.



Table 6: Zambia: Balance of Payments, 2000-07  
(In millions of U.S. dollars, unless otherwise indicated)

|                                                        | 2000  | 2001   | 2002   | 2003   | 2004   |        | 2005   | 2006  | 2007  |
|--------------------------------------------------------|-------|--------|--------|--------|--------|--------|--------|-------|-------|
|                                                        |       |        |        | Prel.  | Prog.  | Proj.  | Proj.  | Proj. | Proj. |
| Current account balance 1/                             | -622  | -758   | -652   | -699   | -589   | -697   | -662   | -784  | -809  |
| Trade balance on goods and nonfactor services          | -446  | -570   | -504   | -549   | -433   | -507   | -351   | -405  | -370  |
| Merchandise trade balance                              | -221  | -342   | -259   | -311   | -166   | -227   | -66    | -107  | -76   |
| Exports, f.o.b.                                        | 746   | 884    | 916    | 1,052  | 1,403  | 1,588  | 1,698  | 1784  | 1828  |
| Metals                                                 | 497   | 590    | 560    | 669    | 949    | 1,103  | 1,163  | 1205  | 1197  |
| Nonmetal                                               | 249   | 295    | 357    | 383    | 454    | 485    | 535    | 579   | 631   |
| Imports, f.o.b.                                        | -978  | -1,253 | -1,204 | -1,393 | -1,599 | -1,845 | -1,797 | -1925 | -1939 |
| Metal sector                                           | -177  | -310   | -176   | -169   | -156   | -326   | -210   | -205  | -214  |
| Nonmetal                                               | -801  | -943   | -1,028 | -1,224 | -1,443 | -1,519 | -1,587 | -1720 | -1725 |
| Goods procured by airlines                             | 11    | 27     | 28     | 29     | 30     | 31     | 32     | 34    | 35    |
| Services, nonfactor (net)                              | -225  | -228   | -245   | -238   | -267   | -280   | -285   | -298  | -294  |
| Income (net)                                           | -158  | -168   | -155   | -148   | -132   | -165   | -280   | -343  | -400  |
| Of which: official interest payments                   | -155  | -144   | -137   | -131   | -120   | -120   | -108   | -101  | -97   |
| Current transfers (net)                                | -18   | -20    | 7      | -2     | -24    | -25    | -31    | -36   | -38   |
| Capital and financial accounts                         | 202   | 466    | 238    | 380    | 306    | 450    | 379    | 447   | 531   |
| Project grants                                         | 153   | 222    | 236    | 240    | 246    | 246    | 284    | 351   | 385   |
| Financial account                                      | 49    | 245    | 2      | 140    | 60     | 204    | 96     | 96    | 146   |
| Official loan disbursement (net)                       | -140  | -96    | -122   | -141   | -106   | -114   | -109   | -58   | -60   |
| Disbursement                                           | 93    | 136    | 111    | 101    | 110    | 110    | 69     | 80    | 83    |
| Amortization (-)                                       | -233  | -233   | -234   | -242   | -216   | -224   | -178   | -138  | -143  |
| Change in n.f.a. of commercial banks (increase -)      | -89   | 40     | -53    | 48     | -5     | -7     | -11    | -10   | -10   |
| Private capital (net)                                  | 278   | 301    | 178    | 233    | 171    | 325    | 215    | 164   | 215   |
| Foreign direct investment                              | 122   | 72     | 178    | 172    | 192    | 270    | 206    | 158   | 187   |
| Private borrowing (net)                                | 156   | 229    | 0      | 61     | -21    | 55     | 9      | 6     | 28    |
| Errors and omissions, short-term capital               | 111   | -107   | 31     | -2     | 0      | 0      | 0      | 0     | 0     |
| Overall balance                                        | -309  | -399   | -383   | -321   | -283   | -246   | -283   | -336  | -278  |
| Financing                                              | 309   | 399    | 383    | 321    | 283    | 246    | 283    | 228   | 186   |
| Change in net int. reserves of BoZ (increase -)        | -155  | -124   | -225   | -164   | 12     | -21    | -274   | -41   | -67   |
| Gross official reserves of BoZ (increase -)            | -68   | 0      | -169   | 87     | 24     | -5     | -45    | -58   | -44   |
| IMF (net)                                              | -80   | -119   | -50    | -244   | -5     | -9     | -223   | 17    | -23   |
| Disbursements                                          | 26    | 94     | 173    | 0      | 236    | 236    | 32     | 32    | 16    |
| Repayments                                             | -106  | -213   | -222   | -244   | -241   | -245   | -255   | -15   | -39   |
| Debt relief                                            | 217   | 436    | 437    | 391    | 276    | 276    | 435    | 167   | 170   |
| Non-HIPC 2/                                            | 217   | 170    | 171    | 154    | 120    | 120    | 67     | 19    | 21    |
| HIPC, including IMF 3/                                 | ...   | 266    | 266    | 237    | 156    | 156    | 338    | 118   | 120   |
| Of which: IMF                                          | ...   | 150    | 153    | 171    | 0      | 0      | 225    | 0     | 0     |
| Of which: Paris Club 4/                                | ...   | 65     | 64     | 16     | 100    | 100    | 53     | 55    | 57    |
| Possible additional debt relief after HIPC CP 6/       | ...   | ...    | ...    | ...    | ...    | ...    | ...    | 30    | 30    |
| Other debt-related items 5/                            | 42    | -19    | 21     | -10    | -14    | -14    | 0      | 0     | 0     |
| Net change in arrears (increase +) 4/                  | -10   | 31     | 12     | 48     | -60    | -60    | 0      | 0     | 0     |
| Program support                                        | 185   | 75     | 138    | 55     | 69     | 66     | 123    | 101   | 82    |
| Grants                                                 | 32    | 31     | 69     | 45     | 33     | 36     | 88     | 66    | 44    |
| Loans                                                  | 154   | 44     | 69     | 10     | 36     | 30     | 35     | 35    | 38    |
| Financing gap (+ deficit)                              | 0     | 0      | 0      | 0      | 0      | 0      | 0      | 109   | 93    |
| Memorandum items:                                      |       |        |        |        |        |        |        |       |       |
| Current acc't bal. excl. grants (in percent of GDP)    | -19.2 | -20.8  | -17.3  | -16.2  | -11.4  | -13.1  | -11.6  | -13.2 | -12.7 |
| Current acc't bal. incl. grants (in US\$m) 6/          | -369  | -394   | -246   | -323   | -238   | -343   | -226   | -238  | -261  |
| Current acc't bal. incl. grants (in percent of GDP) 7/ | -11.4 | -10.8  | -6.5   | -7.5   | -4.6   | -6.4   | -4.0   | -4.0  | -4.1  |
| Merchandise trade balance (in percent of GDP)          | -6.8  | -9.4   | -6.9   | -7.2   | -3.2   | -4.3   | -1.2   | -1.8  | -1.2  |
| Terms of trade (percentage change)                     | -4.5  | -2.1   | -7.0   | 4.6    | 10.7   | 22.1   | -8.3   | -3.1  | 0.4   |
| Copper volume (in thousands of metric tons)            | 234   | 297    | 330    | 353    | 382    | 384    | 469    | 538   | 563   |
| Copper price (in U.S. dollars per pound)               | 0.82  | 0.77   | 0.70   | 0.78   | 0.96   | 1.16   | 0.99   | 0.86  | 0.81  |
| Gross official reserves 8/                             | 114   | 114    | 283    | 197    | 173    | 201    | 246    | 304   | 348   |
| (in months of imports)                                 | 1.0   | 0.9    | 2.2    | 1.3    | 1.0    | 1.1    | 1.3    | 1.5   | 1.7   |
| Official debt service, cash payments 9/                | 139   | 142    | 123    | 187    | 376    | 373    | 132    | 87    | 109   |
| (in percent of exports)                                | 15.9  | 13.5   | 11.4   | 15.0   | 23.4   | 20.8   | 6.9    | 4.3   | 5.2   |
| Official budget debt service, cash payments            | 130   | 70     | 50     | 108    | 129    | 122    | 101    | 68    | 65    |
| Net present value of debt, in percent of exports 10/   | 214   | 211    | 212    | 192    | 157    | 164    | 132    | 117   | 114   |

Sources: Bank of Zambia; and Fund staff estimates and projections.

1/ Excludes grants and debt relief on interest.

2/ Indicates debt relief that would have been available under the traditional mechanism, relative to 1999 Paris Club rescheduling, comparable treatment from non-Paris Club bilaterals, and the 1997 restructuring of Camdex claim on the BoZ.

3/ It is assumed that Zambia will reach the HIPC completion point in early 2005.

4/ The last Paris Club agreement providing debt relief on Cologne flow terms expired at end-March 2003. Zambia is expected to accumulate external arrears until a new agreement can be reached when a new PRGF arrangement is in place.

5/ Reconciliation of scheduled debt service after scheduled debt relief with actual cash payments. Item includes overpayments, refunds, debt service carryover, currency revaluations and additional debt relief.

6/ Additional debt relief is expected from Paris Club creditors once Zambia reaches the HIPC completion point.

7/ Includes project and program grants, as well as debt relief on interest payments. Also includes grants assumed to partially close the financing gap.

8/ Reserves at current exchange rates. Includes balances in the special Bank for International Settlements.

9/ Includes debt service on new PRGF disbursements as well as loans assumed to help close the financing gap. Also assumes possible additional debt relief beyond HIPC from 2005.

10/ Includes possible additional loans to fill the financing gap and possible additional debt relief beyond the HIPC Initiative.

Table 7. Zambia: External Financing, 2000-07  
(In millions of U.S. dollars)

|                                                                  | 2000 | 2001 | 2002  | 2003  | 2004  |       | 2005  | 2006  | 2007  |
|------------------------------------------------------------------|------|------|-------|-------|-------|-------|-------|-------|-------|
|                                                                  |      |      |       | Prel. | Prog. | Proj. | Proj. | Proj. | Proj. |
| Current account deficit (excl. official transfers and interest ) | -467 | -614 | -543  | -589  | -469  | -576  | -553  | -683  | -712  |
| Change in n.f.a. of commercial banks                             | -89  | 40   | -53   | 48    | -5    | -7    | -11   | -10   | -10   |
| Private capital (net)                                            | 278  | 301  | 178   | 233   | 171   | 325   | 215   | 164   | 215   |
| Gross reserves (increase -)                                      | -68  | 0    | -169  | 87    | 24    | -5    | -45   | -58   | -44   |
| BoZ liabilities                                                  | -7   | -5   | -6    | -6    | -6    | -6    | -6    | 0     | 0     |
| Other foreign assets of the BoZ                                  | 30   | ...  | ...   | ...   | ...   | ...   | ...   | ...   | ...   |
| Debt service, scheduled 1/                                       | -494 | -590 | -593  | -616  | -578  | -590  | -542  | -254  | -279  |
| Interest                                                         | -155 | -144 | -137  | -131  | -120  | -120  | -108  | -101  | -97   |
| Multilaterals                                                    | -39  | -37  | -31   | -33   | -33   | -33   | -31   | -29   | -30   |
| <i>Of which</i> : IMF                                            | -9   | -8   | -3    | -6    | -6    | -6    | -5    | -4    | -5    |
| Bilaterals                                                       | -116 | -107 | -105  | -98   | -88   | -88   | -77   | -72   | -67   |
| <i>Of which</i> : Paris Club                                     | -114 | -105 | -104  | -97   | -88   | -88   | -77   | -72   | -67   |
| Amortization                                                     | -340 | -446 | -456  | -486  | -458  | -470  | -433  | -153  | -181  |
| Multilaterals                                                    | -41  | -260 | -270  | -295  | -292  | -297  | -305  | -74   | -98   |
| <i>Of which</i> : IMF                                            | 0    | -213 | -222  | -244  | -241  | -245  | -251  | -15   | -39   |
| Bilaterals                                                       | -192 | -186 | -186  | -191  | -173  | -173  | -123  | -78   | -83   |
| <i>Of which</i> : Paris Club                                     | -173 | -167 | -169  | -180  | -162  | -162  | -116  | -74   | -80   |
| Other debt-related items                                         | 42   | -19  | 21    | -10   | -14   | -14   | 0     | 0     | 0     |
| Accumulation of arrears (increase +)                             | -10  | 31   | 12    | 48    | -60   | -60   | 0     | 0     | 0     |
| Financing gap before debt relief and donor disbursements         | -785 | -856 | -1153 | -806  | -937  | -934  | -942  | -840  | -829  |
| Debt relief                                                      | 217  | 436  | 437   | 391   | 276   | 276   | 435   | 167   | 170   |
| Before HIPC-Paris Club 2/                                        | 217  | 170  | 171   | 154   | 120   | 120   | 67    | 19    | 21    |
| HIPC debt relief 3/                                              | ...  | 266  | 266   | 237   | 156   | 156   | 338   | 118   | 120   |
| <i>Of which</i> : IMF                                            | ...  | 150  | 153   | 171   | 0     | 0     | 225   | 0     | 0     |
| <i>Of which</i> : Paris Club                                     | ...  | 65   | 64    | 16    | 100   | 100   | 53    | 55    | 57    |
| Possible additional debt relief after HIPC CP 4/                 | ...  | ...  | ...   | ...   | ...   | ...   | ...   | 30    | 30    |
| Gross official assistance                                        | 457  | 527  | 685   | 416   | 661   | 658   | 508   | 564   | 566   |
| Official creditors, excl. IMF                                    | 431  | 433  | 512   | 416   | 425   | 422   | 475   | 532   | 550   |
| Budgetary support                                                | 185  | 75   | 138   | 55    | 69    | 66    | 123   | 101   | 82    |
| World Bank 5/                                                    | 140  | 44   | 56    | 20    | 34    | 21    | 20    | 20    | 20    |
| AfDB                                                             | 13   | 0    | 13    | 0     | 9     | 9     | 15    | 15    | 18    |
| EU/Other 6/                                                      | 32   | 31   | 69    | 35    | 26    | 36    | 88    | 66    | 44    |
| Project financing                                                | 246  | 358  | 347   | 341   | 356   | 356   | 353   | 431   | 468   |
| Grants                                                           | 153  | 222  | 236   | 240   | 246   | 246   | 284   | 351   | 385   |
| Loans                                                            | 93   | 136  | 111   | 101   | 110   | 110   | 69    | 80    | 83    |
| Commodity support                                                | 0    | 0    | 27    | 20    | 0     | 0     | 0     | 0     | 0     |
| IMF (PRGF)                                                       | 26   | 94   | 173   | 0     | 236   | 236   | 32    | 32    | 16    |
| Errors and omissions                                             | 111  | -107 | 31    | -2    | 0     | 0     | 0     | 0     | 0     |
| Financing gap (deficit -)                                        | 0    | 0    | 0     | 0     | 0     | 0     | 0     | -109  | -93   |
| Memorandum items:                                                |      |      |       |       |       |       |       |       |       |
| Official debt service, cash payments, incl IMF                   | -245 | -142 | -123  | -187  | -376  | -388  | -107  | -86   | -108  |
| Official debt service, cash payments, excl IMF                   | -237 | -70  | -50   | -108  | -129  | -137  | -76   | -67   | -65   |
| <i>Of which</i> : Paris Club                                     | -38  | -26  | -5    | -69   | -104  | -104  | -73   | -42   | -40   |
| Net resource inflows, incl. IMF                                  | 212  | 385  | 563   | 230   | 285   | 269   | 401   | 478   | 457   |
| In percent of GDP                                                | 7    | 11   | 15    | 5     | 6     | 5     | 7     | 10    | 9     |
| Net resource inflows, excl. IMF                                  | 195  | 363  | 462   | 308   | 296   | 285   | 400   | 465   | 485   |
| In percent of GDP                                                | 6    | 10   | 12    | 7     | 6     | 5     | 7     | 8     | 8     |
| Gross official external reserves , eop                           | 114  | 114  | 283   | 197   | 173   | 201   | 246   | 304   | 348   |
| In months of imports                                             | 1.0  | 0.9  | 2.2   | 1.3   | 1.0   | 1.1   | 1.3   | 1.5   | 1.7   |
| In recent of annual official debt service                        | 82   | 80   | 231   | 105   | 46    | 54    | 187   | 351   | 319   |

Sources: Bank of Zambia (BoZ); and IMF staff estimates and projections.

1/ Scheduled before debt relief. Drawn from 2000 decision point document adjusted for new loans.

2/ Indicates debt relief that would have been available under the traditional mechanism, relative to 1999 Paris Club rescheduling, comparable treatment from non-Paris Club bilaterals and the 1997 restructuring of Camdex claim on the BoZ.

3/ Includes possible debt relief under a new rescheduling on Cologne flow terms expected to be provided by the Paris Club once a PRGF arrangement is in place as well as a rescheduling under Cologne stock terms once the HIPC completion point is reached, assumed in early 2005.

4/ Possible additional debt relief above and beyond HIPC assistance from bilateral creditors following the HIPC completion point.

5/ Assumes that Zambia moves and remains on the base case for CAS.

6/ Assumes that disbursements under the EU variable tranche will be about 50 percent of funds allocated.

Table 8. Zambia: Status of Key Reform Objectives for Reaching the Floating Completion Point Under the Enhanced HIPC Initiative

| Reform Objectives/Measures                                                                                                                                                                                                                 | Status                                                                                                                                                                      |
|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Poverty reduction                                                                                                                                                                                                                          |                                                                                                                                                                             |
| <ul style="list-style-type: none"> <li>The adoption of a PRSP to be prepared through a participatory process, and satisfactory progress with implementing and monitoring the PRSP for at least one year based on annual report.</li> </ul> | The implementation of the PRSP is ongoing. The government is finalizing the second progress report. Implementation and monitoring of the PRSP improved through June 2004.   |
| Social sectors                                                                                                                                                                                                                             |                                                                                                                                                                             |
| Progress in combating HIV/AIDS                                                                                                                                                                                                             |                                                                                                                                                                             |
| <ul style="list-style-type: none"> <li>full staffing of secretariat to National HIV/AIDS/STD/TB Council.</li> </ul>                                                                                                                        | Implemented                                                                                                                                                                 |
| <ul style="list-style-type: none"> <li>integration of HIV/AIDS awareness and prevention programs in the pre-service and in-service programs of at least 10 key ministries.</li> </ul>                                                      | Implemented                                                                                                                                                                 |
| Progress in education sector reform as indicated by                                                                                                                                                                                        |                                                                                                                                                                             |
| <ul style="list-style-type: none"> <li>increasing the share of education in the discretionary budget from 18.5 percent in 1999 to at least 20.5 percent.</li> </ul>                                                                        | The target was met in 2001, but the indicator fell to 18 percent in 2002. In 2003, it increased to 20.6 percent. For 2004, it is projected at 20.8 percent.                 |
| <ul style="list-style-type: none"> <li>raising the starting compensation of teachers in rural areas above the poverty line for a household, as defined by the Central Statistical Office.</li> </ul>                                       | Implemented                                                                                                                                                                 |
| <ul style="list-style-type: none"> <li>increasing student retention in northern, eastern, northwestern, and western provinces and Luapula Province.</li> </ul>                                                                             | Observed                                                                                                                                                                    |
| Progress in health sector reform as indicated by                                                                                                                                                                                           |                                                                                                                                                                             |
| <ul style="list-style-type: none"> <li>implementation and scaling up of an action plan for malaria;</li> </ul>                                                                                                                             | Implemented                                                                                                                                                                 |
| <ul style="list-style-type: none"> <li>procedures and mechanisms for the procurement of drugs reorganized to be fully transparent and efficient;</li> </ul>                                                                                | Implemented                                                                                                                                                                 |
| <ul style="list-style-type: none"> <li>timely release of complete, detailed annual health expenditure data; and</li> </ul>                                                                                                                 | Implemented                                                                                                                                                                 |
| <ul style="list-style-type: none"> <li>actual cash releases to District Health Management Boards shall be at least 80 percent of amount budgeted.</li> </ul>                                                                               | Implemented                                                                                                                                                                 |
| Macroeconomic and structural reforms                                                                                                                                                                                                       |                                                                                                                                                                             |
| <ul style="list-style-type: none"> <li>Maintenance of a stable macroeconomic environment, as evidenced by satisfactory performance under a program supported by PRGF arrangement.</li> </ul>                                               | Observed for 2002. Performance in 2003 was unsatisfactory. Implementation of the PRGF through Sept 2004 was on track.                                                       |
| <ul style="list-style-type: none"> <li>Implementation of an integrated financial management information system (IFMIS) on a pilot basis for at least three ministries and a midterm review of the pilot program.</li> </ul>                | The contract for the supply and installation of hardware and software for an IFMIS is expected to be signed shortly so that piloting in three line ministries can commence. |
| <ul style="list-style-type: none"> <li>Implementation of a Medium-Term Expenditure Framework (MTEF) prepared by MoFED and approved by the cabinet.</li> </ul>                                                                              | A MTEF for 2005-07 was approved by Cabinet in Oct 2004.                                                                                                                     |
| <ul style="list-style-type: none"> <li>Restructuring and issue of international bidding documents for the sale of a majority (controlling) interest in the power company ZESCO.</li> </ul>                                                 | The government is implementing a strategy to commercialize ZESCO to meet the same objectives as privatization.                                                              |
| <ul style="list-style-type: none"> <li>Issuance of international bidding documents for the sale of a majority (controlling) interest in the Zambian National Commercial Bank.</li> </ul>                                                   | Implemented. Negotiations with the preferred bidders are continuing.                                                                                                        |

Source: Zambian authorities; and Fund staff assessment.

Table 9. Zambia: Millenium Development Goals 1/

|                                                                                                                                   | 1990  | 1995  | 2001  | 2002  | 2015<br>Target |
|-----------------------------------------------------------------------------------------------------------------------------------|-------|-------|-------|-------|----------------|
| <b>Goal 1. Eradicate extreme poverty and hunger</b>                                                                               |       |       |       |       |                |
| Target 1: Halve, between 1990 and 2015, the proportion of people whose income is less than one dollar a day                       |       |       |       |       |                |
| 1. Population below US\$1 a day (in percent)                                                                                      | ...   | ...   | 63.7  | ...   | ...            |
| 2. Poverty gap ration at US\$1 a day (in percent)                                                                                 | ...   | ...   | 32.7  | ...   | ...            |
| 3. Share of income or consumption held by poorest 20 percent (in percent)                                                         | ...   | ...   | 3.3   | ...   | ...            |
| Target 2: Halve, between 1990 and 2015, the proportion of people suffering hunger                                                 |       |       |       |       |                |
| 4. Prevalence of child malnutrition (in percent of children under 5)                                                              | 25.2  | 23.5  | ...   | ...   | 12.6           |
| 5. Population below minimum level of dietary energy consumption (in percent)                                                      | 45.0  | 47.0  | 50.0  | ...   | 22.5           |
| <b>Goal 2. Achieve universal primary education</b>                                                                                |       |       |       |       |                |
| Target 3: Ensure that, by 2015, children will be able to complete a full course of primary schooling                              |       |       |       |       |                |
| 6. Net primary enrollment ratio (in percent of relevant age group)                                                                | ...   | 74.8  | 66.0  | ...   | 100.0          |
| 7. Percentage of cohort reaching grade 5 (percent)                                                                                | ...   | ...   | 76.7  | ...   | ...            |
| 8. Youth literacy rate (percent ages 15-24)                                                                                       | 81.2  | 85.1  | 88.7  | 89.2  | ...            |
| <b>Goal 3. Promote gender equality and empower women</b>                                                                          |       |       |       |       |                |
| Target 4: Eliminate gender disparity in primary and secondary education preferably by 2005 and to all levels of education by 2015 |       |       |       |       |                |
| 9. Ratio of girls to boys in primary and secondary education (percent)                                                            | 86.5  | 88.1  | ...   | ...   | 100.0          |
| 10. Ratio of young literate females to males (percent ages 15-24)                                                                 | 88.1  | 91.5  | 94.6  | 95.0  | ...            |
| 11. Share of women employed in the nonagricultural sector (percent)                                                               | 36.1  | ...   | ...   | ...   | ...            |
| 12. Proportion of seats held by women in the national parliament (percent)                                                        | ...   | 7.0   | ...   | ...   | ...            |
| <b>Goal 4. Reduce child mortality</b>                                                                                             |       |       |       |       |                |
| Target 5: Reduce by two-thirds, between 1990 and 2015, the under-5 mortality rate                                                 |       |       |       |       |                |
| 13. Under-5 mortality rate (per 1,000)                                                                                            | 180.0 | 182.0 | 182.0 | 182.0 | 60.0           |
| 14. Infant mortality rate (per 1,000 live births)                                                                                 | 101.0 | 102.0 | 102.0 | 102.0 | ...            |
| 15. Immunization against measles (in percent of children under 12 months)                                                         | 90.0  | 86.0  | 85.0  | 85.0  | ...            |
| <b>Goal 5. Improve maternal health</b>                                                                                            |       |       |       |       |                |
| Target 6: Reduce by three-fourths, between 1990 and 2015, the maternal mortality ratio                                            |       |       |       |       |                |
| 16. Maternal mortality ratio (modeled estimate, per 100,000 live births)                                                          | ...   | ...   | 750.0 | ...   | ...            |
| 17. Proportion of births attended by skilled health personnel                                                                     | 50.5  | 46.5  | 47.1  | 43.4  | ...            |
| <b>Goal 6. Combat HIV/AIDS, malaria, and other diseases</b>                                                                       |       |       |       |       |                |
| Target 7: Halt by 2015, and begin to reverse, the spread of HIV/AIDS                                                              |       |       |       |       |                |
| 18. HIV prevalence among females (percent ages 15-24)                                                                             | ...   | ...   | 21.0  | ...   | ...            |
| 19. Contraceptive prevalence rate (percent of women ages 15-49)                                                                   | 15.2  | 25.9  | ...   | ...   | ...            |
| 20. Number of children orphaned by HIV/AIDS (in thousands)                                                                        | ...   | ...   | 570.0 | ...   | ...            |
| Target 8: Halt by 2015, and begin to reverse, the incidence of malaria and other major diseases                                   |       |       |       |       |                |
| 21. Prevalence of death associated with malaria                                                                                   | ...   | ...   | ...   | ...   | ...            |
| 22. Share of population in malaria risk areas using effective prevention and treatment                                            | ...   | ...   | ...   | ...   | ...            |
| 23. Incidence of tuberculosis (per 100,000 people)                                                                                | ...   | ...   | 653.0 | 668.4 | ...            |
| 24. Tuberculosis cases detected under DOTS (in percent)                                                                           | ...   | ...   | ...   | 40.3  | ...            |

Table 9. Zambia: Millenium Development Goals (concluded)

|                                                                                                                                       | 1990 | 1995 | 2001 | 2002 | 2015<br>Target |
|---------------------------------------------------------------------------------------------------------------------------------------|------|------|------|------|----------------|
| <b>Goal 7. Ensure environmental sustainability</b>                                                                                    |      |      |      |      |                |
| Target 9: Integrate the principles of sustainable development into policies and programs; reverse the loss of environmental resources |      |      |      |      |                |
| 25. Forest area (percent of total land area)                                                                                          | 53.5 | ...  | 42.0 | ...  | ...            |
| 26. Nationally protected areas (percent of total land area)                                                                           | ...  | 8.6  | 8.6  | 61.0 | ...            |
| 27. GDP per unit of energy use (PPP in US\$ per kg oil equivalent)                                                                    | 1.1  | 1.1  | 1.3  | ...  | ...            |
| 28. CO2 emissions (metric tons per capita)                                                                                            | 0.3  | 0.3  | 0.2  | ...  | ...            |
| 29. Proportion of population using solid fuels                                                                                        | ...  | ...  | ...  | ...  | ...            |
| Target 10: Halve by 2015 proportion of people without access to safe drinking water                                                   |      |      |      |      |                |
| 30. Access to improved water source (in percent of population)                                                                        | 52.0 | ...  | 64.0 | ...  | 78.0           |
| Target 11: Achieve by 2020 significant improvement for at least 100 million slum dwellers                                             |      |      |      |      |                |
| 31. Access to improved sanitation (in percent of population)                                                                          | 63.0 | ...  | 78.0 | ...  | ...            |
| 32. Access to secure tenure (in percent of population)                                                                                | ...  | ...  | ...  | ...  | ...            |
| <b>Goal 8. Develop a Global Partnership for Development 2/</b>                                                                        |      |      |      |      |                |
| Target 16: Develop and implement strategies for productive work for youth                                                             |      |      |      |      |                |
| 45. Unemployment rate of population ages 15-24 (total)                                                                                | ...  | ...  | ...  | ...  | ...            |
| Female                                                                                                                                | ...  | ...  | ...  | ...  | ...            |
| Male                                                                                                                                  | ...  | ...  | ...  | ...  | ...            |
| Target 17: Provide access to affordable essential drugs                                                                               |      |      |      |      |                |
| 46. Proportion of population with access to affordable essential drugs                                                                | ...  | ...  | ...  | ...  | ...            |
| Target 18: Make available new technologies, especially information and communications                                                 |      |      |      |      |                |
| 47. Fixed line and mobile telephones (number per 1,000 people)                                                                        | 8.4  | 8.8  | 19.6 | 21.2 | ...            |
| 48. Personal computers (number per 1,000 people)                                                                                      | ...  | ...  | 7.1  | 7.5  | ...            |

Sources: World Bank; and Fund staff estimates.

1/ Figures may not be available for indicated years in which case figures from nearby years have been used.

2/ Targets 12-15 and indicators 33-44 are excluded because they cannot be measured on a country-specific basis. These are related to official development assistance, market access, and the HIPC Initiative.

Table 10. Zambia: Schedule of Disbursements Under the Proposed PRGF Arrangement, 2004-07

| Amount                   |                          | Availability<br>Date | Conditions Necessary for Disbursement                                                              |
|--------------------------|--------------------------|----------------------|----------------------------------------------------------------------------------------------------|
| (In millions of<br>SDRs) | (In percent<br>of quota) |                      |                                                                                                    |
| 82.5356                  | 16.88                    | June 16, 2004        | Board approved the three-year arrangement and endorsed the annual program.                         |
| 82.5356                  | 16.88                    | December 16, 2004    | Observance of performance criteria for September 30, 2004, and completion of the first review.     |
| 5.5024                   | 1.13                     | March 15, 2005       | Observance of performance criteria for the December 31, 2004, and completion of the second review. |
| 5.5024                   | 1.13                     | June 16, 2005        | Observance of performance criteria for the March 31, 2005.                                         |
| 5.5024                   | 1.13                     | September 13, 2005   | Observance of performance criteria for the June 30, 2005, and completion of the third review.      |
| 5.5024                   | 1.13                     | December 13, 2005    | Observance of performance criteria for the September 30, 2005.                                     |
| 5.5024                   | 1.13                     | March 15, 2006       | Observance of the performance criteria for December 31, 2005, and completion of the fourth review. |
| 5.5024                   | 1.13                     | June 16, 2006        | Observance of performance criteria for the March 31, 2006.                                         |
| 5.5024                   | 1.13                     | September 13, 2006   | Observance of performance criteria for the June 30, 2006, and completion of the fifth review.      |
| 5.5024                   | 1.13                     | December 13, 2006    | Observance of performance criteria for the September 30, 2006.                                     |
| 5.5024                   | 1.13                     | March 14, 2007       | Observance of performance criteria for the December 31, 2006, and completion of the sixth review.  |
| 5.5024                   | 1.13                     | May 31, 2007         | Observance of performance criteria for the March 31, 2007.                                         |

Lusaka

November 30, 2004

Mr. Rodrigo de Rato  
Managing Director  
International Monetary Fund  
Washington, D.C.

Dear Mr. de Rato:

The Government of Zambia presents the attached Memorandum of Economic and Financial Policies (MEFP) in support of its request for the second disbursement under the Poverty Reduction and Growth Facility (PRGF) arrangement that was approved by the Executive Board of the IMF on June 16, 2004. The MEFP reviews the progress we have made in implementing the program supported under the PRGF and sets out the policies that the Government of Zambia will pursue in 2005.

The Government requests the IMF Executive Board to grant waivers for the nonobservance of three performance criteria. As described in the MEFP, payments of domestic arrears fell slightly short of the level envisaged under the corresponding performance criteria but government has subsequently corrected the shortfall. The signing of the contract for the supply and installation of the hardware and software to implement the integrated financial management and information system (IFMIS) was delayed. As a result it was not possible to initiate the pilot implementation of the IFMIS in September as called for under the structural performance criterion. The contract is expected to be signed shortly and the piloting of the IFMIS will commence thereafter. In November, we adopted actions plans for the resolution the National Savings and Credit Bank and the Development Bank of Zambia. However, after careful consideration, we concluded that further work, which is now underway, is needed to finalize plans to resolve the Zambia National Building Society (ZNBS). As a result, the end-October performance criterion on the adoption of action plans for all three of these nonbank financial institutions was not met. A final decision will be taken when the budget for 2005, which includes funds to meet the costs of resolving the ZNBS, has been approved.

Successful implementation of policies supported by the PRGF arrangement will be essential to allow Zambia to reach the Completion Point under the enhanced HIPC Initiative early in 2005. Attaining the Completion Point will be key to reducing Zambia's external debt to sustainable levels and will also lower debt service payments to manageable levels, so as to release resources to poverty-reducing expenditures.

The Government of Zambia believes that the policies set forth in the attached MEFP, which was approved by the Government on November 26, are adequate to achieve the objectives of its program, but it will take any further measures that may become appropriate for this

purpose. Zambia will consult with the IMF on the adoption of these measures and in advance of revisions to policies contained in the MEFP, in accordance with the Fund's policies on such consultation.

The Government of Zambia authorizes the IMF to make this letter and attached memoranda available to the public, including through the placement of these documents on the IMF website, subject to the removal of market-sensitive information, following the IMF Executive Board conclusion of the review.

Yours sincerely,

/s/

Hon. Ng'andu Peter Magande, MP  
Minister of Finance and National Planning



## ZAMBIA

### Memorandum of Economic and Financial Policies of the Government of Zambia for 2005

#### I. Performance Under the Program Supported by the PRGF Arrangement

1. All but one of the quantitative performance criteria and all of the benchmarks for end-September 2004 under the program supported by the Poverty Reduction and Growth Facility (PRGF) were met (Table 1). In particular, the targets for gross international reserves, net domestic assets of the Bank of Zambia, and net domestic financing of the government were met by wide margins. The wage bill was held within the program ceiling and transfers to the special account in the Bank of Zambia to fund priority poverty reducing projects were made as envisaged. However, government payments of domestic arrears fell slightly short of the target—resulting in the nonobservance of this performance criterion.

2. **Most of the structural measures monitored under the PRGF were implemented, albeit with delays in some cases (Table 2).** Negotiations for the settlement of domestic arrears identified in the multiyear plan were initiated in July. The government has maintained tight control over expenditures and refrained from paying amounts for which it was not legally liable and which were not included in the budget. Unforeseen spending was funded only to the limits of the contingency account or after cabinet approval including identification of spending savings elsewhere (see paragraph 5). Beginning with the report for the second quarter, quarterly budget execution reports have been published within 45 days from the end of the quarter and have incorporated the activity-based budgeting (ABB) classification. Also, after some delay, a contract for the supply and installation of the integrated financial management and information system (IFMIS) is expected to be signed shortly. Consequently, the initiation of the piloting of the IFMIS in three ministries—a performance criterion for end-September under the PRGF arrangement—was delayed. The cabinet is still discussing the policy for granting tax incentives, a structural benchmark for September 2004. In this context, the government has decided not to proceed with proposals to amend the Export Processing Zones Act, and will monitor the progress of a single export processing zone before granting further applications. With regard to financial sector reforms, the Government and the Bank of Zambia (BoZ) adopted in November action plans for the resolution of the National Savings and Credit Bank and the Development Bank of Zambia. A final decision on an action plan for the resolution of the Zambia National Building Society, however, will be made by April 2005, following parliamentary approval of any necessary budget allocations. Proposals for the repeal of sections of the three statutes covering these NBFIs, which are in conflict with the Banking and Financial Services Act (BFSA), and related revisions to the BFSA are being drafted with technical assistance from the Legal

Department of the IMF and other cooperating partners; these revisions are now expected to be submitted to parliament early in 2005, after a required period of public comment.

## **II. Economic Developments and Prospects for 2004**

3. **Zambia's macroeconomic performance continued to strengthen in 2004.** Real GDP growth is now expected to reach 4.6 percent in 2004, led by a strong expansion in the mining sector, continued growth in non-traditional exports, and a second consecutive year of strong food crop production. Per capita income will therefore increase in 2004, extending to a fifth year the longest period of sustained expansion in more than two decades. The 12-month rate of inflation has been held below 20 percent despite the sharp rise in fuel prices.

4. **The stance of fiscal policy has been key to preserving macroeconomic stability in 2004.** Following a surge in government's domestic borrowing to 5 percent of GDP in 2003, which brought Zambia to the verge of a destabilizing cycle of rising domestic debt and interest payments, improved implementation of the 2004 budget reduced net domestic financing (NDF) of the government to 1.2 percent of GDP in the first nine months of 2004. This sharp decline in borrowing has helped to reduce pressures on inflation and interest rates, while freeing resources for bank lending to the private sector.

5. **The government recognizes that continued strict control of expenditures will be essential to ensure that the full-year ceiling on net domestic financing of 2.2 percent of GDP is observed.** Tax and nontax revenues, which were 0.3 percent of GDP less than budgeted through September, are projected to fall short of the annual target by 0.4 percent of GDP. This projected outcome reflects weaker performance of corporate income tax collections, stemming from the impact of a sharp decline in interest rates on profits and dividends in the financial sector. In addition, timely payment of VAT refunds has reduced net VAT collections. Based on performance through September, most categories of spending are projected to be held at or below budgeted levels for the year as a whole, more than offsetting the shortfall in revenues. The wage bill and current poverty-reducing priority (PRP) expenditures are expected to remain as budgeted. Interest payments on domestic debt are projected to be 0.3 percent of GDP lower than assumed under the PRGF arrangement as a result of the fall in interest rates on Treasury bills and bonds in the first half of the year. Domestically financed capital expenditures, excluding capital spending on PRPs, are also expected to be less than budgeted (by 0.4 percent of GDP). However, Cabinet approved an increase in spending on recurrent departmental charges of K 120 billion (0.4 percent of GDP) including an additional allocation for defense of K 92 billion, which was expected to be accommodated by the fall in interest payments. Against this background, Government is exercising strict control over commitments to hold domestic financing within the budgeted level.

6. **Lower recourse to domestic borrowing has supported the Bank of Zambia's efforts to rein in excess liquidity in the banking system.** In the first 8 months of the year, the increase in reserve money was limited to 7.4 percent, compared with 16.8 percent in

2003, mainly reflecting a tightening in liquidity conditions during the third quarter of the year. This tightening led to an increase in Treasury bill interest rates in the third quarter, which reversed the “overshooting” that had occurred following the lowering of reserve requirements at the end of 2003. In September, the average yield on Treasury bills stood at 14.0 percent, compared with 6.6 percent in June and 20.8 percent at end-2003. Despite this tightening, broad money grew by 21.3 percent in the first 8 months of the year, compared with 12.9 envisaged under the program. Credit to the private sector rose by 36 percent during this period, driven by substantial demand for financing in the productive sectors of the economy, notably agriculture and manufacturing. It is expected that the growth of broad money will end the year at 25.6 percent compared with 18 percent envisaged in the program, and the BoZ will therefore continue its present policy of mopping-up excess liquidity.

7. **External developments in 2004 have been favorable.** Total merchandise exports are projected to increase by 51 percent in 2004, reflecting sharp increases in copper prices and volumes and in nontraditional export earnings. However, as a result of a surge in imports for the expansion and rehabilitation of the mining sector and higher oil imports, the external current account deficit (after grants) is projected to narrow only slightly, to just over 6 percent of GDP. Higher inflows of private capital have more than financed the current account deficit, allowing for an increase in international reserves. As of end-September, gross international reserves stood at 1.3 months of imports of goods and services. For most of 2004, the exchange rate of the kwacha has been relatively stable in nominal terms; as of end-October, the kwacha had depreciated by 5.6 percent against the U.S. dollar since end-2003. In real effective terms, the kwacha appreciated by 4.2 percent in the year through September.

8. **The government has continued to advance its reform strategies in the four key areas** of Public Expenditure Management and Financial Accountability, Private Sector Development, Financial Sector Development, and Public Service Rightsizing and Pay Reforms.

9. **Progress has also been made in privatization and public enterprise reform during 2004.** Negotiations for the sale of a 51 percent share in Konkola Copper Mine (KCM), were concluded in August and the transaction was completed in November. Proceeds from the equity sale, part of which will accrue to ZCCM Investment Holdings, in which government is a shareholder, are expected to be used to defray past accumulated losses. Protracted negotiations for the sale of a 49 percent share in Zambia National Commercial Bank (ZNCB), which have included discussions with both of the two preferred bidders, are continuing. The government remains committed to the successful sale of its equity stake in ZNCB. Implementation of the commercialization plan for Zambia Electricity Supply Corporation (ZESCO) has remained broadly on track.

### III. The Medium-Term Reform Strategy

10. **The government's PRSP and the Progress Report elaborate a medium term strategy focusing on promoting economic growth** through diversification and improving the quality of public services, while addressing the cross-cutting issues of governance, HIV/AIDS, gender and the environment. Since poverty is concentrated in rural areas, agricultural development receives a high priority, while the development of the road infrastructure throughout the country is essential to facilitate growth and poverty reduction.

11. **The central challenge for Zambia is to strengthen the recent momentum of economic growth that has reversed the prolonged decline in per capita incomes.** The Government recognizes that long-term growth rates of over 8 percent would be needed to reduce poverty in line with the Millennium Development Goals. The Government is therefore striving to move the economy towards this higher growth path and reduce poverty by intensifying its efforts to remove obstacles to private and financial sector development and improving the delivery of basic health and education services.

12. **Key medium-term macroeconomic objectives** include: (i) increasing real GDP growth to at least 5 percent in 2005 and beyond; (ii) reducing the rate of inflation to around 10 percent in 2006 and to single digits thereafter; and (iii) increasing the gross international reserves of the BoZ to about 1.7 months of import cover by 2007. The strategy is also geared to restoring a sustainable external debt position by reaching the Completion Point under the HIPC Initiative and reducing the external current account deficit to a sustainable level. At the same time, fiscal policy aims to re-orient spending towards poverty-reducing expenditures, while reducing domestic debt to sustainable levels. Beginning with the 2005 budget, the government plans to use a new expanded definition of poverty-reducing expenditures consistent with the objectives of the PRSP. However, provided external donor support is forthcoming, we remain committed to increasing poverty reducing expenditures over the medium term by at least the amounts envisaged under the old definition of these expenditures that were included in the macroeconomic framework of our first PRSP progress report and in the PRGF arrangement approved in June 2004.

13. **The medium term policy framework now envisages considerably higher spending in preparation for elections in 2006 and for the constitutional review.** The authorities are working closely with the donor community and other stakeholders on a road map for the elections and the constitutional reform, and are committed to a transparent process that follows international best practices. In 2005, expenditures of 0.6 percent of GDP, mainly for a national census and voter registration, are expected to be accommodated with currently available resources. In 2006, Presidential, parliamentary, and local elections and a referendum on the reform of the constitution are estimated to cost 2 percent of GDP, while further spending of the 0.6 percent of GDP is envisaged in 2007 to cover legal procedures for adopting constitutional amendments, including the possible establishment of a constitutional assembly. The government expects that donors will provide grants to meet

much of the costs in 2006 and 2007. However, at this time, no firm commitments have been made and further work is needed to refine the cost estimates for 2006 and 2007. The government recognizes that the resulting financing gaps in 2006 and 2007 will need to be filled through a combination of the addition grants and offsetting measures, possibly including some paring down of these initial cost estimates.

#### **IV. The Program for 2005**

14. **Macroeconomic objectives for 2005 include real GDP growth of 5 percent and a reduction in the 12-month inflation rate to 15 percent.** The growth objective for 2005 has been increased from the original target of 4.5 percent of GDP, on account of favorable developments in 2004, including accelerated investment in the mining sector, and continued diversification in agriculture and tourism. Major risks to growth include climatic and terms of trade shocks. In the short term, the adverse effects of high world oil prices (projected to average US\$43 per barrel in 2005) on the balance of payments are expected to be largely offset by continued increases in metal and other exports. These projected movements in world oil prices are not expected to entail further significant upward pressure on petroleum prices in Zambia, which have been adjusted in response to rising world market prices.

##### **A. Fiscal Policy**

15. **The budget for 2005 will be geared to enhancing macroeconomic stability, while directing more resources toward wealth creation and poverty reduction.** After the sharp adjustment during 2004, the budget targets a more gradual reduction in government's domestic borrowing to 1.6 percent of GDP to make low interest rates sustainable. Despite this lower recourse to domestic borrowing, with the support of additional external assistance—principally in the form of grants—the overall deficit (before grants) is projected to increase to 8.7 percent of GDP. Excluding payments to settle arrears, real non-interest spending would rise by 7 percent, allowing a significant increase in the priority areas identified in the PRSP.

16. **In addition to meeting PRSP priorities and limiting recourse to domestic borrowing, the budget seeks to address another legacy of the past, the large stock of domestic arrears.** The consolidation and extension of the commitment control system has stemmed the accumulation of new arrears. But the existing arrears stock of 3 percent of GDP continues to be subject to high penalties and is increasingly an obstacle to the execution of government contracts, particularly for infrastructure construction, including priority projects. The budget therefore includes additional resources intended to facilitate the negotiation and settlement of debt agreements with the larger domestic contractors. The framework also includes a higher allocation to reduce the stock of pension arrears.

17. **The budget for 2005 will target revenues of 18.3 percent of GDP, a marginal increase from the projected outcome in 2004.** Tax revenues are projected to rise by 0.1 percent of GDP as a result of the impact of higher interest rates on financial sector profits. Revenue from import duties are projected to rise in 2005, as the suspension of the

5 percent import duty on petroleum products, which was implemented in October 2004 in an effort to alleviate upward pressure on fuel prices arising from the maintenance shutdown of the country's only refinery, expires at end-2004. The government will adjust upwards the nominal level of fines and fees to meet its target on nontax revenues (including exceptional revenue) of 0.7 percent of GDP.

18. **The wage bill will be limited to 8 percent of GDP.** Within this total, the budget for 2005 will provide for the recruitment of additional teachers and health care professionals, in addition to filling vacancies that fall due in these sectors (paragraph 36). The budget will also make provisions for termination benefits that must be paid before those leaving the service can be removed from the payroll and their positions filled. After meeting these provisions for recruitment and termination benefits, and allowing for promotion increments, the wage bill would accommodate a significant increase in average wages, within the framework of the MTEF.

19. **Total recurrent departmental charges will be increased by 0.6 percent of GDP** to accommodate special provisions for the constitutional review commission, to prepare for the elections in 2006 and to settle arrears (see paragraph 33), including a backlog of outstanding court claims. Excluding these elements, other RDCs will decline by 0.2 percent of GDP.

20. **The Government is committed to increasing priority poverty-reducing expenditures.** Under the existing narrow definition, the increase in these expenditures to 2.2 percent of GDP is smaller than was earlier envisaged. However, it is expected that, under the new wider definition to be introduced in the 2005 budget, poverty reducing expenditures would also rise as a result of hiring in the health and education sectors. In addition the government's decision to accelerate the clearance of pension arrears is intended to alleviate the hardship caused by prolonged delays in pension payments. ABB will enable the tracking of all poverty-reducing spending and the results will be published in quarterly budget execution reports. The government remains committed to increase poverty-reducing expenditures under the revised definition by at least the amounts envisaged in our first PRSP progress report using the old definition, provided external donor support is forthcoming. However, comparisons with the outcome in 2004 will only be available in June when spending has been reclassified using the new wider definition of poverty-reducing programs.

## **B. Monetary and Exchange Rate Policies**

21. **Monetary and exchange rate policies in 2005 will be geared to achieving the program's inflation target while strengthening the international reserve position.** In line with these objectives, the expansion of broad money will be limited to 19 percent through the BoZ's use of indirect monetary instruments. Reserve money would grow in line with broad money. The monetary framework provides sufficient room for a significant real expansion of credit to the private sector in support of the program's growth objective. Large increases in donor assistance to combat HIV/AIDS, which is mainly channeled through

commercial banks, may complicate monetary policy; the BoZ will closely monitor these deposits as it manages the underlying liquidity in the banking system.

22. **In early 2005 growth in the monetary aggregates would need to be restrained, to assure that the targeted reduction in inflation takes hold.** As the year progresses, it would then be possible to ease the growth of base money in response to increased demand for real money balances. A strong fiscal performance will be key to maintaining credibility in the macroeconomic stabilization effort, and would make low interest rates sustainable.

23. **The exchange rate will continue to be market-determined.** BoZ intervention in the market will be aimed at meeting the program's gross international reserves target and smoothing short-term fluctuations. The import coverage of gross international reserves is expected to rise to 1.3 months by end-2005.

### C. External Sector

24. **The external current account deficit is projected to narrow further in 2005.** While copper prices are expected to ease from their peaks of 2004, the volume of copper exports is projected to increase by 22 percent as new capacity, including the Kanshansi copper mine, comes on stream. A recovery in cobalt output is also expected. Total metal export receipts are projected to increase by 5 percent while non-traditional exports, mainly agricultural products, such as tobacco, are estimated to increase by 10 percent. Notwithstanding a projected substantial increase (almost 30 percent) in the oil import bill associated with the restoration of inventories and continued high prices, total merchandise imports are expected to decline somewhat (by almost 3 percent in dollar terms) as investment in the metal sector slows. On this basis, the current account deficit (after grants and debt relief on interest payments) is projected to decline to 4 percent of GDP.

25. **On conservative assumptions, external program assistance, mostly in the form of grants, is expected to increase substantially in 2005.** External program assistance is projected to increase from US\$65.6 million in 2004 to US\$122.9 million in 2005, of which US\$87.9 million would be grants and US\$35 million loans. Additional disbursements under the EU's PRBS for 2004-06 are assumed to be only a fraction of the maximum amounts available under variable tranches while the expectation of bilateral grants is based on the firm commitments of donors under the Wider Harmonization in Practice (WHIP) program. Moreover, the projected budget support loans consist of the second tranche of the World Bank's structural adjustment credit and a disbursement from the AfDB under its country support program well below the ceiling available. Zambia has a rescheduling agreement on Cologne terms with Paris Club creditors for the period leading up to the HIPC Initiative completion point, expected to be reached in early 2005. With the additional debt service relief expected after the achievement of the completion point, the program would be fully financed in 2005.

26. **Zambia's trade regime remains open and supportive of export development and the diversification of the economy.** The average nominal tariff on imports is 11.5 percent

and Zambia does not have any non-tariff import barriers. The establishment of a common external tariff by the Common Market for Eastern and Southern Africa customs union is expected in 2005.

#### **D. Structural Reforms, Public Expenditure Management, and Governance**

**27. In 2005, structural reforms will continue in the four key areas of Public Expenditure Management and Financial Accountability, Private Sector Development, Financial Sector Development, and Public Service Rightsizing and Pay Reforms.**

Significant progress has been made in elaboration of the reform agenda for private sector development. However, reforms in public expenditure management and financial sector development, on which plans are most advanced, will continue to be the immediate main priorities.

**28. Following cabinet approval of the Public Expenditure Management and Financial Accountability (PEMFA) reform program in June 2004, attention has focused on developing modus operandi to support its implementation.** Discussions with cooperating partners are expected to conclude with the signing at the end of 2004 of a memorandum of understanding covering these issues. At the same time, there is progress on the development of a work program, with monitorable milestones, for the first year of the implementation of the PEMFA, which is expected to be adopted by January 2005 (performance criterion). In the first year, implementation is expected to include further strengthening of the commitment control system, audit reforms, the MTEF, and adopting of indicators intended to measure the results of the reforms. At the same time, work will continue in the 12 areas covered by PEMFA.

**29. The government remains fully committed to implementation of the Integrated Financial Management Information System (IFMIS),** which is a key component of the PEMFA program. Following the signing of the contract for the supply of hardware and software for piloting of the IFMIS, the government will draw up a project plan with the contractor, laying out key milestones for the pilot program. The pilot for the IFMIS is now expected to commence before end-June in at least three ministries and a preliminary assessment of the pilot will be prepared by December 2005.

**30. Despite delays in the implementation of the IFMIS, progress has been and will continue to be made on related reforms.** The computer-based financial management system (FMS) initiated in 2002 has been extended across all government ministries and provinces. The incorporation of the commitment control system (CCS) in the FMS has considerably improved spending execution and reduced the accumulation of new domestic arrears. The new system will help ensure that control over monthly expenditure returns is appropriately and timely monitored, while improving transparency and the accountability of accounting officers.

**31. The budget for 2005 will include a broader definition of poverty reducing expenditures** which will be followed in the classification of spending at all stages of the



budget process. However, the budgetary framework of the MTEF, which forms the basis of fiscal policy elaborated in this memorandum, was developed using the older narrower definition, which has been applied to HIPC-financed spending. When presented to parliament, the budget will include the new wider definition of spending; budget execution reports will similarly use the new definition and not the narrow definition.

**32. The government is also taking steps to strengthen its control over defense expenditures.** Following cabinet approval of additional allocations for the security services, the Government commenced an audit of the use of recurrent department charges by the Ministry of Defense, which is expected to be completed in December 2004. The results of this audit will be used in determining final budget allocations during 2005. The Government is also conducting an audit of the military payroll.

**33. In July the MoFNP started negotiations with contractors for infrastructure projects accounting for the bulk of the audited stock of domestic arrears at end-2003.** Making use of an increased allocation for this purpose, the Government will conclude these negotiations. To provide for an orderly and equitable process, the Government will define a framework for conducting these negotiations. Given the available resource envelope, it is envisaged that, in return for a significant down payment, settlements could include some reduction in the present value of claims, as well as a halt to penalty charges on these claims. The government recognizes that agreements reached must be affordable so that they can be honored.

**34. The MoFNP will strongly enforce expenditure procedures.** Unbudgeted expenditure requirements will be funded only to the limits of the contingency resources indicated in the budget or only after Cabinet has approved any changes by finding compensatory funding within the approved budget resources. In order to prevent the accumulation of new arrears and diversion of resources, the Budget Office in the MoFNP is strengthening the timeliness and reliability of quarterly and monthly expenditure ceilings issued to spending agencies. The Secretary to the Treasury is supervising strict enforcement of sanctions for noncompliance with the established spending procedures. The Accountant General is reporting on reductions of disbursements to line ministries, departments, and provinces responsible for over-commitments and diversion of funds between budget sub-heads without ex-ante written authorization by the Secretary to the Treasury, as well as failure to accurately report expenditures, as specified in the circulars issued in September 2002.

**35. Initial implementation of the Financial Sector Development Plan (FSDP)** will continue to focus on immediate priorities, including the resolution of the three state-owned nonbank financial institutions. As is recognized in the FSDP, a key step in this process is the harmonization of the acts under which these NBFIs operate with the Banking and Financial Services Act (BFSA) and thereby strengthen the BoZ's regulatory and supervisory powers over these institutions. The MoFNP will therefore, by end February 2005 submit to cabinet proposals to repeal sections of the Building Societies Act (BSA), the National Savings and Credit Bank Act, and the Development Bank of Zambia Amendment

Act that conflict with the Banking and Financial Services Act (BFSA), and proposals for new legislation on the supervision of NBFIs. The Government and the Bank of Zambia has, in consultation with the staff of the IMF and the World Bank, reached decisions on action plans that will lead to the resolution of these NBFIs. The main elements of the action plans for these institutions are as follows.

- Government has accepted in principle a proposal under which the International Fund for Agricultural Development (IFAD) will contribute up to US\$2.15 million to the **National Savings and Credit Bank (NSCB)** to facilitate the expansion of rural financial services. The BoZ has deemed acceptable the Rural Banking Strategic Plan under the Institutional Development Plan submitted by NSCB to the MoFNP. In November 2004, the BoZ has entered into a Memorandum of Understanding (MOU) with the NSCB setting out performance targets, including a time-bound plan to fully recapitalize NSCB. Government's financial contribution to the recapitalization of NSCB will be limited to K 5.3 billion through the cancellation of the NSCB's outstanding obligations to Government and K 5.8 billion in the form of a cash injection, which will be made only when IFAD has approved its own contribution to NSCB. The MOU also strengthens the BoZ's supervisory authority over the NSCB by stipulating that NSCB will adhere to the Banking and Financial Services Act until such time as the sections of the Savings and Credit Bank Act that are inconsistent with the BFSA have been repealed and new legislation is in place. To support the continued improvement in NSCB's financial performance in line with the targets for recapitalization established with the BoZ, and to assist in implementing the bank's Rural Banking Strategy Plan and Institutional Development Plan, the MoU also states that NSCB will utilize technical assistance offered by cooperating partners to further articulate a business plan.
- **The Development Bank of Zambia** will be recapitalized without the use of public money and, when it has been brought fully under the BFSA, 75 percent of its shares will be in private hands. The Ex-Im Bank of India has invested US\$1.4 million in DBZ, as reflected in accounting transactions as of September 15, 2004, allowing for a quorum of three Class B directors and two Class A directors and enabling DBZ to make legally enforceable decisions. This capital injection gives Ex-Im Bank of India 34 percent of total paid up capital. In November 2004, the DBZ entered into a memorandum of understanding with BoZ and the Government stipulating that (i) the DBZ cannot accept deposits, there will be no government guarantee of loans made to or by the DBZ, and that there will be no use of government funds for lending; (ii) the DBZ will adhere to the Banking and Financial Services Act, giving the BoZ full supervisory authority over the DBZ until such time as the sections of the Development Bank of Zambia Act that are inconsistent with the BFSA have been repealed; (iii) pending full compliance with the BFSA, the DBZ's total lending will not exceed the equivalent of US\$10 million; (iv) the DBZ will prepare a revised five year strategic plan, including performance targets to ensure the reduction of its

operating costs, that is acceptable to the BoZ by December 31, 2004; and (v) if quarterly targets are not met the BoZ will take appropriate supervisory action.

- In the absence of agreement on a viable business plan for the **Zambia National Building Society (ZNBS)**, the BoZ has put in place supervisory actions to protect depositors' funds and to limit the ZNBS's operations and is monitoring the institution's performance and assuring reduction of its operating costs. Government and the BoZ have considered different options to resolve the ZNBS and to foster the development of private financing for mortgages in Zambia. The budget framework also provides funds for the resolution of the ZNBS under these options and the Government intends to take a final decision and adopt an action plan for the resolution of the ZNBS by April 2004, after the passage of the budget for 2005. In the meantime, no public money will be used to recapitalize the bank.

36. **Work is continuing on public service rightsizing and pay reform.** A comprehensive strategy, which aims to achieve a public service of optimal size and raise the efficiency and quality of services, is being developed with technical assistance provided by the UK DfID. At the same time, important progress made in 2004 will continue:

- With the support of the World Bank, the Government was able to retrench 519 civil servants in 2004. The budget for 2005 will include an allocation of K 65.7 billion to cover the unpaid retrenchment costs for 1733 employees whose positions will be eliminated. Savings arising from retrenchments will be allocated to priority sectors. The government has lifted the hiring freeze that it imposed in 2003 and, in 2004, authorized the recruitment of 1294 teachers and 285 health workers.
- In the health sector, the Government has decided to abolish the Central Board of Health and bring all health sector employees under the Ministry of Health. It is envisaged that this will, inter alia, facilitate improved control over pay and benefits and allow hiring to be focused on front line medical staff.
- In education, a grant from the Government of the Netherlands is expected to facilitate the payment of terminal benefits and the removal from the payroll of about 7,000 teachers in 2004. The Government is expected to hire an equivalent number of new teachers in 2005, to replace those who have been removed from the payroll.
- Following the agreement reached with the Zambia police and the prison service and immigration and fire-fighting personnel to restructure salary scales and consolidate 15 allowances in the basic salary, the pay reform will continue to be extended to other sectors.
- The Public Service Management Division (PSMD) anticipates completing the implementation of the computerized payroll management and establishment control

(PMEC) system by June 2005. This system, currently covering the records of 83,000 employees, will enable the PSMD to monitor and report—with a minimal time lag—actual hiring and salary developments, including in the education and the health sectors.

37. **In consultation with business representatives, the donor community, and other stakeholders, government has elaborated an action plan for the implementation of the Private Sector Development Initiative.** Most recently, in October 2004, the Zambia International Business Advisory Council endorsed the PSD action plan. The government recognizes the urgent need to remove administrative obstacles to business licensing, streamline regulations and move forward with legislative proposals.

38. **The Government remains fully committed to enhancing the quality of governance and the transparency of public sector operations.** As indicated in the PRSP, the Government has elaborated and is implementing a policy of zero tolerance for corruption. To improve transparency, the Government is strictly adhering to budgetary procedures. In line with last year's timely submission, the audited accounts for 2003 will be submitted to Parliament by end-2004. The Government is also committed to strengthening the independence of the Office of the Auditor General. However, since this will require a constitutional amendment, the Government has presented a proposal to this effect to the Constitutional Review Commission.

## **V. The PRSP Progress Report, the HIPC Triggers, and the MTEF**

39. The government is finalizing its second PRSP Implementation Progress Report, covering the period July 2003–June 2004. The report was prepared with the participation of a wide range of stakeholders and highlights poverty reducing outcomes in the areas of health, education, and small-scale agriculture. It also points out a number of areas where program implementation has been strengthened. Notably, the execution of the PRPs during the first half of 2004 improved substantially over the same period the year before. The report includes the updated medium-term macroeconomic framework, which forms the basis for the 2005–2007 MTEF. A preliminary report on PRSP implementation in the second half of 2004 will be included in the 2005 budget speech or the Annual Economic Report.

40. The removal of the debt overhang at the HIPC Completion Point is a key element in eliminating potential obstacles to investment, growth, and poverty reduction. The Government is continuing the commercialization of ZESCO, as envisaged under the plan supported by the World Bank. The second MTEF, covering 2005–07, was approved by cabinet in October 2004. Despite the delays in implementing the IFMIS pilot project, significant advances have been made, including the installation of a local area network in the MoFNP, in the preparation for the installation of IFMIS. Moreover, as noted above, there have been substantial improvements to current public expenditure management systems, such as extending the coverage of the FMS and strengthening the CCS. The

Government is continuing with its efforts in the execution of programs in the education, health and HIV/AIDS areas, including poverty monitoring programs. In addition to intensifying reform efforts to meet the triggers, the Government is working on reconciling its debt with all external creditors. A new debt sustainability analysis (DSA) will be prepared in collaboration with the staffs of the Fund and the World Bank during the next few months.

## **VI. Technical Assistance**

41. **The government has requested technical assistance to strengthen capacity and support program implementation.** In the financial sector, the BoZ is receiving assistance from the Monetary and Financial Systems Department (MFD) in the resolution of the three NBFIs and will request further assistance from the Legal Department in this area. The BoZ is also requesting technical assistance to support further development of monetary operations. Zambia is a participant in the General Data Dissemination System (GDDS) and is receiving technical assistance in the area of macroeconomic statistics, including BOP, national accounts and government finance statistics, under the project for Anglophone African countries, which is sponsored by DfID. Finally, a data ROSC was completed in 2004 and will provide the basis for an action plan to further improve the quality of statistical information.

## **VII. Program Monitoring**

42. **Progress in implementing the PRGF-supported program will be monitored quarterly, based on the quantitative and structural measures indicated in Tables 3 and 4.** These targets are defined in the attached Technical Memorandum of Understanding. The Fund will conduct the second and third reviews of the PRGF-supported program based on performance through end-December 2004 and end-June 2005 respectively.

43. **The Government is strengthening the effectiveness of the Economic Management Monitoring Committee** at the MoFNP to provide timely reconciled financing and budgetary data and ensure that preemptive measures are taken to avoid lapses in program implementation.

Table 1 MEFP. Zambia: Quantitative Performance Criteria (PC), Benchmarks, and Indicative Targets Under the PRGF Program 1/  
(In billions of kwacha, unless otherwise indicated)

| 5/11/2004<br>12:59:34 PM                                                                                                              | 2003           | 2004          |       |        |               |
|---------------------------------------------------------------------------------------------------------------------------------------|----------------|---------------|-------|--------|---------------|
|                                                                                                                                       | Dec.<br>Stocks | Sep.<br>Prog. | Act.  | Status | Dec.<br>Prog. |
| <u>Performance Criteria</u>                                                                                                           |                |               |       |        |               |
| 1 Ceiling on the cumulative increase in net domestic assets (NDA) of the Bank of Zambia 2/ 3/ 4/ 5/<br>Adjusted NDA                   | 6,208          | 131<br>174    | 38    | Yes    | 127<br>110    |
| 2 Ceiling on the cumulative increase in net domestic financing (NDF) 2/ 5/<br>Adjusted NDF                                            | 3,093          | 577<br>589    | 308   | Yes    | 573<br>557    |
| 3 Floor on the stock of gross international reserves (GIR) of the Bank of Zambia (in millions of U.S. dollars) 2/<br>Adjusted GIR     | 197            | 164<br>161    | 217   | Yes    | 175<br>179    |
| 4 Ceiling on new external payment arrears                                                                                             |                | 0             | 0     | Yes    | 0             |
| 5 Ceiling on the stock of short-term debt and on contracting or guaranteeing of nonconcessional debt (in millions of U.S. dollars) 6/ |                | 0             | 0     | Yes    | 0             |
| 6 Ceiling on cumulative new concessional loans collateralized or guaranteed by the central government or the Bank of Zambia for ZESCO |                | 20            | 0     | Yes    | 20            |
| 7 Floor on the cumulative payment of domestic arrears of the government 5/                                                            |                | 66            | 52    | No     | 77            |
| <u>Quantitative Benchmarks</u>                                                                                                        |                |               |       |        |               |
| 8 Cumulative ceiling for the Central Government wage bill 5/                                                                          |                | 1,492         | 1,481 | Yes    | 2,018         |
| 9 Ceiling on the cumulative arrears on the Central Government wage bill                                                               |                | 0             | 0     | Yes    | 0             |
| 10 Floor on the cumulative deposits into the HIPC Account 49 at the BoZ                                                               |                | 383           | 384   | Yes    | 522           |
| Memorandum item:                                                                                                                      |                |               |       |        |               |
| 11 Cumulative net balance of payments support (In millions of U.S. dollars)                                                           |                | -63           | -65   |        | -60           |
| Balance of payments assistance                                                                                                        |                | 49            | 27    |        | 69            |
| Central Government debt service obligations (excl. IMF)                                                                               |                | -112          | -92   |        | -129          |
| Shortfall (-)/Excess (+) net BOP support                                                                                              |                |               | -3    |        |               |

1/ The definitions of the indicative targets are contained in the Technical Memorandum of Understanding (TMU).

2/ Adjustors, including for balance of payments support, are defined in the TMU.

3/ Excludes HIPC debt relief from the IMF.

4/ The ceiling will be adjusted for changes in the legal reserve requirements.

5/ Cumulative from the end of 2003.

6/ Nonconcessional loans are defined as having a grant element of less than 40 percent.

Table 2 MEFP, Zambia: Performance Under the Structural Program Under the PRGF Arrangement 1/

|                                                                                                                                                                                                                                                                                             | Timing     | Status                                                                                                                                                                |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Prior Actions 2/</b>                                                                                                                                                                                                                                                                     |            |                                                                                                                                                                       |
| Cabinet approval of the PEMFA reform program.                                                                                                                                                                                                                                               |            | Observed                                                                                                                                                              |
| Submission to Cabinet, for consideration and approval, of an action plan for initial implementation of the Financial Sector Development Plan.                                                                                                                                               |            | Observed                                                                                                                                                              |
| <b>Benchmarks and Performance criteria</b>                                                                                                                                                                                                                                                  |            |                                                                                                                                                                       |
| <b>1. Public Expenditure Management</b>                                                                                                                                                                                                                                                     |            |                                                                                                                                                                       |
| The Government will refrain from paying any amounts for which it is not legally liable and which are not included in the budget. 3/                                                                                                                                                         | Continuous | Observed                                                                                                                                                              |
| Publication of quarterly budget execution reports using the activity-based budgeting classification, within 45 days of the end of each quarter.                                                                                                                                             | Continuous | Observed                                                                                                                                                              |
| Award a contract for the supply and installation of the hardware and software needed to implement the IFMIS.                                                                                                                                                                                | Jun 2004   | Not observed.                                                                                                                                                         |
| Start negotiations for settlement of domestic arrears identified in the multiyear plan for clearing domestic arrears                                                                                                                                                                        | Jul 2004   | Observed                                                                                                                                                              |
| Initiate the pilot implementation of the IFMIS in at least three line ministries. 3/                                                                                                                                                                                                        | Sep 2004   | Not observed, owing to delays in the signing of the contract.                                                                                                         |
| <b>2. Tax Policy</b>                                                                                                                                                                                                                                                                        |            |                                                                                                                                                                       |
| Define a policy for the granting of tax concessions.                                                                                                                                                                                                                                        | Sep 2004   | Not observed. The cabinet is still discussing alternative policy frameworks on the basis of their expected effects on foreign direct investment and the revenue base. |
| <b>3. Financial Sector Reform</b>                                                                                                                                                                                                                                                           |            |                                                                                                                                                                       |
| Cabinet approval of a proposal to repeal sections of the Building Societies Act, the National Savings and Credit Bank Act, and the Development Bank of Zambia Amendment Act which are in conflict with the Banking and Financial Services Act.                                              | Nov 2004   | Not observed. The proposal will be submitted to Cabinet for approval in February 2005, following the required period for public comment.                              |
| Adoption by the government and the Bank of Zambia of action plans finalized in consultation with the World Bank and IMF staff, for the resolution of the Zambia National Building Society (ZNBS), the National Savings and Credit Bank (NSCB), and the Development Bank of Zambia (DBZ). 3/ | Oct 2004   | Not observed. Action plans for the NSCB and the DBZ were adopted in November 2004. The plan for the ZNBS is expected to be adopted by April 2005.                     |
| <b>4. Governance and Transparency</b>                                                                                                                                                                                                                                                       |            |                                                                                                                                                                       |
| Unforeseen expenditures will be funded only to the limits of the budget contingency or after Cabinet approval, including the identification of savings elsewhere in the budget.                                                                                                             | Continuous | Observed                                                                                                                                                              |

1/ The definitions of the prior actions, structural benchmarks, and performance criteria are contained in the Technical Memorandum of Understanding (TMU).

2/ Prior actions should be carried out and reported at least five working days prior to the Executive Board discussion.

3/ Performance criteria.

Table 3 MEFP. Zambia: Quantitative Performance Criteria (PC), Benchmarks, and Indicative Targets Under the PRGF Program 1/  
(In billions of kwacha, unless otherwise indicated)

| 5/11/2004<br>12:59:34 PM                                                                                                                                   | 2004          | 2005          |               |               |               |
|------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------|---------------|---------------|---------------|---------------|
|                                                                                                                                                            | Dec.<br>Proj. | Mar.<br>Prog. | Jun.<br>Prog. | Sep.<br>Prog. | Dec.<br>Prog. |
| <u>Performance Criteria</u>                                                                                                                                |               |               |               |               |               |
| 1 Ceiling on the cumulative increase in net domestic assets (NDA) of the Bank of Zambia 2/ 3/ 4/ 5/ Adjusted NDA                                           |               | 75            | 109           | 130           | 137           |
| 2 Ceiling on the cumulative increase in net domestic financing (NDF) of the Central Government 2/ 5/ Adjusted NDF                                          |               | 49            | 241           | 414           | 498           |
| 3 Floor on the stock of gross international reserves (GIR) of the Bank of Zambia (In millions of U.S. dollars) 2/ Adjusted GIR                             | 209           | 213           | 223           | 243           | 246           |
| 4 Ceiling on new external payment arrears                                                                                                                  |               | 0             | 0             | 0             | 0             |
| 5 Ceiling on the stock of short-term debt and on contracting or guaranteeing of nonconcessional medium and long term debt (In millions of U.S. dollars) 6/ |               | 0             | 0             | 0             | 0             |
| 6 Ceiling on cumulative new concessional loans collateralized or guaranteed by the Central Government or the Bank of Zambia for ZESCO                      |               | 20            | 20            | 20            | 20            |
| 7 Floor on the cumulative payment of domestic arrears of the Central Government 5/                                                                         |               | 60            | 90            | 184           | 284           |
| <u>Quantitative Benchmarks</u>                                                                                                                             |               |               |               |               |               |
| 8 Cumulative ceiling for the Central Government wage bill 5/                                                                                               |               | 591           | 1221          | 1845          | 2458          |
| 9 Ceiling on the cumulative arrears on the Central Government wage bill                                                                                    |               | 0             | 0             | 0             | 0             |
| <u>Memorandum items:</u>                                                                                                                                   |               |               |               |               |               |
| 10 Cumulative net balance of payments support (In millions of U.S. dollars)                                                                                |               | -1            | -6            | 11            | 13            |
| Balance of payments assistance                                                                                                                             |               | 22            | 55            | 90            | 118           |
| Central Government debt service obligations (excl. IMF)                                                                                                    |               | -23           | -61           | -79           | -105          |
| Shortfall (-)/Excess (+) net BOP support                                                                                                                   |               |               |               |               |               |
| Program exchange rates                                                                                                                                     |               |               |               |               |               |
| Kwacha/US\$                                                                                                                                                | 5167.0        |               |               |               |               |
| US\$/SDR                                                                                                                                                   | 1.4685        |               |               |               |               |

1/ Performance criteria and benchmarks through June 2005. Indicative targets thereafter. The definitions of the performance criteria, benchmarks, and indicative targets are contained in the Technical Memorandum of Understanding (TMU).

2/ Adjustors, including for balance of payments support, are defined in the TMU.

3/ Excludes HIPC debt relief from the IMF.

4/ The ceiling will be adjusted for changes in the legal reserve requirements.

5/ Cumulative from the end of 2004.

6/ Nonconcessional loans are defined as having a grant element of less than 40 percent.



**Table 4 MEFP. Zambia: Prior Actions, Structural Benchmarks, and Performance Criteria 1/**

|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | <b>Timing</b>                                                                                                                                              |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <p><b>Prior Action 2/</b></p> <p>Adoption by the Government and the Bank of Zambia of action plans, finalized in consultation with the World Bank and IMF staff, for the resolution of the National Savings and Credit Bank and the Development Bank of Zambia.</p>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                                                                                                                                            |
| <p><b>Benchmarks and Performance Criteria</b></p> <p><b>1. Public Expenditure Management</b></p> <p>The Government will refrain from paying any amounts for which it is not legally liable and which are not included in the budget. 3/</p> <p>Publication of quarterly budget execution reports using the activity-based budgeting classification, within 45 days of the end of each quarter.</p> <p>Adopt a work program covering the first year of the implementation of the PEMFA reform program. 3/</p> <p>Adopt a definition of poverty reducing spending corresponding to the priorities of the government PRSP and use this in the preparation of the budget for 2005.</p> <p>Initiate the piloting of the IFMIS in at least three line ministries. 3/</p> <p>Report on the findings of a preliminary review of the piloting of the IFMIS in at least three line ministries. 3/</p> <p><b>3. Financial Sector Reform</b></p> <p>Cabinet approval of a proposal to repeal the sections of the Building Societies Act, the National Savings and Credit Bank Act and the Development Bank of Zambia Amendment Act that are in conflict with the Banking and Financial Services Act. 3/</p> <p>Adoption by the Government and the Bank of Zambia of an action plan, finalized in consultation with the World Bank and IMF staff, for the resolution of the Zambia National Building Society.</p> <p><b>4. Governance and Transparency</b></p> <p>Unforeseen expenditures will be funded only to the limits of the budget contingency or after Cabinet approval including the identification of savings elsewhere in the budget.</p> | <p>Continuous</p> <p>Continuous</p> <p>Jan 2005</p> <p>Jan 2005</p> <p>June 2005</p> <p>Dec 2005</p> <p>Act Feb 2005</p> <p>Apr 2005</p> <p>Continuous</p> |

1/ The definitions of the prior action, structural benchmarks, and performance criteria are contained in the Technical Memorandum of Understanding (TMU).

2/ The prior action for the completion of the review should be carried out and reported at least five working days prior to the Executive Board discussion.

3/ Performance criteria.

## **Zambia: Technical Memorandum of Understanding for The Poverty Reduction and Growth Facility (PRGF) Arrangement**

### **I. INTRODUCTION**

1. This memorandum sets out the understandings between the Zambian authorities and the International Monetary Fund (IMF) regarding the definitions of the quantitative and structural performance criteria, benchmarks, and indicative targets for the program supported by the PRGF arrangement, as well as the related reporting requirements. The definitions are valid at the start of the program, but may need to be revisited to ensure that the memorandum continues to reflect the best understanding of the Zambian authorities and IMF staff to monitor the program.

### **II. PRIOR ACTION**

2. The prior action described below should be carried out and reported at least five working days before the IMF's Executive Board discussion. The implementation of the prior action shall be conveyed through a written communication from the Minister of Finance and National Planning indicating that the prior action has been observed, using the language of the prior action itself.

#### **A. Nonbank Financial Institutions (NBFIs)**

3. The prior action on the nonbank financial institutions (NBFIs) will be met following the adoption by Government and the Bank of Zambia (BoZ) of action plans for the resolution of the National Savings and Credit Bank (NSCB) and the Development Bank of Zambia (DBZ). The Government will collaborate with the IMF and the World Bank in preparing the action plans and seek necessary technical assistance.

### **III. QUANTITATIVE PERFORMANCE CRITERIA AND BENCHMARKS: DEFINITIONS AND DATA SOURCES**

#### **A. Net Domestic Assets (NDA) of the BoZ**

4. Net domestic assets (NDA) of the BoZ are defined as the monthly average (based on daily data) of reserve money less net foreign assets calculated at Kwacha 5,167 per U.S. dollar (program exchange rate).<sup>7</sup> Reserve money consists of currency issued, required reserves on Kwacha deposits, required reserves on foreign currency deposits (at the program exchange rate), positive current account balances of banks with the BoZ, and deposits in the BoZ of non-central government institutions. Net foreign assets of the BoZ are defined as

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<sup>7</sup> Unless otherwise defined, program exchange rates for 2005 between the U.S. dollar and other (non-Kwacha) currencies will be equal to the end-September 2004 rates. Consequently, the U.S. dollar/SDR exchange rate is set at 1.4685. Any other assets (e.g. gold) would be revalued at their end-September 2004 market prices.

gross international reserves (defined below) plus any other foreign assets, including the US\$25 million blocked reserves at the former Meridien Bank (MBZ), minus foreign liabilities (defined below). The Kwacha values are derived from the U.S. dollar values using the program exchange rate.

5. Foreign reserve liabilities are defined as short term (one year or less in original maturity) foreign currency-denominated liabilities of the BoZ to nonresidents and outstanding use of IMF credit.<sup>8</sup>

6. The ceilings on NDA will be adjusted upward by the amount of the shortfall of balance of payments support net of debt service as indicated in Table 3 (item 10) of the Memorandum of Economic and Financial Policies (MEFP), up to a maximum of US\$20 million for the period end-December 2004 to end-December 2005. External disbursements that occur anytime during the month of the test date will be treated as if they were disbursed on the first day of the month.<sup>9</sup> In the event of excess balance of payments support net of debt service, the ceiling on NDA will be adjusted downward by 100 percent of the additional excess support. However, if part of the excess support is used to reduce the stock of Treasury bills or bonds held by commercial banks and the non-bank sector, then the programmed NDA will be adjusted upward by that amount. The Kwacha value of the cumulative shortfall/excess will be calculated at the program exchange rate.

7. The ceiling on NDA will be adjusted downward/upward to reflect decreases/increases in the legal reserve requirements on deposits in commercial banks. The adjustor will be calculated as the percent change in the reserve requirement multiplied by the actual amount of reserves (Kwacha and foreign-currency denominated) at the end of the previous calendar month.

## **B. Net Domestic Financing (NDF)**

8. Net domestic financing is defined as the Central Government's net borrowing from the banking and nonbanking sectors (Table 1). All government-issued securities will be recorded at cost (face value less discount). NDF will be defined as:

(a) the net position of the Government with commercial banks, including:  
(i) Treasury bills; (ii) government bonds; (iii) loans and advances; less (iv) support to MBZ; and (v) central government deposits (defined to include account balances under the authority of controlling officers); plus

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<sup>8</sup> The liability to Camdex will continue to be treated as a short-term foreign liability of the BoZ.

<sup>9</sup> This implies that, for purposes of monitoring the NDA, the targeted NDA will be increased by the amount of the disbursement divided by the number of business days in the month and multiplied by the number of business days from the beginning of the month to the day prior to the disbursement.

(b) BoZ holdings of: (i) Treasury bills; (ii) government bonds; (iii) the Kwacha bridge loan (overdraft facility); less (iv) the government's position at the BoZ; and (v) the donor suspense account; plus (vi) the long-term non-transferable security issued against the government's total indebtedness to BoZ as at end-2002.

(c) Nonbank holdings will include: Treasury bills; and government bonds.

(d) In the event of the privatization of the Zambia National Commercial Bank (ZNCB), the measurement of NDF will exclude the government bond issued to ZNCB in 2002 in the amount of K 249 billion.

9. The NDF ceiling will be adjusted upward by the amount of the shortfall in balance of payments support net of debt service as indicated in Table 3 (item 10) of the MEFP, up to a maximum of US\$20 million for the period end-December 2004 to end-December 2005. In the event of excess balance of payments support net of debt service, the ceiling on NDF will be adjusted downward by 100 percent of the additional excess support. The Kwacha value of the cumulative shortfall/excess will be converted at the corresponding monthly average of the BoZ mid rate.

10. The data source for the above will be the "Net Domestic Financing" Table produced by the BoZ Economics Department, submitted on a weekly basis, and reconciled with the monthly monetary survey.

### **C. Gross International Reserves of the BOZ**

11. Unless otherwise noted here, gross international reserves of the BoZ will be defined as reserve assets of the BoZ (Table 2). Reserve assets are defined in the IMF BOP manual (5<sup>th</sup> edition) and elaborated in the reserve template of the IMF's special data dissemination standards (SDDS). They exclude, for example, foreign assets not readily available to or controlled by the monetary authorities, and foreign currency claims on Zambian residents.

12. Gross international reserves consist of (i) monetary gold; (ii) foreign currency in cash; (iii) unencumbered foreign-currency deposits at non-resident banks; (iv) foreign securities and deposits; (v) SDR holdings and Zambia's reserve position with the IMF; and (vi) balances in the BIS account related to debt service to Paris Club creditors. Gross reserves exclude non-convertible currencies, pledged, swapped, or any encumbered reserve assets including but not limited to reserve assets used as collateral or guarantees for third-party external liabilities, commercial bank reserve requirements in foreign currency, and the US\$25 million deposit in MBZ, which is under liquidation.

13. The floor on gross international reserves will be adjusted: (i) downward by the amount in U.S. dollars of the shortfall in balance of payments support net of debt service as indicated in Table 3 (item 10) of the MEFP, up to a maximum of US\$20 million for the period end-December 2004 to end-December 2005; (ii) upward by 100 percent of the cumulative excess balance of payments support net of debt service. However, if part of the excess support is used to reduce the stock of Treasury bills or bonds held by commercial banks or the nonbank sector, then the programmed reserves buildup will be adjusted

downward by that amount; (iii) downward/upward for any shortfall/excess in the U.S. dollar value of disbursements from the IMF under the PRGF arrangement; and (iv) downward for any increase in BoZ short-term foreign currency denominated debt (to residents and nonresidents), using the definition of short-term debt below.

14. For the purpose of this target, as well as those for external debt and arrears, valuation will be in U.S. dollars using the program exchange rate.

15. Data on gross international reserves, including its components, will be reported by the BoZ on a weekly and end-month basis.

#### **D. External Payment Arrears**

16. The performance criterion on the non-accumulation of new external arrears is continuous. Official external payment arrears are defined as unpaid debt service by the Central Government and BoZ, beyond the due date and/or the grace period, if any. This definition excludes arrears subject to rescheduling. It also excludes the accumulation of external arrears that arise from the transfer to non-residents of foreign currency denominated obligations owed by the Government of Zambia to resident creditors.

17. Data on arrears are compiled jointly by the Ministry of Finance and National Planning (MoFNP) and BoZ and will be reported by the MoFNP on a quarterly basis.

#### **E. Official Medium- and Long-Term Concessional External Debt**

18. Official medium- and long-term concessional external debt is defined as all forms of official debt with original maturity of more than one year contracted or guaranteed by the central Government and BoZ having a grant element of more than 40 percent, but excludes debts subject to rescheduling. The grant element is to be calculated by using currency-specific commercial interest reference rates (CIRRs) reported by the OECD; for maturities of less than 15 years, the grant element will be calculated based on six-month averages of CIRRs, and for maturities longer than 15 years, the grant element will be calculated based on 10-year averages. Adjustment lending from the IMF will be excluded.

19. This target applies not only to debt as defined in Point 9 of the Guidelines on Performance Criteria with Respect to Foreign Debt (Decision No. 12274-(00/85) August 24, 2000; see Annex), but also to commitments contracted or guaranteed for which value has not been received. This excludes non-concessional loans stemming from the rescheduling of external arrears.

20. Detailed data on all new concessional and non-concessional debt contracted or guaranteed will be provided by the MoFNP on a monthly basis.

#### **F. Official External Short-Term Non-concessional External Debt**

21. Official external short-term non-concessional external debt is defined as the outstanding stock of external debt with original maturity of less than one year owed or guaranteed by the central Government or the BoZ. For this purpose short-term debt will

include forward commodity sales but will exclude normal trade credit for imports. There will be no new official external short-term debt during the program period. The term “debt” has the meaning set forth in point No. 9 of the Guidelines on Performance Criteria with Respect to Foreign Debt (Decision No. 12274-(00/85) August 24, 2000; see Annex).

22. The data will be reported by the MoFNP and BoZ on a monthly basis.

#### **G. Collateralizing/Guaranteeing of Loans to the Zambia Electricity Supply Corporation (ZESCO)**

23. The Government and the BoZ shall not extend or guarantee any new commercial debts of the Zambia Electricity Supply Corporation (ZESCO), including in the form of loans, suppliers credits and leases. New concessional borrowing, as defined above (Paragraph 19), will be subject to a cumulative limit of US\$20 million in 2005. The limit on new concessional borrowing will be subject to review, in consultation with IMF and World Bank staff, in the event that additional concessional resources are required.

#### **H. Domestic Arrears of Government**

24. Domestic arrears are defined as: (i) any bill that has been received by a spending ministry from a supplier for goods and services delivered (and verified) and for which payment has not been made within 30 days after the due date of payments; (ii) wage, salary and any payment to government employees, including all forms of housing allowances, that were due to be paid in a given month but remained unpaid on the 15<sup>th</sup> of the following month; and (iii) interest or principal obligations which remain unpaid 30 days after the due date of payment. This definition of domestic arrears excludes changes in the stock on account of interest, penalties and valuation changes.

25. Information regarding domestic arrears is to be compiled through audits of the accounts of spending Ministries and agencies, conducted by the Internal Audit division of the MoFNP. The audits will be completed and data submitted to IMF staff by the Secretary of the Treasury within six weeks of the end of each quarter.

#### **I. The Central Government’s Wage Bill**

26. For the purposes of the wage bill, the definition of Central Government includes all heads covered in the 2005 Yellow Book. The Central Government’s total wage bill will include payments on wages, salaries, allowances, and all other items specified as personal emoluments in the Yellow Book, and any direct or indirect payments of housing allowances to employees. The Government will provide, on a monthly basis and by budget head, the following data: (i) the number of all employees in the Central Government for each budget head; (ii) the basic salary, the allowances and any other personal emoluments released during the month; (iii) the arrears incurred during the month on the basic salary, on the allowances, and on any other personal emoluments; (iv) the number of employees retrenched and the corresponding retrenchment costs.

27. All the data will be submitted to the IMF staff by the MoFNP within three weeks of the end of each month.

#### **IV. STRUCTURAL PERFORMANCE CRITERIA AND BENCHMARKS**

##### **A. Public Expenditure Management**

28. The Government will refrain from making payments for which it is not legally liable. It will also guide the liquidation and receivership process of public enterprises to minimize the Government's liabilities consistent with the law.

29. The MoFNP will publish quarterly budget execution reports using the classification system of activity-based budgeting within 45 days of the end of each quarter.

30. The MoFNP, in consultation with its cooperating partners involved in the public expenditure management reform process, will develop and adopt a work program for the first year of implementation of the Public Expenditure Management and Financial Accountability (PEMFA) reform program. The work program will detail the milestones of the program, indicators, monitoring mechanisms, and reporting requirements. The milestones will mark the further strengthening of the commitment control system, reform of the audit system, and improvements to the MTEF process. The MoFNP will provide the adopted work plan to IMF staff by February 15, 2005.

31. In line with the revised definition in the PRSP, the MoFNP will use the activity-based budgeting classification introduced in 2004 to identify all poverty-reducing spending programs in the central government operations. The budget for 2005 will account for allocations on poverty-reducing programs on the basis of the new wider definition indicated above.

32. The Government will initiate the piloting of the IFMIS in at least three ministries as a key step to introduce an effective system in all ministries and province.

33. The Government will report the findings of a preliminary review of the piloting of the IFMIS in at least three ministries. This preliminary review will lead to the completion of a mid-term review of the pilot program as envisaged in the Enhanced HIPC Initiative completion point document.

##### **B. Financial Sector Reform**

34. Cabinet approval of a proposal to repeal sections of the Building Societies Act, the NSCB Act, and the DBZ Amendment Act, so that these institutions can be incorporated under the Company's Act, to remove inconsistencies with the Banking and Financial Services Act, and to strengthen the BoZ's supervisory powers over NBFIs. The proposal will be prepared with the aid of technical assistance from the Legal Department of the IMF.

35. Adoption by Government and the BoZ of an action plan, finalized in consultation with the World Bank and the IMF staff, for the resolution of the Zambia National Building Society.

### **C. Governance and Transparency**

36. Unbudgeted expenditure requirements will be funded only to the limits of the contingency resources indicated in the budget or only after the Cabinet has approved any changes by finding compensatory funding within the approved budget resources.



## ANNEX

### **Guidelines on Performance Criteria with Respect to Foreign Debt**

Excerpt from Executive Board Decision No. 6230-(79/140), as revised on August 24, 2000

9. (a) For the purpose of this guideline, the term “debt” will be understood to mean a current, i.e., not contingent, liability, created under a contractual arrangement through the provision of value in the form of assets (including currency) or services, and which requires the obligor to make one or more payments in the form of assets (including currency) or services, at some future point(s) in time; these payments will discharge the principal and/or interest liabilities incurred under the contract. Debts can take a number of forms, the primary ones being as follows:

(i) loans, i.e., advances of money to the obligor by the lender made on the basis of an undertaking that the obligor will repay the funds in the future (including deposits, bonds, debentures, commercial loans and buyers’ credits) and temporary exchanges of assets that are equivalent to fully collateralized loans under which the obligor is required to repay the funds, and usually pay interest, by repurchasing the collateral from the buyer in the future (such as repurchase agreements and official swap arrangements);

(ii) suppliers’ credits, i.e., contracts where the supplier permits the obligor to defer payments until some time after the date on which the goods are delivered or services are provided; and

(iii) leases, i.e., arrangements under which property is provided which the lessee has the right to use for one or more specified period(s) of time that are usually shorter than the total expected service life of the property, while the retains the title to the property. For the purpose of the guideline, the debt is the present value (at the inception of the lease) of all lease payments expected to be made during the period of the agreement excluding those payments that cover the operation, repair or maintenance of the property.

(b) Under the definition of debt set out in point 9 (a) above, arrears, penalties, and judicially awarded damages arising from the failure to make payment under a contractual obligation that constitutes debt are debt. Failure to make payment on an obligation that is not considered debt under this definition (e.g., payment on delivery) will not give rise to debt.

Table 1. Net Domestic Financing

|                                    | 2004<br>End-Sept.<br>(at cost value) |
|------------------------------------|--------------------------------------|
| Total Domestic Financing (Program) | 3,670,496                            |
| Adjustment for BOP shortfall       | -12,044                              |
| Adjustment for RAMCOZ              | 0                                    |
| Adjusted Program DF                | 3,682,541                            |
| Excess/Shortfall                   | 281,225                              |
| <br>Total domestic financing       | <br>3,401,316                        |
| Bank financing                     | 2,669,205                            |
| Commercial banks                   | 1,512,923                            |
| Treasury bills 1/                  | 832,530                              |
| Bonds 1/                           | 878,034                              |
| Loans and advances                 | 375                                  |
| less: Support to MBZ               | -8,423                               |
| less: Deposits                     | -189,593                             |
| <br>Bank of Zambia                 | <br>1,156,282                        |
| Treasury bills 1/                  | 77,595                               |
| Bonds 1/                           | 18,784                               |
| Kwacha bridging loan               | 244,729                              |
| GRZ position                       | -831,157                             |
| Donor suspense balance             | -412                                 |
| GRZ long-term security IFO BoZ     | 1,646,743                            |
| Other                              |                                      |
| <br>Nonbank financing              | <br>732,110                          |
| Treasury bills 1/                  | 348,849                              |
| Bonds 1/                           | 383,261                              |

Source: BoZ net domestic financing table.

1/ Measured at cost (face value less discount) starting from end-December 2003.

Table 2. Zambia: Gross International Reserves 1/  
(In thousands of U.S. dollars)

|                                                                              | 2005                             |               |              |              |
|------------------------------------------------------------------------------|----------------------------------|---------------|--------------|--------------|
|                                                                              | March, June, September, December |               |              |              |
|                                                                              | Current                          | End-Sept 2004 |              |              |
|                                                                              | Exch rate                        | Exch rate     | Exch rate    | Exch rate    |
|                                                                              | or price                         | or price      | or price     | or price     |
| Amount                                                                       | U.S. dollars                     | U.S. dollars  | U.S. dollars | U.S. dollars |
| Official reserve assets 2/                                                   |                                  |               |              |              |
| Foreign Currency Reserves                                                    |                                  |               |              |              |
| Securities                                                                   |                                  |               |              |              |
| In U.S. dollars                                                              |                                  |               |              |              |
| In U.K. pounds                                                               |                                  |               |              |              |
| In Euro                                                                      |                                  |               |              |              |
| Other currencies                                                             |                                  |               |              |              |
| Deposits 3/                                                                  |                                  |               |              |              |
| In U.S. dollars                                                              |                                  |               |              |              |
| In U.K. pounds                                                               |                                  |               |              |              |
| In Euro                                                                      |                                  |               |              |              |
| In South African Rand                                                        |                                  |               |              |              |
| Other currencies                                                             |                                  |               |              |              |
| IMF reserve position                                                         |                                  |               |              |              |
| SDR (excludes IMF interim assistance under the HIPC Initiative)              |                                  |               |              |              |
| Monetary gold                                                                |                                  |               |              |              |
| Other reserve assets                                                         |                                  |               |              |              |
| Memo: Other foreign currency assets 4/                                       |                                  |               |              |              |
| Predetermined short-term net drains 5/                                       |                                  |               |              |              |
| Liabilities to IMF                                                           |                                  |               |              |              |
| Other foreign currency loans and securities                                  |                                  |               |              |              |
| In U.S. dollars                                                              |                                  |               |              |              |
| In U.K. pounds                                                               |                                  |               |              |              |
| In other currencies                                                          |                                  |               |              |              |
| Aggregate short and long positions in forwards, futures and swaps            |                                  |               |              |              |
| Other                                                                        |                                  |               |              |              |
| Contingent short-term net drains                                             |                                  |               |              |              |
| Contingent liabilities                                                       |                                  |               |              |              |
| Securities with embedded options                                             |                                  |               |              |              |
| Undrawn, unconditional credit lines                                          |                                  |               |              |              |
| Aggregate short & long term positions of options                             |                                  |               |              |              |
| Memorandum items:                                                            |                                  |               |              |              |
| Short-term domestic currency debt indexed to the exchange rate               |                                  |               |              |              |
| Financial instruments denominated in foreign currency settled by other means |                                  |               |              |              |
| Pledged assets                                                               |                                  |               |              |              |
| of which: Balance of IMF interim HIPC assistance                             |                                  |               |              |              |
| Securities lent and on repo                                                  |                                  |               |              |              |
| Financial derivatives (net, marked to market)                                |                                  |               |              |              |
| Derivatives w/ residual maturity > 1 year, subject to margin calls           |                                  |               |              |              |

1/ As defined in the TMU or IMF, "Data Template on Int'l Reserves and Foreign Currency Liquidity: Operational Guidelines."

2/ Corresponds to gross international reserves for program monitoring.

3/ Excludes deposits at resident banks, unless assets held abroad by the bank are explicitly connected to the foreign exchange deposits of the BoZ and are totally and effectively controlled by BoZ and are available for balance of payment needs.

4/ Includes foreign currency deposits at resident banks.

5/ The performance criteria on gross international reserves will be adjusted as described in the TMU.

**Zambia: Fund Relations**  
(As of October 31, 2004)

**I. Membership Status:** Joined: September 23, 1965; Article VIII

| <b>II. General Resources Account:</b>       | <b>SDR Million</b> | <b>Percent Quota</b>      |
|---------------------------------------------|--------------------|---------------------------|
| Quota                                       | 489.10             | 100.0                     |
| Fund holdings of currency                   | 489.10             | 100.0                     |
| Reserve position in Fund                    | .02                | .0                        |
| <b>III. SDR Department:</b>                 | <b>SDR Million</b> | <b>Percent Allocation</b> |
| Net cumulative allocation                   | 68.30              | 100.0                     |
| Holdings                                    | 15.50              | 22.70                     |
| <b>IV. Outstanding Purchases and Loans:</b> | <b>SDR Million</b> | <b>Percent Quota</b>      |
| PRGF arrangements                           | 519.56             | 106.23                    |
| SAF loans                                   | 54.53              | 11.15                     |

**V. Latest Financial Arrangements:**

| <b>Type</b> | <b>Approval Date</b> | <b>Expiration Date</b> | <b>Amount Approved (SDR Million)</b> | <b>Amount Drawn (SDR Million)</b> |
|-------------|----------------------|------------------------|--------------------------------------|-----------------------------------|
| PRGF        | 06/16/2004           | 06/15/2007             | 220.10                               | 82.54                             |
| PRGF        | 03/25/1999           | 03/28/2003             | 278.90                               | 237.52                            |
| PRGF        | 12/06/1995           | 12/05/1998             | 701.68                               | 661.68                            |

**VI. Projected Obligations to Fund (Without HIPC Assistance):**  
(SDR million; based on existing use of resources and present holdings of SDRs)

|                  | <b>Forthcoming</b> |             |             |             |             |
|------------------|--------------------|-------------|-------------|-------------|-------------|
|                  | <u>2004</u>        | <u>2005</u> | <u>2006</u> | <u>2007</u> | <u>2008</u> |
| Principal        | 83.34              | 170.69      | 10.49       | 26.95       | 47.50       |
| Charges/interest | <u>1.67</u>        | <u>3.29</u> | <u>2.68</u> | <u>2.59</u> | <u>2.42</u> |
| Total            | 85.01              | 173.98      | 13.17       | 29.54       | 49.93       |

**VII. Implementation of HIPC Initiative:**

|                                                                        | <b>Enhanced Framework</b> |
|------------------------------------------------------------------------|---------------------------|
| Commitment of HIPC assistance                                          |                           |
| Decision point date                                                    | Dec. 2000                 |
| Assistance committed (1999 NPV terms) <sup>10</sup>                    |                           |
| Total assistance (US\$ million)                                        | 2,499.00                  |
| <i>Of which:</i> Fund assistance (SDR million)                         | 468.80                    |
| Completion point date                                                  | Floating                  |
| Delivery of Fund assistance (SDR million)                              |                           |
| Amount disbursed                                                       | 351.60 <sup>11</sup>      |
| Interim assistance                                                     | 351.60                    |
| Completion point                                                       | ...                       |
| Amount applied against member's obligations (cumulative) <sup>12</sup> | 351.60                    |

**VIII. Safeguards Assessment:**

Under the Fund's safeguards assessment policy, the Bank of Zambia (BOZ) is subject to an assessment with respect to the PRGF arrangement, which was approved on June 16, 2004 and is scheduled to expire on June 15, 2007. A safeguards assessment of the BOZ was completed on October 20, 2004. The assessment identified certain weaknesses and made appropriate recommendations, as reported in the staff report.

<sup>10</sup> Net present value (NPV) terms at the decision point under the enhanced framework.

<sup>11</sup> Including an additional grant contribution of SDR 16.4 million from the Netherlands to Zambia in the context of the enhanced HIPC Initiative.

<sup>12</sup> The amount applied against Zambia's obligations includes interest income earned on resources while in Zambia's subaccount within the Umbrella Account for HIPC Operations.

**IX. Exchange Rate Arrangement:**

The currency of Zambia is the kwacha. The exchange rate for the kwacha is determined in the inter-bank foreign exchange market. On November 16, 2004, the Bank of Zambia mid-rate was K 4,788.6 per U.S. dollar. On April 19, 2002, Zambia accepted the obligations of Article VIII, Section 2, 3, and 4 of the Articles of Agreement. However, the Fund urged the authorities to eliminate the exchange restriction evidenced by the accumulation of external payments arrears and the multiple currency practice arising from the spreads between the dealing window rate and the interbank rate, which are subject to approval by the Fund under Article VIII, as soon as possible. Following the introduction of the inter-bank foreign exchange market in July 2003, and the removal of the requirement for exporters to sell their foreign exchange receipts to the BoZ and the auction conducted by the BoZ, the potential for multiple currency practice has been eliminated.

**X. Article IV Consultations:**

Zambia is on the standard 12-month Article IV consultation cycle, subject to the provisions of the decision on consultation cycles approved on July 15, 2002. The last Article IV consultation was concluded by the Executive Board on April 7, 2004.

**XI. FSAP Participation and ROSC:**

Zambia has participated in the financial sector assessment program (FSAP), and an FSAP mission from the Fund and the World Bank conducted a comprehensive external assessment of the financial system. The two FSAP missions visited Zambia during April 30-May 15 and July 15-26, 2002.

A fiscal transparency module of a Report on Observance of Standards and Codes (ROSC) assessing compliance with the IMF's Code of Good Practices on Fiscal Transparency—Declaration of Principles was completed and issued to the Executive Board on October 31, 2001. A ROSC-Data Module was prepared in June 2004.

## XII. Technical Assistance (since 1997):

### Resident advisors

| Department | Dates     | Position                                              |
|------------|-----------|-------------------------------------------------------|
| MFD        | 1994- 98  | Senior Operations Advisor                             |
|            | 1998- 99  | Monetary Advisor on Monetary Policies and Investments |
|            | 1998- 99  | Advisor on Monetary Operations                        |
| FAD        | 1997-2001 | Advisor on Budget Management                          |
|            | 2002-2003 | Advisor on Public Expenditure Management              |

### Technical assistance missions

| Department | Dates                 | Purpose                                                                                                   |
|------------|-----------------------|-----------------------------------------------------------------------------------------------------------|
| MFD        | November 2000         | Bank supervision                                                                                          |
|            | June 2001             | Bank supervision                                                                                          |
|            | November 2001         | Monetary policy, financial sector issues, and payments system                                             |
|            | September 2002        | Foreign exchange market                                                                                   |
|            | January and May 2003  | Development of foreign exchange interbank market, monetary operations, and reform of the financial system |
|            | September 2003        | Monetary operations, reform of the financial system, government securities market, and payments system.   |
|            | April and August 2004 | Resolution of nonbank financial institutions                                                              |
| STA        | June 1997             | Monetary survey (combined STA/AFR mission)                                                                |
|            | November 1997         | Balance of payments                                                                                       |
|            | March 1998            | Monetary survey                                                                                           |
|            | May 2000              | Balance of payments                                                                                       |
|            | June 2002             | General Data Dissemination System (GDDS)                                                                  |
|            | June 2002             | Government Finance Statistics (GDDS)                                                                      |
|            | June 2002             | Real Sector (GDDS)                                                                                        |
|            | July 2002             | Monetary Statistics (GDDS)                                                                                |

|     |                      |                                                                                      |
|-----|----------------------|--------------------------------------------------------------------------------------|
|     | June 2004            | Data ROSC                                                                            |
| FAD | March 2000           | Budget management                                                                    |
|     | January 2001         | Public expenditure management                                                        |
|     | May-June 2001        | ROSC—fiscal transparency module                                                      |
|     | August 2001          | Tax policy issues                                                                    |
|     | December 2002        | Inspection mission to review the progress<br>in public expenditure management reform |
| LEG | August-December 2004 | Assistance on amending legislation on<br>nonbank financial institutions              |

**XIII. Resident Representative:**

A Fund Resident Representative first took up the position in Lusaka in June 1990.  
Mr. Joseph Kakoza has been the Resident Representative since October 2003.



## **Zambia: Relations with the World Bank Group**

### **A. Partnership for Development**

1. The IDA and IMF Boards endorsed the Government's Poverty Reduction Strategy, covering the period 2002-2004, embodied in its first full PRSP, in May of 2002. An Interim Poverty Reduction Strategy Paper (I-PRSP) had been presented to the Board in July 2000. The PRSP was substantially complete when the new Government took office in January 2002. The new Government endorsed the PRSP and went further to expand the PRSP in the Transitional National Development Plan (TNDP) that was published in October 2002.
2. ***Strategic focus of the PRSP.*** The PRSP highlights the following barriers to poverty reduction: lack of economic growth, high inequality, excessive dependence on foreign aid, poor prioritization of public resources, inadequate safety nets, and HIV/AIDS. Therefore, the PRSP seeks to achieve poverty reduction through promoting (i) economic growth and diversification of production and exports; (ii) improved access and quality in the provision of social services; and (iii) the mainstreaming of crosscutting issues of governance, HIV/AIDS, gender, and the environment. Targets and indicators are provided for each sector and sub-sector. For example, by 2004 the poverty headcount is to be reduced to 65 percent, the same as in 1996. Even though the MDGs are not explicitly mentioned in the PRSP, given that the MDGs were not widely discussed when Zambia prepared its PRSP, some of the targets for improvements in the social indicators are similar to the MDGs.
3. ***Joint Staff Assessment of the PRSP.*** Bank and IMF staffs are in agreement with the major objectives set out in the PRSP. The strengths of the PRSP are: a participatory process that involved civil society, the private sector and the donors; a poverty analysis that draws on available quantitative and qualitative data, looks at multiple dimensions of poverty, and provides data broken down by socio-economic group, gender, and region; an appropriate macroeconomic framework and financing plan; identification of priority sectors likely to contribute most to pro-poor growth; and the emphasis placed on the need to improve governance and reduce corruption.
4. Since 1995, the Fund has supported by ESAF and PRGF arrangements Zambia's economic reform program. During December 2003-June 2004, the authorities have implemented an extended Staff Monitoring Program (SMP), which has formed the basis of a program supported by a Poverty Reduction and Growth Facility (approved by the IMF Board on June 14, 2004). The PRGF focuses on (i) fiscal consolidation; (ii) inflation reduction, and (iii) maintaining an adequate level of foreign reserves. Successful performance under the PRGF would lift a key constraint to reach HIPC completion point.

## **B. World Bank Group Strategy**

5. The Bank's executive Board discussed the Bank's current Country Assistance Strategy (CAS), which outlines the roadmap for the Bank's country support for the period 2004-2007 in March 2004. The CAS is explicitly rooted in a results framework, which links Zambia's overall goals of the PRSP/TNDP to specific strategic objectives, which are measured by long-term outcomes. Paying attention to cause-and-result linkages, the main focus of the planned Bank activities is to improve the enabling environment through interventions that remove obstacles to longer-term strategic development outcomes. Where appropriate, quantitative targets to be reached during the CAS period have been specified. For the CAS period, the Bank will track progress on specific CAS outcomes and intermediate progress indicators that are directly affected by Bank interventions.

6. World Bank activities focus on three strategic priorities:

1. Strategic Priority 1: Sustained Economic Growth Anchored in a Diversified and Export-Oriented Economy;
2. Strategic Priority 2: Improved Lives and Protection of the Vulnerable;
3. Strategic Priority 3: Efficiently and Effectively Managed Public Sector.

In addition to ongoing Bank lending operations in the areas of Public Sector reform, Privatization, Health, Education, Social service delivery, infrastructure, support for diversification, and the environment, the base case of the new CAS includes adjustment lending, i.e., the Economic Management and Growth Credit (FY05) while continuing project support for public sector reforms, infrastructure, sanitation, health and education, and a reengagement in the agricultural sector.

7. The Bank continues to undertake substantive country diagnostics providing a solid base for policy dialogue, design, and implementation of its lending operations in Zambia. A combined Public Expenditure Review (PER), Country Procurement Assessment Review (CPAR), and Country Financial Accountability Assessment (CFAA), was completed in 2003. The main economic sector work recently completed are a Country Economic Memorandum (CEM), an Investment Climate Assessment (ICA), and Administrative Barriers study (AB), and a Strategic Country Gender Assessment (SCGA). In addition, a collaborative Poverty and Vulnerability Assessment (PVA) is currently underway.

8. For FY06 a review of labor market regulations, a rural development strategy, a post privatization copper strategy, and an integrated framework study for trade have been planned. In the social sectors, the Bank plans to undertake a public expenditure review of the educational sector in FY06.

9. Zambia has concluded the 1999-2003 CAS period in the low case scenario, which has become the departure platform for the current CAS. Starting from the low case of the last CAS of about US\$65 million in IDA commitments per year (actuals for FY02/03 were

US\$132 million in total) the proposed resource envelope under the new low case scenario is US\$180-240 million for the period FY04-07.

10. The next higher level, the base case scenario, would result in US\$70-80 million p.a., or between US\$280-320 million in total which would exhaust the current IDA allocation, which is SDR230 million for FY04-07. In case that Zambia's performance is sustained and even accelerated with regard to macroeconomic and structural reforms, and PRSP implementation, the new high case would call for exceptional allocation of IDA resources during the 2004-2007 CAS period and would be between US\$90-105 million p.a. or US\$360-420 million in total which would be a 30 percent increase over the current IDA envelope.

11. The Bank's active portfolio as of March 2004, contains 15 IDA credits, including recent approvals) for a total commitment of US\$633.1 million (see Table 1). During FY03, 3 projects were approved while 2 projects during FY04 as of March 2003, were approved: (i) Copperbelt Environment in (March 2003); (ii) Emergency drought recovery project in (November); (iii) HIV/AIDS project (ZANARA) in (December 2002); (iv) Southern African Power Pool (Subregional Project) in (December 2003); (v) Road Rehabilitation and Maintenance Project (RRMP) in March 2004. In FY05, the support for economic diversification project was approved in the amount of US\$28.2 million.

| Table 1. Zambia: Summary of World Bank Operations<br>(As of January 30, 2004)<br>(In U.S. millions) |             |       |             |
|-----------------------------------------------------------------------------------------------------|-------------|-------|-------------|
| Active Projects                                                                                     |             |       |             |
| Project name                                                                                        | Fiscal Year | IDA   | Undisbursed |
| Basic ed. Subsect. Inv. Pgr                                                                         | 1999        | 40.0  | 12.9        |
| Copperbelt environment                                                                              | 2003        | 40.0  | 40.6        |
| ERIPTAa                                                                                             | 1996        | 40.5  | 9.6         |
| HIV/aids (ZANARA)                                                                                   | 2003        | 42.0  | 43.0        |
| Mine township services project                                                                      | 2000        | 37.7  | 15.8        |
| Pub svc cap (PSCAP)                                                                                 | 2000        | 28.0  | 1.9         |
| Regional trade fac. Proj. – Zambia                                                                  | 2001        | 15.0  | 11.8        |
| Social investment fund (ZAMSIF)                                                                     | 2000        | 64.7  | 16.4        |
| Emergency drought recovery project                                                                  | 2003        | 50.0  | 14.9        |
| Zambia railways restructuring project                                                               | 2001        | 27.0  | 1.1         |
| Zambia national road                                                                                | 1998        | 70.0  | 1.5         |
| Zambia power rehabilitation                                                                         | 1998        | 75.0  | 9.8         |
| Zambia-road rehab maintenance project                                                               | 2004        | 50.0  | 46.5        |
| Zambia-SEED SIL (FY05)                                                                              | 2005        | 28.2  | 28.0        |
| Zambia-TEVET SIM                                                                                    | 2001        | 25.0  | 21.5        |
|                                                                                                     |             | 633.1 | 275.2       |

12. International Finance Corporation (IFC) is very much aligned with the Bank's policy agenda in Zambia. The IFC currently has a small portfolio of 12 projects totaling US\$15 million outstanding. These are a mix of financial sector, agribusiness,

telecommunications (mobile telephone), and tourism projects. IFC's most prominent recent project was for US\$30 million in the equity of Konkola Copper Mines (KCM) with Anglo-American in 2000. IFC exited in 2002 along with Anglo, in accordance with the terms of the investment agreement.

13. Zambia is currently a group 3 country for IFC (as defined in the recently board approved IFC strategic initiative for Africa), and thus assessed as a relatively poor investment climate with limited prospects for stimulating new private investment, and limited progress on reforms to improve the investment climate. In this environment, IFC seeks to be responsive to individual projects where IFC can play a role, and in which there is strong development impact, but does not invest significant resources in upstream project development. IFC is exploring jointly with the Bank how to support the Bank Group's activities on improving the investment climate in Zambia.

14. MIGA's outstanding portfolio in Zambia consists of four contracts of guarantee in the agribusiness and manufacturing services sector with a US\$36.1 million gross exposure and a US\$35.7 million net exposure as of December 2003. The projects are for the privatization, modernization, and expansion of a foundry, and for cobalt and copper facilities. They benefit the Zambian economy by saving production costs and by providing training to personnel working on projects. The estimated total amount of foreign direct investment facilitated to date is US\$155.5 million

### **C. IMF-World Bank Collaboration in Specific Areas**

15. A summary of IMF-World Bank collaboration in Zambia is provided in Table 2. There are a number of areas where the Fund leads and its analysis serve as inputs into the World Bank policy formulation and advice, including policies to maintain macroeconomic stability, fiscal, monetary, and exchange rate policies. There are other areas in which the Fund and the Bank share responsibility and are coordinating closely their policy advice to the Zambian authorities, such as trade policy, financial sector, public expenditure management, including debt management, and improving economic governance. The Bank has taken the lead in the social sectors, including health, education, social protection, and water and sanitation, agriculture and rural development, private sector development including regulatory issues and the environment.

16. The Fund and the Bank shared joint responsibility in supporting the Government in the preparation of the PRSP and its first progress report that assessed its implementation, and its forthcoming second annual progress report. The Fund and the Bank have also jointly provided assistance to Zambia for evaluating progress to reach the completion point under the enhanced HIPC Initiative. In addition, the Bank and the Fund will jointly evaluate Zambia's debt and cash management practices.

### **C.1. Areas in which the World Bank leads and there is no direct IMF involvement**

17. Areas in which the Bank leads and there is no direct involvement of the IMF are support for social sectors, agriculture and rural development, economic diversification, infrastructure, and the environment. In light of the complex and crosscutting nature of risk and vulnerability in Zambia, the Bank is assisting Government in developing a cross-sectoral **Social Protection Strategy**. The strategy will extend beyond traditional ex post risk-coping measures (e.g., safety nets) to include a better understanding of the role of ex ante risk-prevention and risk-mitigation measures. The strategy is being prepared in a highly participatory fashion, with the aim of integrating it within Zambia's next PRSP. For the same purpose the Bank is in the process of undertake a Poverty and Vulnerability Assessment, which is to be discussed with GRZ in Spring 2005.

18. **HIV/AIDS and health.** At this time, IDA is assisting the Ministry of Health with a US\$12 million subcomponent under multi-sectoral AIDS program (ZANARA). In addition, IDA is carrying out ESW on human resources in the health sector (FY04) and planning a health sector PER in FY06. Assistance to the Ministry of Health will be expanded through a proposed Health Sector Credit in FY06. Building on this, IDA will provide support for the Health Sector Support Program (SWAp) beginning in FY07. The improvement of water supplies under the Mine Township Services Project will also contribute to improved health outcomes in the areas served.

19. **In education,** the Bank is currently supporting the Ministry of Education's efforts through Adaptable Program Lending (APL). The APL1 Credit enables IDA funds to be devoted to a wide range of purposes in basic education and, following an amendment, to construct two high schools in Eastern Province. IDA expects that the APL2 Credit, to be committed in FY06, will support the education sector more broadly. The Bank is supporting the expenditure effectiveness and efficiency and management issues in the sector through a sector focused public expenditure review that is currently underway.

20. In the area of technical education, vocational, and entrepreneurship training (TEVET), the Government is carrying out reforms aimed at improving the quality of TEVET training, making it more responsive to labor market demand, making it financially sustainable, and increasing the participation of female trainees and trainees from socio-economically disadvantaged groups. The Government's efforts in this area are being supported by an IDA Credit committed in FY01, and by several other partners.

21. **In agriculture and rural development,** the Bank's focus is two fold: one to improve productivity of the sector and the other to increase overall food security. The Bank is reengaging in the agricultural sector given the priority Zambia itself attaches to this sector as set out in the PRSP/TNDP. Indeed, if the macroeconomic environment can be improved, supporting infrastructure put in place and an improved agricultural sectoral policy defined, a major effort could be launched to unleash this growth and poverty reduction potential through well-targeted interventions for both smallholders and commercial agriculture.

22. Analytical and Advisory Activities (AAA) are planned to support the formulation of an agricultural policy that is consistent with planned and ongoing activities in related sectors such as roads and electricity to remove bottlenecks that prohibit and or make it difficult for farmers to produce for the market. Hence, the policy dialogue with the Government on reform and priorities of public spending for agriculture and rural development will address both short run policy issues holding back the sector, as well as helping formulate a long run strategy to tap the large agricultural export potential of the country, through investment in land development, irrigation, and infrastructure. Balanced treatment of smallholders and commercial agriculture is important for growth and poverty reduction. As a follow-up to the AAA work, an Agricultural Support Project is planned to assist the Government with these challenges.

23. In addition, the Bank is assisting Zambia in developing an Integrated Framework for Disaster Relief and Mitigation—intended as multi-sectoral response to anticipate and address the impacts of climate shocks—under the ongoing Emergency Drought Recovery Project (EDRP). The aim is to increase food security and protect living conditions for the poorest and most vulnerable in target districts; pilot programs are being designed to manage and protect against climate shocks, including dams and local irrigation, labor intensive public works, and agriculture input distribution programs. Feeding programs will be implemented in primary schools in a subset of districts; young children in Zambia are particularly at risk to high and rising levels of malnutrition.

24. The Bank supports **economic diversification** directly through its SEED project, which will support the Government's implementation of a diversification strategy in the tourism, agribusiness, and gemstone sectors. In the initial phase, the SEED project will focus on supporting the design and establishment of appropriate policy and legal frameworks to encourage private investments in the three high potential sectors as well as also investments, primarily in tourism-related infrastructure. The tourism component will work toward making Livingstone the flagship tourism destination in Zambia and strengthen management of national parks, which underpin Zambia's medium-term tourism development strategy. The interventions in the gemstones and agribusiness components are to strengthen the supply chain that links rural/small-scale producers to local and export markets.

25. **Private sector development.** To improve Zambia's investment climate, the Bank and IFC have assisted the Government with analytical work, notably an Investment Climate Assessment and a FIAS-led Administrative Barriers to Investment study. These studies are geared to facilitate the adoption of a new and more business friendly investment act and result in regular consultations between business and Government to discuss how to strengthen Zambia's business climate. As a result of this dialogue, the Government, with the support of the Bank and IFC, has prepared a private sector development strategy. The strategy was developed through an interactive process, which included intensive consultations with the private sector, other donors and within the Government itself. Implementation of some of the reform actions identified in the strategy has already started under the Bank's ERIPTA project and through programs funded by other donors.

26. In the **infrastructural sectors**, the economic program agreed to as part of the enhanced HIPC initiative will assist the need to turn ZESCO around into a financially viable company that operates on commercial terms. Analytical work will assist the Government with identifying main bottlenecks with regard to competition and effective service delivery in the sector. The policy recommendations and institutional changes would be supported through adjustment operations, while the ongoing and proposed investment projects, Road Rehabilitation and Maintenance Project (RRMP) and the Water Sector Reform Project, would provide financial resources needed to undertake the actual investments. Zambia will also benefit from the Southern African Power Pool Project.

27. **Environmental concerns** are addressed as part of each individual project as laid down in the Bank's safeguard policies and directly through the Bank's environmental project in the Copperbelt, which will assist Government with the cleanup of several hazardous sites in the Copperbelt and Kabwe area. The proposed SEED project will assist the Government with sustainability of tourism in protected areas.

### **C.2. Areas in which the World Bank leads and its analysis serves as input into the IMF program**

28. The Bank leads the dialogue on institutional dimensions of public expenditure management and financial accountability as well as public sector reform and restructuring and privatization. The Bank program will support these areas through a combination of lending and analytical work. In the area of **institutional dimensions of public expenditure management and financial accountability**, the Bank's long-term objective is to encourage a more transparent and accountable public sector by improving budget management, procurement systems, and the accountability for public funds. **The public sector reform and restructuring agenda** centers on the need to instill a more productive and efficient public service. The means to achieve this are creating a more qualified and motivated civil service, developing a strategic management orientation in line ministries, improving policy coordination and implementation, and lastly, strengthening local government's capacity to participate in the development process.

29. While the Bank has taken the lead in **privatization**, the IMF has also a strong interest in these areas since many of the reforms are critical to achieving macroeconomic stabilization and enhancing Zambia's growth prospects. Accordingly, there is a high degree of consultation and coordination between the two institutions on these matters.

### **C.3. Areas of shared responsibility**

30. The Fund and the Bank are working jointly in the following five areas (i) trade policy; (ii) financial sector reform; (iii) debt management and domestic debt market development; (iv) PRSP monitoring and evaluation; and (v) progress towards HIPC completion.

31. In the area of **trade policy** the Bank with collaboration from other partners will undertake the integrated framework exercise. Follow up with regard to the recently completed FSAP will guide the Bank's policy dialogue and interventions in the **financial sector** in close collaboration with the IMF. The Fund and the Bank recently jointly reviewed the proposed Financial Sector Development Plan for the financial sector in Zambia and both the PRGF as well as the proposed Economic Management and Growth Credit assist the Government with the resolution of the state-owned Non-Bank Financial Institutions.

32. Assistance in the areas of central government **debt management and domestic debt market development** from the World Bank and the Fund will focus on improving the functioning of these interrelated concepts as a means to reduce vulnerability and the cost of and the need for domestic financing. This work will draw from the Guidelines for Public Debt Management (published in March 2001) and the Handbook on Developing Government Bond Markets (published in July 2001). The World Bank and the IMF have recently prepared an accompanying document to the Guidelines containing case studies from a range of countries at different stages of economic and financial development, which will feed into this work as well. The Bank through its Treasury department has under taken a debt management assessment and currently assists the Government in putting the recommended institutional changes in place.

33. As one area of truly joint responsibility, the Fund and the Bank are working closely together to review progress with Zambia's PRSP. The Bank and the Fund jointly prepared the JSA for the full PRSP published in May 2002 and a JSA of the first progress report of the PRSP in May 2004. Another truly shared responsibility is with regard to the Enhanced HIPC Initiative. Zambia reached its decision point in December 2000. The Fund and the Bank jointly prepared the HIPC-AAP document and jointly monitor progress towards HIPC completion.

#### **C.4. Areas in which the Fund leads and its analysis serves as input into the World Bank program**

34. The Fund leads the dialogue on **macroeconomic framework** in particular with regard to fiscal policy, advising the Government on the overall envelope for public expenditures, tax policy, as well as monetary and exchange rate policy. In these areas the Bank takes into account the policy recommendations of the Fund and ensures that its own policy advice, embedded in its adjustment operation, Economic Management and Growth Credit, is consistent.



**Table 2: IMF-World Bank Collaboration in Zambia**

| CAS Component                                                                                             | Specialized advice from Fund                                                                                                                           | Specialized advice from World Bank                                                                                                                                                                                                                                                                            | Key Instruments                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
|-----------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <i>Goal: A growth conducive macro economic environment</i>                                                |                                                                                                                                                        |                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Subject: Economic Framework/ Management                                                                   | Monetary policy; Financial sector consolidation, exchange rate, fiscal policy and wage bill, debt management, balance of payments, economic statistics | Debt management; Wage bill management; Financial sector consolidation                                                                                                                                                                                                                                         | <p><b>IMF:</b> PRGF performance criteria and benchmarks on key monetary and fiscal targets, and structural reforms</p> <p><b>Bank:</b><br/>Ongoing portfolio: Public sector capacity building project (PSCAP) (FY00)<br/><u>New Lending</u> : EMGC (SAC) (FY05)<br/><u>ESW</u>: Debt Management Assessment</p> <p><b>Jointly:</b> JSAN of PRSP progress report</p>                                                                                                                                                                                                                                                                                                                                                                   |
| <i>Goal: A diversified and export oriented economy</i>                                                    |                                                                                                                                                        |                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Subject: Private sector development; Trade and export diversification                                     | Financial sector reform; trade policy; exchange rate policy                                                                                            | Economic growth, investment climate for private sector (infrastructure services, reforms of financial sector and pension funds, power and telecommunication sector reforms, vocational training), trade policy for export diversification, rural development, environmental regulations for the mining sector | <p><b>IMF:</b> PRGF performance criteria and benchmarks on key monetary and fiscal targets, and structural reforms.</p> <p><b>Bank:</b><br/>On-going Portfolio: ERIPTA, Copperbelt Environment Program, ROADSIP, Mine Township Services Project (FY00), Regional Trade Facilitation Project (FY00), Railways Restructuring Project (FY00), TEVET (FY00) Zambia Power Rehabilitation, SEED (FY05).<br/>New Lending: EMGC (SAC-FY05), PMSP (FY05), Increased Access to Electricity, South Africa Power Pool.<br/>ESW: Country Economic Memorandum (FY04), Investment Climate Assessment (FY04), ICT Options Study (FY06), Energy Services Delivery.</p> <p><b>Jointly:</b> FSAP (FY02) and follow up, JSAN of PRSP progress report</p> |
| <i>Goal: Better health and long-term survival, with particular focus on at risk and vulnerable groups</i> |                                                                                                                                                        |                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |
| Subject: Health                                                                                           |                                                                                                                                                        | <p>Health Sector Expenditure Management.</p> <p>Provision of sustainable water services in provinces and districts</p>                                                                                                                                                                                        | <p><b>Bank:</b><br/><u>On-going Portfolio</u>: ZANARA (FY03), ZAMSIF (FY00), Mine Townships Project (FY00)<br/><u>New Lending</u>: Health Sector Support Program (FY07), PRSC Health (FY07) (high case only)<br/><u>ESW</u>: Health Sector PER (FY05), Strategic Country Gender Assessment (FY04)</p>                                                                                                                                                                                                                                                                                                                                                                                                                                |
| <i>Goal: Reverse the spread of HIV/AIDS</i>                                                               |                                                                                                                                                        |                                                                                                                                                                                                                                                                                                               |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      |

|                                                                                               |                                                                                                    |                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                |
|-----------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| Subject: HIV/AIDS                                                                             |                                                                                                    | Behavior change education; prevention, care and risk mitigation services.                        | <b>Bank:</b><br><u>On-going Portfolio:</u> ZANARA (FY03), ZAMSIF (FY00), Aids Component BESSIP(FY00)<br><u>New Lending:</u> HIV/AIDS Corridor Project (Sub-regional project) (FY07)<br><u>ESW:</u> Social Safety Nets and Protection Strategy Note (FY04), Strategic Country Gender Assessment (FY04)                                                                                                          |
| <i>Goal: Better educated populace, with relevant job skills as well as academic training</i>  |                                                                                                    |                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                |
| Subject: Education                                                                            |                                                                                                    | Provision and quality of primary education                                                       | <b>Bank:</b><br><u>On-going Portfolio:</u> BESSIP I (SWAP)(FY99), TEVET(FY01) ZAMSIF (FY00)<br><u>New Lending:</u> BESSIP II (FY06) (SWAP), PRSC (education) FY06 (high case only)<br><u>ESW:</u> Education Sector PER(FY05)                                                                                                                                                                                   |
| <i>Goal: Improved living conditions for poor/vulnerable households in drought prone areas</i> |                                                                                                    |                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                |
| Subject: Social Protection/ Risk Mitigation                                                   |                                                                                                    | Social protection and risk management systems                                                    | <b>IMF:</b> PRGF<br><br><b>Bank:</b><br><u>Ongoing Portfolio:</u> Emergency Drought Recovery Project, SEED<br><u>New Lending:</u> Health/Nutrition Project, Agriculture Project.<br><u>ESW:</u> Poverty and Vulnerability Assessment, Strategic Country Gender Assessment, Social Safety Nets and Social Protection Strategy Note, Health Sector Review                                                        |
| <i>Goal: Good governance and public sector management</i>                                     |                                                                                                    |                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                |
| Subject: Public Expenditure                                                                   | Medium-term budget framework, tax policy and administration.<br><br>Arrears and commitment control | Public expenditure analysis,<br><br>Capacity building in financial management and accountability | <b>IMF:</b> PRGF; measures to strengthen the Office of the Auditor General; measures to put in place the IFMIS; and measures to ensure timely reporting of government accounts to Parliament as required by law.<br><br><b>Bank:</b><br><u>On-going Portfolio:</u> PSCAP I<br><u>New Lending:</u> PSCAP/PEMFAP II<br>ESW: PEMFAR (FY03)<br><br><b>Jointly:</b> HIPC AAP expenditure tracking assessment (FY04) |
| <i>Goal: A productive and efficient public service</i>                                        |                                                                                                    |                                                                                                  |                                                                                                                                                                                                                                                                                                                                                                                                                |
| Subject: Public Sector Reform and Restructuring                                               |                                                                                                    | Pay reform, public sector restructuring                                                          | <b>Bank:</b><br><u>On-going Portfolio:</u> PSCAP I<br><u>New Lending:</u> PSCAP/PEMFAP II, EMGC (SAC) (FY05)<br><u>ESW:</u> PEMFAR(FY03), Governance Survey                                                                                                                                                                                                                                                    |

Questions may be referred to Jos Verbeek (202-473-5539).